

Rupa Khanna
Company Secretary & Compliance Officer

Information Memorandum
June 03, 2024



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

(Our Company was incorporated on August 30, 2022 under the provisions of the Companies Act, 2013 with the Registrar of Companies, Maharashtra in Mumbai. The Corporate Identification Number (CIN) of the Company is U29256MH2022PLC389649. There has been no change in the name of our Company since its incorporation. For further details about the Company, please see “History and Certain Corporate Matters” on page 67 of this Information Memorandum)

Regd. Office: Forbes’ Building, Charanjit Rai Marg, Fort, Mumbai, Maharashtra – 400 001

Tel.: +91 22 6913 8900; **Website:** www.forbesprecision.co.in,

Contact Person: Ms. Rupa Khanna, Company Secretary and Compliance Officer;

E-mail: investor.relations@forbesprecision.co.in

OUR PROMOTER & PROMOTER GROUP: Shapoorji Pallonji and Company Private Limited and Forbes Campbell Finance Limited

INFORMATION MEMORANDUM FOR LISTING OF 5,15,94,464 EQUITY SHARES OF FACE VALUE INR 10 EACH ISSUED BY FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED (THE “COMPANY”) PURSUANT TO THE SCHEME OF ARRANGEMENT (THE “SCHEME”)

NO EQUITY SHARES ARE PROPOSED TO BE SOLD OR OFFERED PURSUANT TO THIS INFORMATION MEMORANDUM

GENERAL RISKS

Investment in equity and equity related securities involve a degree of risk and investors should not invest any funds in the Equity Shares of the Company unless they can afford to take the risk of losing their investment. Investors are advised to read the risk factors carefully before taking an investment decision in the Equity Shares of the Company. For taking an investment decision, investors must rely on their own examination of the Company including the risks involved. The securities have not been recommended or approved by the Securities and Exchange Board of India (“SEBI”) nor does SEBI guarantee the accuracy or adequacy of this document. Specific attention of investors is invited to the statement of ‘Risk Factors’ given on page 9 of this document.

COMPANY’S ABSOLUTE RESPONSIBILITY

The Company, having made all reasonable inquiries, accepts responsibility for and confirms that this Information Memorandum contains all information with regard to the Company, which is material, and that the information contained in the Information Memorandum is true and correct in all material aspects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which make this Information Memorandum as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect.

LISTING

The Equity Shares of the Company are proposed to be listed on the BSE Limited (“BSE”). The Company has submitted the Information Memorandum with BSE and the same has been made available on our Company’s website www.forbesprecision.co.in. The Information Memorandum will also be available on the website of BSE at www.bseindia.com.

REGISTRAR AND SHARE TRANSFER AGENT



Link Intime India Private Limited

Address: C-101, 1st Floor, 247 Park L.B.S. Marg, Vikhroli (West), Mumbai-400 083, Maharashtra, India.

Tel: +91 22 4918 6200; **Fax:** +91 22 4918 6195

E-mail: shahnaz.billimoria@linkintime.co.in

Website: www.linkintime.co.in

SEBI Registration. No.: INR000004058

Validity Period: Permanent

Contact Person: Ms. Shehnaz Billimoria

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DEFINITIONS, ABBREVIATIONS AND INDUSTRY RELATED TERMS

This Information Memorandum uses certain definitions, abbreviations, and terms, which, unless the context otherwise indicates or implies, shall have the meanings ascribed to them herein, and references to any legislation, act, regulation, rule, guideline, policy, circular, notification or clarification will include any amendments or reenactments thereto, from time to time.

Company related terms

Term	Description
Articles / Articles of Association / AOA	The Articles of Association of our Company, as amended from time to time
The Board / our Board	The Board of Directors of Forbes Precision Tools and Machine Parts Limited and its committees
The Company /FPTL/ our Company / we / us / our	Unless the context otherwise requires, refers to, Forbes Precision Tools and Machine Parts Limited, a public limited company incorporated under the Companies Act, 2013
Company Secretary and Compliance Officer	The Company Secretary and Compliance Officer of our Company, Ms. Rupa Khanna.
Directors / Our Directors	The Director(s) of Forbes Precision Tools and Machine Parts Limited, unless otherwise specified
Memorandum / Memorandum of Association / MOA	The Memorandum of Association of our Company, as amended from time to time
Registered Office / our Registered Office	Registered Office of our Company situated at Forbes' Building, Charanjit Rai Marg, Fort Mumbai – 400 001, Maharashtra
Statutory Auditors / Auditors	The Statutory Auditors of our Company, M/s. Sharp & Tannan Associates, Chartered Accountants

Conventional and General Terms / Abbreviations

Term	Description
AGM	Annual General Meeting
Applicable Laws	Any statute, notification, by-laws, rules, regulations, guidelines, common law, policy, code, directives, ordinance, schemes, notices, orders or instructions, laws enacted or issued or sanctioned by any appropriate authority in India including any modifications or re-enactment thereof for the time being in force.
AS	Accounting Standards
BSE	BSE Limited
CPC	The Code of Civil Procedure, 1908
CIN	Corporate Identification Number
CDSL	Central Depository Services (India) Limited
Companies Act	Companies Act, 2013, read with the rules, regulations, clarifications, and modifications thereunder, as amended from time to time
Depositories Act	The Depositories Act, 1996, as amended from time to time
Depository / Depositories	A depository registered with SEBI under the SEBI (Depositories and Participant) Regulations, 1996, as amended from time to time, in this case being NSDL and CDSL
Depository Participant / DP	Depository Participant as defined under the Depositories Act
EGM	Extraordinary General Meeting
EPS	Earnings per Share
ESOP	Employees Stock Option Scheme
ESP Scheme	Employees Stock Purchase Scheme

Term	Description
Financial Year / Fiscal Year / FY	Twelve months ending on March 31 of a particular year
GoI	Government of India
HUF	Hindu Undivided Family
Ind-AS	Indian Accounting Standards
IFRS	International Financial Reporting Standards issued by International Accounting Standards Board (IASB)
Information Memorandum	This document dated June 03, 2024 filed with BSE and referred to as the Information Memorandum
IT Act	Income-tax Act, 1961
KMP	Key Managerial Personnel
NSDL	National Securities Depository Limited
PAN	Permanent Account Number
ROC	Registrar of Companies, Maharashtra, Mumbai
RBI	Reserve Bank of India
SCRA	Securities Contracts (Regulation) Act, 1956 as amended from time to time
SCRR	Securities Contracts (Regulations) Rules, 1957 as amended from time to time
SEBI	The Securities and Exchange Board of India constituted under the SEBI Act
SEBI Act	Securities and Exchange Board of India Act, 1992, as amended from time to time
SEBI ICDR Regulations	Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended from time to time
SEBI LODR Regulations	Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time
SEBI Takeover Regulations	Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011, as amended from time to time

Scheme of Arrangement related terms

Term	Description
Appointed Date	April 01, 2023
Demerged Company	Forbes & Company Limited
Demerged Undertaking	Means the Precision Tools business of the Demerged Company more particularly defined under Clause 1.7 of the Scheme
Effective Date / upon the Scheme becoming effective / effectiveness of the Scheme / upon the Scheme coming into effect	March 01, 2024
NCLT / Tribunal	The National Company Law Tribunal, Mumbai
Record Date	March 07, 2024
Resulting Company	Forbes Precision Tools and Machine Parts Limited
Scheme	“Scheme of Arrangement” or “the Scheme” or “this Scheme” means this Scheme of Arrangement in its present form including any modification(s) or amendments thereon, approved or imposed or directed by the SEBI and / or Hon’ble NCLT;
SEBI Circulars	SEBI Master Circular No. SEBI/HO/CFD/POD-2/P/CIR/2023/93 dated June 20, 2023 issued by SEBI and as amended from time to time or any other circular(s) issued by SEBI applicable to a scheme of arrangement by Listed Entities and Relaxation under sub-rule (7) of rule 19 of the Securities Contracts (Regulation) Rules, 1957, as amended or any other circulars issued by SEBI applicable to schemes of arrangement from time to time

CURRENCY OF FINANCIAL PRESENTATION

- In the Information Memorandum, the terms “we”, “us”, “our”, the “Company”, “our Company”, “FPTL”, unless the context otherwise indicates or implies, refers to Forbes Precision Tools and Machine Parts Limited. In the Information Memorandum, unless the context otherwise requires, all references to one gender also refers to another gender and the word “Lac / Lakh” means “one hundred thousand”, the word “million (mn)” means “ten lac / lakh”, the word “Crore” means “ten million” and the word “billion (bn)” means “one hundred crore”.
- Throughout the Information Memorandum, unless otherwise stated, all figures have been expressed in ` lakhs except the financial statements of our Company. Unless indicated otherwise, the financial data in the Information Memorandum is derived from our financial statements prepared in accordance with Ind-AS and included in the Information Memorandum. In the Information Memorandum, any discrepancies in any table between the total and the sums of the amounts listed are due to rounding off.
- There may be some differences between Ind-AS and IFRS and / or US GAAP; accordingly, the degree to which the Ind-AS financial statements included in the Information Memorandum will provide meaningful information is entirely dependent on the reader’s level of familiarity with Indian accounting practice and Ind-AS. Any reliance by persons not familiar with Indian accounting practices on the financial disclosures presented in the Information Memorandum should accordingly be limited. We have not attempted to explain those differences or quantify their impact on the financial data included herein, and we urge you to consult your own advisors regarding such differences and their impact on our financial data.
- For additional definitions used in the Information Memorandum, see the section “*Definitions, Abbreviations and Industry related terms*” on page 1 of the Information Memorandum. In the section titled “*Main Provisions of the Articles of Association*” on page 103, defined terms have the meaning given to such terms in the Articles of Association of our Company.

USE OF MARKET DATA

- Unless stated otherwise, market data used throughout the Information Memorandum was obtained from internal Company reports and data, public websites and industry publications. Industry publication data and public website data generally state that the information contained therein has been obtained from sources believed to be reliable, but that their accuracy and completeness and underlying assumptions are not guaranteed, and their reliability cannot be assured. Although, we believe market data used in the Information Memorandum is reliable, it has not been independently verified. Similarly, internal Company reports and data, while believed by us to be reliable, have not been verified by any independent source.
- In the Information Memorandum, the terms “we”, “us”, “our”, the “Company”, “our Company”, “FPTL”, unless the context otherwise indicates or implies, refers to Forbes Precision Tools and Machine Parts Limited. In the Information Memorandum, unless the context otherwise requires, all references to one gender also refers to another gender and the word “Lac / Lakh” means “one hundred thousand”, the word “million (mn)” means “ten lac / lakh”, the word “Crore” means “ten million” and the word “billion (bn)” means “one hundred crore”.
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FORWARD LOOKING STATEMENT

We have included statements in the Information Memorandum which contain words or phrases such as “will”, “believe”, “expect”, “anticipate”, “estimate”, “intend”, “future”, “objective”, “goal”, “project”, “should” and similar expressions or variations of such expressions, that are “forward-looking statements”.

All forward looking statements are subject to risks, uncertainties and assumptions about us that could cause actual results to differ materially from those contemplated by the relevant forward-looking statement. Important factors that could cause actual results to differ materially from our expectations include but are not limited to:

- General economic and business conditions in the markets in which we operate and in the local, regional and national economies;
- Changes in laws and regulations relating to the industries in which we operate;
- Increased competition in these industries;
- Our ability to successfully implement our growth strategy and expansion plans, and to successfully launch and implement various projects and business;
- Challenges in meeting capital expenditure requirements;
- Fluctuations in operating costs;
- Our ability to attract and retain qualified personnel;
- Changes in technology;
- Changes in political and social conditions in India or in countries that we may enter, the monetary and interest rate policies of India and other countries, inflation, deflation, unanticipated turbulence in interest rates, equity prices or other rates or prices;
- The performance of the financial markets in India and globally; and
- Any adverse outcome in the legal proceedings in which we may be involved.

For a further discussion of factors that could cause our actual results to differ, please refer to the sections titled “*Risk Factors*” and “*Our Business*” on pages 9 and 56, of the Information Memorandum, respectively. By their nature, certain market risk disclosures are only estimates and could be materially different from what occurs in the future. As a result, actual future gains or losses could materially differ from those that have been estimated. Neither we nor our Promoters or Directors or their affiliates have any obligation to update or otherwise revise any statements reflecting circumstances arising after the date hereof or to reflect the occurrence of underlying events, even if the underlying assumptions do not come to fruition.

INFORMATION MEMORANDUM SUMMARY

This section is a summary of specific disclosures included in this Information Memorandum and is not exhaustive nor does it purport to contain a summary of all disclosures or details relevant to prospective investors. For additional information and further details with respect to any of the information summarized below, please refer to the relevant sections of this Information Memorandum.

This section contains the summary of following information:

A. Primary Business of the Company

Manufacturers, importers, exporters, buyers, sellers, traders, dealers, distributors, service providers of engineering and electrical products and services including taps, carbon and /or steel taps, drills, rotary burrs, tools, threading tools, grinding tools, measuring tools, hand tools, precision tools, tools of any kind, fixtures, dies, spare parts, accessories, fitting materials, designs, patterns, plants, apparatus, equipment's, machinery, machine parts and to carry on such other activities as may be incidental or advantageously carried on with any of the above activities.

B. Industry in which the Company operates

The Company operates in the Manufacturing Sector and is a manufacturer of precision tools, including taps, carbon and /or steel taps, drills, rotary burrs, threading tools, grinding tools, measuring tools, spring washers, hand tools and other machinery parts and spares.

C. Promoters of the Company

The Promoter of our Company are Shapoorji Pallonji and Company Private Limited and Forbes Campbell Finance Limited. For details, see the chapter titled “Our Promoters and Promoter Group” on page 80.

D. Shareholding of the Promoter and Promoter Group of the Company as on the date of this document

Name	No. of shares held	%age of holding
Shapoorji Pallonji and Company Private Limited	3,74,37,172	72.56
Forbes Campbell Finance Limited	6,65,592	1.29
Total	3,81,02,764	73.85

E. Summary of the financial information of the Company

The following summary of financial and operating information is derived from the audited financial statements of our Company for the year ended March 31, 2024 after taking effect of the Scheme as described in the Auditors Report of M/s. Sharp and Tannan Associates, Chartered Accountants in the section titled “Financial Statements” on page 86 of this Information Memorandum.

(INR.in Lakh)		
Particulars	For the year ended March 31, 2024 *	For the year ended March 31, 2023
Share Capital	5,159.45	5.00
Net Worth**	13,774.71	3.83
Revenue from Operations	22,849.66	-
Other income	105.94	-
Profit/ (Loss) before tax	3,983.03	(1.18)
Profit/ (Loss) after tax	2,971.11	(1.18)
EPS (in INR/share) ***	110.63	(2.35)
Total Borrowings ****	542.40	-

* The Appointed date and the effective date for the Scheme is April 01, 2023 and March 01, 2024 respectively and therefore the above audited financials for the year ended March 31, 2024 is not comparable vis-a-vis last financial year. The allotment of shares is done on March 13, 2024. EPS is calculated considering the allotment of shares.

** The above net worth has been computed as per section 2(57) of the Companies Act.

*** As per the Scheme of Arrangement, FPTL issued and allotted four fully paid-up equity shares of INR 10/- each for every one fully paid-up equity share of INR 10/- each held by the equity shareholders of the Demerged Company (FCL) as on the Record Date. The issuance and allotment of equity shares took place on 13th March 2024. The total number of issued and allotted equity shares is 5,15,94,464, which has been diluted for a weighted average equity share of 26,85,739. As per IND AS 33, the weighted average of equity shares has been calculated from the acquisition date. Based on the above consideration, the EPS (earnings per share) is calculated to be INR 110.63 per share. However, if the appointed date, which is April 01, 2023, is considered as the acquisition date, then the EPS calculated is INR. 5.76 per share.

**** Total Borrowings includes Long-term Borrowings and Short-term Borrowings.

F. Auditor qualifications which have not been given effect to in the financial statements

There have been no qualifications or adverse remarks by our Statutory Auditors in the audited financial statements.

G. Summary table of outstanding litigations and a cross-reference to the section titled ‘Outstanding Litigations and Material Developments’

The summary of the outstanding litigations is as under:

Name of Entity	Criminal Proceedings	Tax Proceedings	Statutory or Regulatory Proceedings	Disciplinary actions by the SEBI or Stock Exchanges	Material Civil Litigations	Aggregate amount involved (Rs in Lakhs)
Company						
By the Company	2	Nil	Nil	Nil	Nil	10.71
Against the Company	Nil	Nil	Nil	Nil	Nil	Nil
Directors						
By the Director	Nil	Nil	Nil	Nil	Nil	Nil
Against the Director	Nil	Nil	Nil	Nil	Nil	Nil
Promoters						
By the Promoter	2	Nil	Nil	Nil	22	20,251.87
Against the Promoter	4	18	Nil	Nil	5	17,533.62
Group Companies						
By the Group Companies	Nil	Nil	Nil	Nil	1	1,715.05
Against the Group Companies	2	Nil	Nil	Nil	4	5,760.68

For details, refer to the section titled “Outstanding Litigations and Material Developments” on page 88 of the Information Memorandum.

H. Summary table of contingent liabilities

There is only one contingent liabilities in the financial statements amounting to INR 16.81 lakhs pertaining to Employees Provident Fund Act, 1952 with respect to delay damages for the period April 01, 1996 to March 31, 2006.

I. Summary of related party transactions since incorporation

For details of related party transactions, refer to the section titled “*Financial Statements*” on page 86 of the Information Memorandum.

J. There has been no financing arrangement whereby the members of our Promoter Group, Directors of our Promoters, our directors, or any of their respective relatives have financed the purchase by any other person of securities of our Company during the six months preceding the date of this Information Memorandum.

K. Weighted average price at which specified security was acquired by each of the promoters in the last one year

Our Promoters and Promoter Group have not acquired any shares of our Company during the last one year except the Equity Shares allotted by the Company pursuant to the Scheme.

L. Except the Equity Shares allotted by the Company pursuant to the Scheme, the Company has not issued any equity shares for consideration other than cash during the last one year

M. Our Company has not undertaken a split or consolidation of the Equity Shares in the one year preceding the date of this Information Memorandum.

RISK FACTORS

An investment in equity securities involves a high degree of risk. You should carefully consider all the information in this Information Memorandum, including the risks and uncertainties described below. If any of the following risks or other risks that are not currently known or are now deemed immaterial, occur, our Company's business, results of operations and financial condition could be affected, the price of the Equity Shares could decline, and all or part of your investment may be lost. The financial and other related implications of risks concerned, wherever quantifiable, have been disclosed in the risk factors mentioned below. However, there are certain risk factors where the effect is not quantifiable and hence has not been disclosed in such risk factors. You should not invest in the Equity Shares unless you are prepared to accept the risk of losing all or part of your investment, and you should consult your tax, financial and legal advisors about the particular consequences to you of an investment in the Equity Shares.

INTERNAL RISK FACTORS

1. Our Company has a limited operating history, which may make it difficult to evaluate our prospects.

The Precision Tools Business undertaking was established and operated by Forbes & Company Limited. Pursuant to the Scheme, the Precision Tools Business was demerged from Forbes & Company Limited and transferred to and vested with our Company with effect from April 01, 2023 (being the Appointed Date under the Scheme). Our Company was incorporated on August 30, 2022 as a public limited company under the Companies Act, 2013. As a result, our Company has a limited operating history, which may make it difficult for you to evaluate our prospects. Our business must be considered in light of the risks and uncertainties inherent in a new venture. We may also need to alter our business and strategies on an ongoing basis to manage our growth and to compete effectively with established players in the industry in which we operate.

2. We do not currently have long term contracts or exclusive supply arrangements with any of our suppliers.

We do not currently have long term contracts or exclusive supply arrangements with any of our suppliers. It is possible that some of our existing suppliers may choose to discontinue operations or offer more viable terms or enter into exclusive arrangements with our competitors. A major disruption to the timely and adequate supplies of our raw materials or deterioration in the quality of raw materials could adversely affect our business, results of operations and financial condition.

3. Our Company, our Promoters and our Group Companies are involved in certain legal and other proceedings. An adverse outcome in such proceedings may have a material adverse effect on our business, results of operations and financial condition.

Our Company, its Promoters and Group Companies are currently involved in legal proceedings in India which are pending at different levels of adjudication before the concerned authority. We cannot assure you that these proceedings will be decided in favour of our Company, its Promoters and Group Companies as the case may be. Any adverse decision in such proceedings may render us liable to penalties and may have a material adverse effect on the financials and reputation of our Company or its Promoters which may in turn have an adverse effect on our business. Additionally, during the course of our business we are subject to risk of litigation in relation to contractual obligations, employment and labour law related, personal injury, damage to property, etc.

A classification of these outstanding proceedings is given in the following table:

Name of Entity	Criminal Proceedings	Tax Proceedings	Statutory or Regulatory Proceedings	Disciplinary actions by the SEBI or Stock Exchanges	Material Civil Litigations	Aggregate amount involved (INR in Lakhs)
Company						
By the Company	2	Nil	Nil	Nil	Nil	10.71

Against the Company	Nil	Nil	Nil	Nil	Nil	Nil
Directors						
By the Director	Nil	Nil	Nil	Nil	Nil	Nil
Against the Director	Nil	Nil	Nil	Nil	Nil	Nil
Promoters						
By the Promoter	2	Nil	Nil	Nil	22	20,251.87
Against the Promoter	4	18	Nil	Nil	5	17,533.62
Group Companies						
By the Group Companies	Nil	Nil	Nil	Nil	1	1,715.05
Against the Group Companies	2	Nil	Nil	Nil	4	5,760.68

For further details of these legal proceedings, please see “*Outstanding Litigations and Material Developments*” on page 88 of the Information Memorandum.

4. *We could be harmed by employee misconduct or errors that are difficult to detect and any such incidences could adversely affect our financial condition, results of operations and reputation.*

Employee misconduct or errors could expose us to business risks or losses, including regulatory sanctions and serious harm to our reputation. There can be no assurance that we will be able to detect or deter such misconduct. Moreover, the precautions we take to prevent and detect such activity may not be effective in all cases. Our employees may also commit errors that could subject us to claims and proceedings for alleged negligence, as well as regulatory actions on account of which our business, financial condition, results of operations and goodwill could be adversely affected.

5. *Our ability to pay dividends in the future will depend upon future earnings, financial condition, cash flows, working capital requirements and capital expenditures and the terms of its financing arrangements.*

Our ability to pay dividends will depend on the earnings, financial condition and capital requirements of our Company. Our business is capital intensive as we are required to innovate from time to time to increase margins, which may result in additional capital expenditure. Further, we may not be able to distribute dividends in certain circumstances such as default in payment of interest and/or principal, amongst others, based on certain of our high-cost financing arrangements. We may be unable to pay dividends in the near or medium-term, and our future dividend policy will depend on our capital requirements and financing arrangements in respect of our projects, financial condition and business operations.

6. *The insurance coverage taken by us may not be adequate to protect against certain business risks and this may have an adverse effect on the business operations.*

Our operations are subject to risks inherent to the engineering and manufacturing industry, such as work accidents, storm, fire, earthquake, flood, inundation, explosions including hazards that may cause severe damage, including the physical destruction of property, breakdown of machinery and other force majeure events. We maintain insurance coverage, including insurance in relation to standard fire and other special perils and burglary insurance.

Notwithstanding the insurance coverage that we carry, the occurrence of an event that causes losses in excess of the limits specified in our policies, or losses arising from events not covered by insurance policies, could materially harm our financial condition and future results of operations. Additionally, there may be various other risks and losses for which we are not insured, either because such risks are uninsurable or not insurable on commercially acceptable terms. In addition, in the future, we may not be able to maintain insurance of all types which we deem

necessary or adequate or at rates which we consider reasonable. The occurrence of an event for which we are not adequately or sufficiently insured or the successful assertion of one or more large claims against us that exceed available insurance coverage, or changes in our insurance policies (including premium increases or the imposition of large deductible or co-insurance requirements), could have an adverse effect on our business, reputation, results of operations, financial condition and cash flows. There may also be certain types of risks (including but not limited to business disruptions) for which we are not covered.

Although we have obtained insurance required by Indian laws and regulations and as considered reasonable by the management team, our insurance may not be adequate to cover all potential liabilities. We cannot assure you that insurance will be generally available in the future or, if available, that the premiums will not increase or remain commercially justifiable. If we incur substantial liability and the insurance does not, or is insufficient to, cover the damages, our business, financial condition, results of operations and prospects may be materially adversely affected.

7. *Our manufacturing operations are critical to our business and any shutdown of our manufacturing facilities may have an adverse effect on our business, results of operations and financial condition.*

Any local disruption, social unrest, natural disaster or breakdown of services and utilities could have material adverse effect on the business and result of operations. Our facilities are subject to operating risks like breakdown or failure of equipment, power supply or processes and performance below expected levels of efficiency, obsolescence, natural disaster, industrial accidents and the need to comply with the directives of relevant government authorities. In the event that we are forced to shut down our facilities for a significant period of time, it would have a material adverse effect on our business, results of operations and financial condition. Further, continuous addition of industries in and around our manufacturing facilities without commensurate growth of its infrastructural facilities may put pressure on the existing infrastructure therein, which may adversely affect our business. Further, the spiraling cost of living around our facilities may push our manpower costs higher, which may reduce our margin and cost competitiveness.

8. *Our inability to identify customer demand accurately and maintain an optimal level of inventory in our stores may impact our operations adversely.*

The success of our business depends upon our ability to anticipate and forecast customer demand and trends. Any error in our forecast could result in either surplus stock, which we may not be able to sell in a timely manner, or at all, or under stocking, which could affect our ability to meet customer demand. An optimal level of inventory is important to our business as it allows us to respond to customer demand effectively and to maintain a full range of products at our stores.

9. *We may be exposed to potential liabilities from any personal injury claims alleging any deficiency in our products or in counterfeit products of an inferior quality.*

Our business may be adversely affected by litigation and complaints from customers or government authorities resulting from deficiencies in our products. We could also incur significant liabilities if a lawsuit or claim results in a decision against us and substantial litigation costs in relation to these lawsuits. Further, our business could be harmed in the event of the sale of any defective or misbranded product. Our products are also exposed to the risk of being counterfeited by third parties using intellectual properties or brands/ logos/ designs or copying our packaging to sell their products.

10. *We operate in a highly skilled manpower industry and are subject to stringent employment laws and any strike, work stoppage or increased wage/salary demand by our employees or any other kind of disputes with our employees could adversely affect our business, financial condition, results of operations and cash flows.*

Our manufacturing processes require highly skilled manpower. During periods of shortages in the personnel with required skills, we may not be able to manufacture our products according to our previously determined time frames, at our previously estimated product costs, or at all, which may adversely affect our business, results of operations, cash flows and reputation.

We are also subject to a number of stringent employment laws that protect the interests of employees, including legislation that sets forth detailed procedures for dispute resolution and employee removal and legislation that imposes financial obligations on employers upon retrenchment. If labor laws become more stringent, it may become more difficult for us to maintain flexible human resource policies, discharge employees or downsize, any of which could have a material adverse effect on our business, financial condition, results of operations, cash flows and prospects.

There can be no assurance that strikes or work stoppages will not occur in the future. In addition, work stoppages or slowdowns experienced by our customers or key suppliers could result in slow-downs or closures of our units where our products are included in the end products. If we or one or more of our customers or key suppliers experience a work stoppage, such work stoppage could have an adverse effect on our business, financial condition, cash flows and results of operations.

11. *We may enter into the related party transactions.*

Any future transactions with our related parties will be at arm's length, however there may be some inherent risk associated with related party. Such transactions may have an adverse effect on our business, prospects, financial condition and results of operations.

For details of Related Party Transactions please refer to chapter "Financial Statements" on page 86 of Information Memorandum.

12. *Our success depends largely upon the services of our Promoters/Directors, Core Leadership Team and other Key Managerial Personnel and our ability to retain them. Our inability to attract and retain senior managerial personnel may adversely affect the operations of our Company.*

Our Company's performance is largely dependent upon the services of our Promoters/Directors, Core Leadership Team and other Key Managerial Personnel. Our Promoters and Core Leadership Team have built relations with persons who are connected with our business. Further, our Key Managerial Personnel also possesses the requisite domain knowledge. Any failure or inability of our Company to attract and retain human resources may affect the operations and ability to expand our business.

13. *Any change in the technology may render our current technologies obsolete or require us to make substantial capital investment to cope with the market.*

Technology upgradation is a regular process and it is also essential for providing the desired quality to the customers. We are taking all the possible steps to keep our manufacturing facilities in line with the latest technology. However, any further upgradation in the technology may render our current technology obsolete and require us to upgrade the existing technology or implement new technology. Further implementing new technology may require us to incur huge capital expenditure which could affect our cash flows and result of operations.

14. *If we are not able to procure, renew or maintain, as the case may be, the statutory or regulatory permits or third-party approvals required to operate our business or effectively transfer and integrate the Demerged Undertaking, it may have a material adverse effect on our business.*

We require certain statutory and regulatory permits and approvals to operate our business. We are also required to renew certain permits and approvals from time to time. Similarly, the effective transfer and integration of the Demerged Undertaking may be subject to the receipt of various statutory and regulatory approvals and other third party consents. While we believe that we will be able to procure or renew such permits and approvals as and when required, there can be no assurance that the relevant authorities will issue any or all requisite permits or approvals in the time-frame anticipated by us. Failure to procure, renew or maintain the required permits or approvals may result in the interruption of our operations or delay or prevent our vertical integration, and may have a material adverse effect on our business, financial condition and results of operations. Further, change in law or any change in the interpretation of an existing law since the date of filing of the Scheme with the NCLT, if any, may also impact our ability to procure any necessary consents or approval for transfer of the Demerged Undertaking.

15. ***Any further issue of Equity Shares by the Company or significant sales of Equity Shares by our major shareholders may dilute investor's shareholding and affect the market price of the Equity Shares of the Company***

Any future offering of equity shares by the Company or sales thereof may lead to dilution of investors' shareholding or affect market prices of the shares of the Company. Dilution may be experienced on issue and allotment of additional Equity Shares by the Company to the extent of the equity shares offered. There can be no assurance that the Company will not issue further Equity Shares or that the shareholders will not dispose of, pledge or otherwise encumber their Equity.

16. ***The Promoters will continue to retain majority control of the Company after the Issue, which will enable them to influence the outcome of matters submitted to shareholders for approval.***

Our Promoter and Promoter group currently holds 73.85% of the paid up equity share capital of the Company. As a result, our Promoter will continue to exercise significant control over us, including being able to control the composition of our board of directors and determine decisions requiring simple or special majority voting, and our other shareholders will be unable to affect the outcome of such voting. Our Promoter may take or block actions with respect to our business, which may conflict with our interests or the interests of our minority shareholders, such as actions which delay, defer or cause a change of our control or a change in our capital structure, merger, consolidation, takeover or other business combination involving us, or which discourage or encourage a potential acquirer from making a tender offer or otherwise attempting to obtain control of us.

17. ***Registered office is not owned by the Company.***

Our registered office is situated at Forbes Building, Charanjit Rai Marg, Fort, Mumbai, Maharashtra – 400 001. The premises is owned by Forbes & Company Limited and leased / NoC'd to the Company. However, there can be no assurance that we will continue to have the right to use such premises perpetually.

18. ***Our trademark and corporate logo is not registered***

Currently, the brands, trademarks, trade names, logo and other intellectual property rights relating to and utilised by our Company have been transferred to and vested in our Company by virtue of the Scheme of Arrangement. Our Company is in the process of making application for registration of such trademarks and logo under the Trade Marks Act, 1999. Our ability to market and sell our products depends upon the recognition of our brand name and associated consumer goodwill. In the absence of such registrations or delay in registration, could materially and adversely affect our business, financial condition, results of operations and prospects.

19. ***Our employees are members of unions and we may be subject to industrial unrest, slowdowns and increased wage costs, which may adversely affect our business and results of operations.***

Our unionized workforce poses challenges in maintaining flexible labor policies, potentially leading to labor unrest and work stoppages. These disruptions can harm our operations and reputation. Additionally, any work stoppages by our customers or key suppliers could affect our production. Such disruptions could significantly impact our business, financial condition, and results of operations.

20. ***Our Company appoints contract labour for carrying out certain of our ancillary operations and we may be held responsible for paying the wages of such workers, if the independent contractors through whom such workers are hired default on their obligations, and such obligations could have an adverse effect on our results of operations and financial condition.***

To maintain flexibility and control costs, our company utilizes independent contractors who engage on-site contract labor for certain ancillary operations. While we do not directly employ these laborers, we may still be liable for their wage payments if the contractor defaults. Such obligations could negatively impact our financial performance. Moreover, according to the Contract Labour (Regulation and Abolition) Act, 1970, as amended,

we might be mandated to absorb some contract laborers as permanent employees. Any such regulatory or court order could adversely affect our business and financial stability.

21. *Our Promoters shareholding in Forbes and Company Limited is pledged with a financial lender to our Promoters.*

To maintain control, the Promoters must retain their shareholding in the new entity. Currently, shares of Forbes & Company Limited are pledged, and post-allotment, shares in the new entity will also be pledged to the Promoter's lender. In adverse scenarios, the Promoters may lose control of their shares, potentially affecting the company's strategy and business direction.

EXTERNAL RISK FACTORS

1. *Changing regulations in India could lead to new compliance requirements that are uncertain.*

As in most other businesses, the regulatory and policy framework in which we operate is evolving and is subject to change. The Government of India may implement new laws or other regulations and policies that could lead to new compliance requirements, including requiring us to obtain approvals and licenses from the Government and other regulatory bodies, or impose additional requirements.

For instance, the Government of India has recently introduced Wages Code, Social Security Code, Occupational Safety Health and Working Conditions Code, 2020 and Industrial Relations Code, 2020 which consolidate, subsume and replace numerous existing central labour legislations. We are yet to determine the impact of all or some such laws on our business and operations for which appropriate actions are being initiated.

Uncertainty in the applicability, interpretation or implementation of any amendment to, or change in, governing law, regulation or policy applicable to us, including by reason of an absence, or a limited body, of administrative or judicial precedent may be time consuming as well as costly for us to resolve. We may incur increased costs and other burdens relating to compliance with such new requirements, which may also require significant management time and other resources, and any failure to comply may adversely affect our business, results of operations and prospects.

2. *Changes in the taxation system in India could adversely affect our business.*

Our business, financial condition and results of operations could be adversely affected by any change in the extensive central and state tax regime in India applicable to us and our business. Tax and other levies imposed by the central and state governments in India that affect our tax liability, include central and state taxes and other levies, income tax, goods and service tax, stamp duty and other special taxes and surcharges, which are introduced on a temporary or permanent basis from time to time. This extensive central and state tax regime is subject to change from time to time. The final determination of our tax liability involves the interpretation of local tax laws and related regulations in each jurisdiction, as well as the significant use of estimates and assumptions regarding the scope of future operations and results achieved and the timing and nature of income earned and expenditures incurred.

For instance, the Government of India has implemented two major reforms in Indian tax laws, namely the GST, and provisions relating to general anti-avoidance rules (“GAAR”). The indirect tax regime in India has undergone a complete overhaul. The indirect taxes on goods and services, such as central excise duty, service tax, central sales tax, state value added tax, surcharge and excise have been replaced by Goods and Service Tax with effect from July 1, 2017. The GST regime is relatively new and therefore is subject to amendments and its interpretation by the relevant regulatory authorities. GAAR became effective from April 1, 2017. The tax consequences of the GAAR provisions being applied to an arrangement may result in, among others, a denial of tax benefit to us and our business. In the absence of any precedents on the subject, the application of these provisions is subjective. If the GAAR provisions are made applicable to us, it may have an adverse tax impact on us. Further, if the tax costs associated with certain of our transactions are greater than anticipated because of a particular tax risk materializing on account of new tax regulations and policies, it could affect our profitability from such transactions.

Our companies operating in India may choose not to claim any of the specified deductions or exemptions and claim the lower corporate tax, in which case, the minimum alternate tax provisions would not be applicable. Alternatively, we may choose to pay the higher of corporate tax; i.e., 30% or 25%, as the case may be, plus applicable surcharge and cess, after claiming the applicable deductions and exemptions or the minimum alternate tax at the rate of 15% plus applicable surcharge and cess. As such, there is no certainty on the impact that these amendments may have on our business and operations or on the industry in which we operate.

Further, the Finance Act, 2020, has, amongst others things, notified changes and provided a number of amendments to the direct and indirect tax regime, including, without limitation, a simplified alternate direct tax regime and that dividend distribution tax, will not be payable in respect of dividends declared, distributed or paid by a domestic company after March 31, 2020, and accordingly, such dividends would not be exempt in the hands of the shareholders, both resident as well as non-resident and are subject to tax deduction at source. The Company may or may not grant the benefit of a tax treaty (where applicable) to a non-resident shareholder for the purposes of deducting tax at source from such dividend. Investors should consult their own tax advisors about the consequences of investing or trading in the Equity Shares.

3. *Political, macroeconomic, demographic and other changes could adversely affect economic conditions in India.*

Our Company is incorporated in India and derives the majority of its revenue from operations in India and the majority of its assets are located in India. Consequently, our performance and the market price of the equity shares of our Company may be affected by interest rates, government policies, taxation, and other social, political and economic developments affecting India. The Indian economy differs from the economies of most developed countries in many respects, including the degree of government involvement, level of development, growth rate, control of foreign exchange and allocation of resources. While the Indian economy has experienced significant growth over the past decades, growth has been uneven, both geographically and among various sectors of the economy. The Indian government has implemented various measures to encourage economic growth and guide the allocation of resources.

Our business results depend on a number of general macroeconomic and demographic factors in India which are beyond our control. Recessionary economic cycles, a protracted economic slowdown, a worsening economy, increased unemployment, rising interest rates or other industry-wide cost pressures could also affect our sales and earnings.

Factors that may adversely affect the Indian economy, and hence our results of operations and cash flows, may include:

- the macroeconomic climate, including any increase in Indian interest rates or inflation;
- any exchange rate fluctuations, the imposition of currency controls and restrictions on the right to convert or repatriate currency or export assets;
- any scarcity of credit or other financing in India, resulting in an adverse effect on economic conditions in India and scarcity of financing for our expansions;
- political instability, terrorism or military conflict in India or in countries in the region or globally, including in India's various neighboring countries;
- occurrence of natural or man-made disasters;
- prevailing regional or global economic conditions, including in India's principal export markets;
- other significant regulatory or economic developments in or affecting India or its consumption sector;
- international business practices that may conflict with other customs or legal requirements to which we are subject, including anti-bribery and anti-corruption laws;
- protectionist and other adverse public policies, including local content requirements, import/export tariffs, increased regulations or capital investment requirements;
- Inflation rates; and
- being subject to the jurisdiction of foreign courts, including uncertainty of judicial processes and difficulty enforcing contractual agreements or judgments in foreign legal systems or incurring additional costs to do so.

Any slowdown or perceived slowdown in the Indian economy, or in specific sectors of the Indian economy, could adversely affect our business, results of operations, cash flows and financial condition and the price of the equity shares of our Company.

4. *Financial instability in other countries may cause increased volatility in Indian financial markets.*

The Indian market and the Indian economy are influenced by economic and market conditions in other countries, including conditions in the United States, Europe and certain emerging economies in Asia. Any worldwide financial instability may cause increased volatility in the Indian financial markets and, directly or indirectly, adversely affect the Indian economy and financial sector and us.

Although economic conditions vary across markets, loss of investor confidence in one emerging economy may cause increased volatility across other economies, including India. Financial instability in other parts of the world could have a global influence and thereby negatively affect the Indian economy. Financial disruptions could materially and adversely affect our business, prospects, financial condition, results of operations and cash flows.

Furthermore, economic developments globally can have a significant impact on India. Concerns related to a trade war between large economies may lead to increased risk aversion and volatility in global capital markets and consequently have an impact on the Indian economy.

In response to the global trade and business conditions and developments, legislators and financial regulators globally and in India, implement a number of policy measures from time to time. Such measures are designed to add stability to the financial markets. However, the overall long-term effect of these and other legislative and regulatory efforts on the global financial markets is uncertain, and they may not have the intended stabilizing effects. Any significant financial disruption could have a material adverse effect on our business, financial condition, cash flows and results of operation.

These developments, or the perception that any of them could occur, have had and may continue to have a material adverse effect on global economic conditions and the stability of global financial markets, and may significantly reduce global market liquidity, restrict the ability of key market participants to operate in certain financial markets or restrict our access to capital. This could have a material adverse effect on our business, financial condition, cash flows and results of operations and reduce the price of the equity shares of our Company.

5. *Natural disasters, fires, epidemics, pandemics, acts of war, civil unrest and other events could materially and adversely affect our business.*

Natural disasters (such as typhoons, flood, earthquakes, etc.), epidemics, pandemics such as COVID-19, acts of war, terrorist attacks and other events, many of which are beyond our control, may lead to economic instability, including in India or globally, which may in turn materially and adversely affect our business, financial condition, cash flows and results of operations.

Our operations may be adversely affected by fires, natural disasters and/or severe weather, which can result in damage to our technological infrastructure and generally reduce our productivity and may require us to evacuate personnel and suspend operations. Any terrorist attacks or civil unrest as well as other adverse social, economic and political events in India could have a negative effect on us. Such incidents could also create a greater perception that investment in Indian companies involves a higher degree of risk and could have an adverse effect on our business and the price of the equity shares of our Company.

A number of countries in Asia, including India, as well as countries in other parts of the world, are susceptible to contagious diseases. A worsening of the recently seen outbreak of COVID-19 virus or future outbreaks of COVID-19 virus, avian or swine influenza or a similar contagious disease could adversely affect the Indian economy and economic activity in the region and in turn have a material adverse effect on our business and the trading price of the equity shares of our Company.

6. *Rights of shareholders under Indian laws may be more limited than under the laws of other jurisdictions.*

Our Articles of Association, composition of our Board, Indian laws governing our corporate affairs, the validity of corporate procedures, directors' fiduciary duties and liabilities, and shareholders' rights may differ from those that would apply to a company in another jurisdiction. Shareholders' rights including in relation to class actions, under Indian law may not be as extensive as shareholders' rights under the laws of other countries or jurisdictions. Investors may have more difficulty in asserting their rights as shareholder in an Indian company than as shareholder of a corporation in another jurisdiction.

7. *Civil disturbances, regional conflicts and other acts of violence in India and abroad may disrupt or otherwise adversely affect the Indian economy.*

Certain events that are beyond the control of our Company, such as violence or war, including those involving India, the United Kingdom, the United States or other major countries, may adversely affect worldwide financial markets and could potentially lead to a severe economic recession, which could adversely affect our business, results of operations, financial condition and cash flows, and more generally, any of these events could lower confidence in India's economy. Asia has, from time to time, experienced instances of civil unrest and political tensions and hostilities among neighboring countries. Political tensions could create a perception that there is a risk of disruption of services provided by India-based companies, which could have an adverse effect on our business, future financial performance and price of the Equity Shares. Furthermore, if India were to become engaged in armed hostilities, particularly hostilities that are protracted or involve the threat or use of nuclear weapons, the Indian economy and consequently Company's operations might be significantly affected. India has from time to time experienced social and civil unrest and hostilities, including riots, regional conflicts and other acts of violence. Events of this nature in the future could have an adverse effect on our ability to develop our business. As a result, our business, results of operations and financial condition may be adversely affected.

8. *Natural calamities could have a negative effect on the Indian economy and cause our business to suffer.*

India has experienced natural calamities such as earthquakes, tsunamis, floods, hurricanes and drought in the past few years. The extent and severity of these natural disasters determines their effect on the Indian economy. Further prolonged spells of below normal rainfall or other natural calamities in the future could have a negative effect on the Indian economy, adversely affecting our business and the price of our Equity Shares.

9. *Investors may not be able to enforce a judgment of a foreign court against us.*

Our Company is a company incorporated under the laws of India. A majority of our Company's Directors and officers are residents of India and a substantial portion of our assets and such persons are located in India. As a result, it may not be possible for investors to effect service of process upon our Company or such persons in jurisdictions outside India, or to enforce judgments obtained against such parties outside India. Furthermore, it is unlikely that an Indian court would enforce foreign judgments if that court was of the view that the amount of damages awarded was excessive or inconsistent with public policy, or if judgments are in breach or contrary to Indian law. In addition, a party seeking to enforce a foreign judgment in India is required to obtain approval from the RBI to execute such a judgment or to repatriate outside India any amounts recovered.

Recognition and enforcement of foreign judgments is provided for under Section 13 and Section 44A of the Code of Civil Procedure, 1908 ("CPC"). India has reciprocal recognition and enforcement of judgments in civil and commercial matters with only a limited number of jurisdictions, such as the United Kingdom, Singapore and Hong Kong. In order to be enforceable, a judgment from a jurisdiction with reciprocity must meet certain requirements established in the Indian Code of Civil Procedure, 1908. The CPC only permits the enforcement and execution of monetary decrees in the reciprocating jurisdiction, not being in the nature of any amounts payable in respect of taxes, other charges, fines or penalties. Judgments or decrees from jurisdictions which do not have reciprocal recognition with India, including the United States, cannot be enforced by proceedings in execution in India. Therefore, a final judgment for the payment of money rendered by any court in a non-reciprocating territory for civil liability, whether or not predicated solely upon the general laws of the non-reciprocating territory, would not be directly enforceable in India. The party in whose favor a final foreign judgment in a non-reciprocating territory is rendered may bring a fresh suit in a competent court in India based on the final judgment within three years of

obtaining such final judgment. However, it is unlikely that a court in India would award damages on the same basis as a foreign court if an action were brought in India or that an Indian court would enforce foreign judgments if it viewed the amount of damages as excessive or inconsistent with the public policy in India.

10. *Our Equity Shares have never been publicly traded, and after the listing, the Equity Shares may experience price and volume fluctuations, and an active trading market for the Equity Shares may not develop. Further, the price of our Equity Shares may be volatile, and you may be unable to sell your Equity Shares at all.*

Prior to the listing, there has been no public market for our Equity Shares, and an active trading market on the Indian Stock Exchanges may not develop or be sustained after the listing. Listing and trading does not guarantee that a market for our Equity Shares will develop, or if developed, the liquidity of such market for the Equity Shares. The market price and liquidity for the Equity Shares post listing may be subject to significant fluctuations and may also decline below the listing price in response to, among other factors:

- volatility in the Indian and other global securities markets;
- problems such as temporary closure, broker default and settlement delays experienced by the Indian Stock Exchanges;
- the performance and volatility of the Indian and global economy;
- financial instability in emerging markets that may lead to loss of investor confidence;
- risks relating to our business and industry, including those discussed in this Information Memorandum;
- strategic actions by us or our competitors;
- investor perception of the investment opportunity associated with our Equity Shares and our future performance;
- adverse media reports about us, our Shareholders, Associate Company or our Group Company;
- future sales of our Equity Shares;
- variations in our quarterly results of operations;
- differences between our actual financial and operating results and those expected by investors and analysts;
- our future expansion plans;
- perceptions about our future performance or the performance of the health and safety solutions industry generally;
- changes in the estimates of our performance or recommendations by financial analysts;
- significant developments in India's economic liberalization and deregulation policies; and
- significant developments in India's fiscal and environmental regulations.

There has been significant volatility in the Indian stock markets in the recent past, and our Equity Share price could fluctuate significantly as a result of market volatility. A decrease in the market price of our Equity Shares could cause you to lose some or all of your investment. There can be no assurances that the shareholders will be able to sell their Equity Shares at all.

11. *Any future issuance of Equity Shares may dilute your shareholdings, and sales of our Equity Shares by our Promoter or other major shareholders may adversely affect the trading price of the Equity Shares.*

There is a risk that we may be required to finance our growth or strengthen our balance sheet through additional equity offerings. Any future equity issuances by us, may lead to the dilution of investors' shareholdings in our Company. We cannot predict what effect the future issue of equity shares by our Company and / or sale of our Equity Shares by our Promoter or majority shareholders will have on the market price of our Equity Shares.

12. *Foreign investors are subject to foreign investment restrictions under Indian law that limits our ability to attract foreign investors, which may adversely impact the market price of the Equity Shares.*

Under the foreign exchange regulations currently in force in India, transfers of shares between non-residents and residents are freely permitted (subject to certain exceptions) if they comply with the pricing guidelines and reporting requirements specified by the RBI or in the alternate, the pricing is in compliance with the extant provisions of the SEBI ICDR Regulations. If the transfer of shares is not in compliance with such pricing guidelines or reporting requirements or falls under any of the exceptions referred to above, then the prior approval of the RBI will be required. Additionally, shareholders who seek to convert the Rupee proceeds from a sale of

shares in India into foreign currency and repatriate that foreign currency from India will require a no objection or a tax clearance certificate from the income tax authority. Further, in accordance with Press Note No. 3 (2020 Series), dated April 17, 2020, issued by the Department for Promotion of Industry and Internal Trade, Government of India, investments where the beneficial owner of the Equity Shares is situated in or is a citizen of a country which shares land border with India, can only be made through the Government approval route, as prescribed in the Consolidated FDI Policy. These investment restrictions shall also apply to subscribers of offshore derivative instruments. We cannot assure investors that any required approval from the RBI or any other Government agency can be obtained on any particular terms or at all.

SUMMARY OF FINANCIAL INFORMATION

The following summary of financial and operating information is derived from the audited financial statements of our Company for the year ended March 31, 2024 after taking effect of the Scheme as described in the Auditors Report of M/s. Sharp and Tannan Associates, Chartered Accountants in the section titled “*Financial Statements*” on page 86 of this Information Memorandum.

(INR.in Lakh)

Particulars	For the year ended March 31, 2024 *	For the year ended March 31, 2023
Share Capital	5,159.45	5.00
Net Worth**	13,774.71	3.83
Revenue from Operations	22,849.66	-
Other income	105.94	-
Profit/ (Loss) before tax	3,983.03	(1.18)
Profit/ (Loss) after tax	2,971.11	(1.18)
EPS (in INR/share)***	110.63	(2.35)
Total Borrowings ****	542.40	-

* The Appointed date and the effective date for the Scheme is April 01, 2023 and March 01, 2024 respectively and therefore the above audited financials for the year ended March 31, 2024 is not comparable vis-a-vis last financial year.

The allotment of shares is done on March 13, 2024. EPS is calculated considering the allotment of shares.

**The above net worth has been computed as per section 2(57) of the Companies Act 2013.

*** As per the Scheme of Arrangement, FPTL issued and allotted four fully paid-up equity shares of INR 10/- each for every one fully paid-up equity share of INR 10/- each held by the equity shareholders of the Demerged Company (FCL) as on the Record Date. The issuance and allotment of equity shares took place on March 13, 2024. The total number of issued and allotted equity shares is 5,15,94,464, which has been diluted for a weighted average equity share of 26,85,739. As per IND AS 33, the weighted average of equity shares has been calculated from the acquisition date. Based on the above consideration, the EPS (earnings per share) is calculated to be INR 110.63 per share. However, if the appointed date, which is April 01, 2023, is considered as the acquisition date, then the EPS calculated is INR 5.76 per share.

**** Total Borrowings includes Long-term Borrowings and Short-term Borrowings.

GENERAL INFORMATION

Our Company was incorporated on August 30, 2022, under the provisions of Companies Act, 2013. The CIN of the Company is U29256MH2022PLC389649. There has been no change in the name of our Company since its incorporation.

Registered and Corporate Office of the Company

Forbes' Building, Charanjit Rai Marg, Fort
Mumbai, Maharashtra – 400 001
Tel.: +91 022 6913 8900 E-mail: investor.relations@forbesprecision.co.in
Corporate Identity Number U29256MH2022PLC389649

Manufacturing Facility of the Company

Plot No. B-13, Industrial Area, MIDC Waluj,
Chhatrapati Sambhajnagar, 431133, Maharashtra
Ph: +91 240 255 3421

Registrar of Companies

Registrar of Companies, Mumbai, Maharashtra,
100, Everest, Marine Drive,
Mumbai – 400 002
Tel.: +91 022 2281 2627

Board of Directors of our Company

Sr. No.	Name	Designation	DIN	Address
1.	Mahesh Chelaram Tahilyani	Managing Director	01423084	802, Tower 5, Rustomjee Ozone CHS Limited, Goregoan Mulund Link Road, Behind Goregaon Telephone Exchange, Goregaon (West), Mumbai- 400062
2.	Jai Laxmikant Mavani	Non-Executive Non-Independent Director	05260191	1702, Building No.5, Raheja Classic, New Link Road., Next to Infiniti Mall, Andheri West, Mumbai - 400053
3.	Marzin Roomi Shroff	Chairman - Non-Executive- Non-Independent Director	00642613	201, GAI Building, 647 B, Khareghat Road, Dadar (East), Mumbai – 400 014
4.	Sivanandhan Dhanushkodi	Non- Executive-Independent Director	03607203	S/O Dhanushkodi, B/1803, Ashok Towers, Dr. Babasaheb Ambedkar Road, Parel, Mumbai - 400012
5.	Rani Jadhav Ajit	Non- Executive-Independent Director	07070938	409, Shalaka, Maharshi Karve Marg, Opp. Cooperage Football Ground, Cooperage, Mumbai, Nariman Point, Mumbai- 400021
6.	Nikhil Jaysinh Bhatia	Non- Executive-Independent Director	00414281	S/O Jaysinh Dwarkadas Bhatia, 5/B, Keval Mahal, 64, Marine Drive, Near

Sr. No.	Name	Designation	DIN	Address
				Wankhede Stadium, Mumbai- 400020

For details of our Directors, refer to section titled “Our Management” on page 69 of the Information Memorandum.

Company Secretary & Compliance Officer	Chief Financial Officer
Rupa Khanna Company Secretary & Compliance Officer Tel.: +91 22 6913 8900 Email: rupa.khanna@forbesprecision.co.in Address: Forbes Building, Charanjit Rai Marg, Fort, Mumbai, 400 001, Maharashtra	Vikram Nagar Chief Financial Officer Tel.: +91 240 255 3433 Email: vikram.nagar@forbesprecision.co.in Address: Plot No. B-13, Industrial Area, MIDC Waluj, Chhatrapati Sambhajnagar, 431133, Maharashtra

Registrar and Share Transfer Agent

Link Intime India Private Limited

C-101, 1st Floor, 247 Park L.B.S. Marg,
Vikhroli (West), Mumbai-400 083, Maharashtra, India.

Contact Person: Ms. Shehnaz Billimoria

Tel: +91 22 4918 6000

E-mail: shehnaz.billimoria@linkintime.co.in

Website: www.linkintime.co.in

Bankers to our Company

Axis Bank Limited

Contact No. +91 8407902131

Email: waluj.branchhead@axisbank.com

Contact person: Mr. Narendra Vaidy

Address: Waluj, Chhatrapati Sambhajnagar, 431136.

Auditors of our Company

M/s. Sharp & Tannan Associates

Chartered Accountants

FRN: 109983W

Address: 87, Nariman Bhavan, 227 Nariman Point,
Mumbai - 400 021, Maharashtra

Tel: 022-6153 7500

Email: mumbai.office@sharpandtannan.com

Peer Review Cert. No.: 014153

Authority of Listing

The Hon'ble NCLT, vide Order dated February 09, 2024 (certified copy received by the Company on February 22, 2024) has approved the Scheme of Arrangement. For more details relating to the Scheme, please refer to the Section titled “Scheme of Arrangement” on page 42 of this Information Memorandum. In accordance with the said Scheme, the equity shares of our Company issued and allotted pursuant to the Scheme shall be listed and admitted to trading on the BSE. Such listing and admission for trading is not automatic and is subject to fulfillment by the Company of criteria of BSE and also subject to such other terms and conditions as may be prescribed by BSE at the time of application by our Company seeking listing. Our Company has received no objection from BSE on the Scheme of Arrangement under Regulation 37 of the SEBI LODR Regulations vide their letter nos. DCS/AMAL/TL/R37/2816/2023-24 dated July 07, 2023.

The Company has received approval for listing of its equity shares on BSE vide their letter no. DCS/AMAL/TL/IP/3158/2024-25 dated April 26, 2024. Further, the Company has also received a letter bearing no.

SEBI/HO/CFD/DCR/RAC-1/P/OW/2024/17446/1 dated May 22, 2024 from the SEBI in relation to relaxation from applicability of Rule 19(2)(b) of the SCRR for listing of the equity shares of Resulting Company on BSE.

Eligibility Criterion

There being no Initial public offering or rights issue, the eligibility criteria in terms of Chapter II of SEBI ICDR Regulations do not become applicable. However, SEBI vide its master circular SEBI/HO/CFD/POD-2/P/CIR/2023/93 dated June 20, 2023, as amended from time to time, has subject to certain conditions, permitted unlisted issuer companies to make an application for relaxing from the strict enforcement of Rule 19(2)(b) of SCRR, as amended. Our Company has submitted its Information Memorandum, containing information about itself, making disclosure in line with the disclosure requirement for public issues, as applicable, to BSE for making the said Information Memorandum available to public through their website at www.bseindia.com. Also, our Company has made the said Information Memorandum available on its website at www.forbesprecision.co.in. Our Company has published an advertisement in the newspapers containing its details in line with the details required as per the above-mentioned circular on June 03, 2024. The advertisement draws specific reference to the availability of this Information Memorandum on its website.

Prohibition by SEBI

The Company, its Directors, its Promoters, promoter group, other companies promoted by the promoter and companies with which the Company's Directors are associated as director's have not been prohibited from accessing the capital market under any order or direction passed by SEBI.

General Disclaimer from the Company

The Company accepts no responsibility for statements made otherwise than in the Information Memorandum or in the advertisements published in terms of SEBI master circular SEBI/HO/CFD/POD-2/P/CIR/2023/93 dated June 20, 2023, as amended from time to time, or any other material issued by or at the instance of the Company and anyone placing reliance on any other source of information would be doing so at his or her own risk. All information shall be made available by the Company to the public and investors at large and no selective or additional information would be available for a section of the investors in any manner.

Listing

The Company has nominated BSE Limited as Designated Stock Exchange for the aforesaid listing of the Equity Shares. The Company has received in-principle approval from BSE on April 26, 2024 and has received approval from SEBI under Rule 19(2)(b) of the Securities Contract Regulation Act, 1956 (SCRR) on May 22, 2024.

CAPITAL STRUCTURE

The Capital Structure of our Company - Pre-Scheme:

Particulars	Aggregate Nominal Value (INR)
Authorized Share Capital	
50,000 Equity Shares of face value of INR 10 each	5,00,000
Issued, Subscribed and paid-up share capital	
50,000 Equity Shares of face value of INR 10 each	5,00,000

The Capital Structure of our Company- Post-Scheme:

Particulars	Aggregate Nominal Value (INR)
Authorized Share Capital	
7,80,00,000 Equity Shares of face value of INR 10 each	78,00,00,000
Issued, Subscribed and paid-up share capital	
5,15,94,464 Equity Shares of INR 10 each	51,59,44,640

**The paid up share capital of the Company has increased on March 13, 2024, Pursuant to the Scheme of Arrangement sanctioned by NCLT, Mumbai.*

Notes to the Capital Structure:

1. Changes in Authorised Share Capital

The details of changes in authorised share capital of our Company since Incorporation are as follows:

(in INR except share data)				
Date	Particulars	Cumulative No. of Equity Shares	Face Value (INR)	Authorised Share Capital (in INR)
August 30, 2022	On incorporation	50,000	10	5,00,000
January 16, 2024	Pursuant to Scheme of Arrangement	7,80,00,000	10	78,00,00,000

2. Equity Share Capital History

(in INR except share data)							
Date of Allotment*	No. of Equity Shares	Cumulative No. of Equity Shares	Face Value (in INR)	Issue Price (in INR)	Cumulative Paid-up Capital (in INR)	Nature of consideration	Category of Allottees
On Incorporation [#]	50,000	50,000	10	10	5,00,000	Cash	Subscribers to Memorandum
March 13, 2024	5,15,94,464*	5,15,94,464	10	10	51,59,44,640	NA	Pursuant to effectiveness of Scheme of Arrangement

[#] 50,000 Equity shares has been cancelled in terms of Scheme of Arrangement.

* Equity shares have been allotted in terms of the Scheme of Arrangement sanctioned by National Company Law Tribunal under Sections 230-232 of the Companies Act, 2013. Details of the Scheme have been provided at page 42 of the Information Memorandum. Further, in respect of shares held by 38 shareholders who are entitled for 88,125 Equity shares of the Company, their entitlement is credited to a separate Demat Escrow account as their respective matters are sub-judice.

3. Shareholding Pattern of our Company before and after the Scheme:

The table below presents our shareholding pattern before the Scheme becoming effective

Table I: Summary statement holding of specified securities

Table 1: Summary statement holding of specified securities																		
Cate- gory	Category of shareholders	No. of share- holders	No. of fully paid up Equity Shares held	No. of partly paid up Equity Shares held	No. of shares underlying Depository Receipts	Total no. of shares held	Share-holding as a %age of total no. of shares (calculated as per SCRR, 1957)	No. of voting rights held in each class of securities			No. of shares underlying outstanding convertible securities (including warrants)	Shareholding as % assuming full conversion of convertible securities (as a % of diluted share capital)	No. of locked in shares		No. of shares pledged		No. of Equity Shares held in dematerialised form	
							(as a % of (A+B+C)	No. of voting rights		Total as % of (A+B+C)			No. (a)	As a % of total shares held (b)	No. (a)	As a % of total shares held (b)		
(I)	(II)	(III)	(IV)	(V)	(VI)	(VII) = IV + V + VI	(VIII)	Class X	Class Y	Total	(IX)	(X)	(XI) = (VII) + (X) as a % of (A+B+C)	(XII)		(XIII)		(XIV)
(A)	Promoter & Promoter Group*	7	50000	-	-	50000	100.00	50000	-	50000	100.00	-	100.00	-	-	-	-	-
(B)	Public	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(C)	Non promoter non public	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(C1)	Shares underlying DRs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(C2)	Shares held by Employee trust	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total	7	50000	-	-	50000	100.00	50000	-	50000	100.00	-	100.00	-	-	-	-	-

(*) Nominees of Forbes & Company Limited

Table II: Statement showing shareholding pattern of the Promoter and Promoter Group

Cat e- gory	Category of share-holders	No. of share - holde rs	No. of fully paid up Equity Shares held	No. of partly paid up Equity Shares held	No. of shares underly ing Deposit ory Receipt s	Total no. of shares held	Share- holding as a %age of total no. of shares (calculated as per SCRR, 1957)	No. of voting rights held in each class of securities			No. of shar es underly ing outst andi ng conv ertib le secur ities (incl udin g warr ants)	Sharehold ing as % assuming full conversion of convertible securities (as a % of diluted share capital)	No. of locked in shares		No. of shares pledged		No. of Equity Shares held in dematerial ised form	
							(as a % of (A+B+C)	No. of voting rights		Total as % of (A+B+ C)			No. (a)	As a % of total shares held (b)	No. (a)	As a % of total share s held (b)		
(I)	(II)	(III)	(IV)	(V)	(VI)	(VII) = IV + V + VI	(VIII)	Class X	Cla ss Y	Total	(IX)	(X)	(XI) = (VII) + (X) as a % of (A+B+C)	(XII)		(XIII)		(XIV)
A(1)	Indian																	
(a)	Individuals / HUF	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	Central Govt / State Govt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(c)	Financial Institutions / Banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Any other (Bodies Corporate)	7	50000	-	-	50000	100.00	50000	-	50000	100.00	-	100	-	-	-	-	-
	Forbes & Company Limited	1	49994	-	-	49994	100.00	49994	-	49994	100.00	-	100	-	-	-	-	-
	Rupa Khanna*	1	1	-	-	1	-	1	-	1	-	-	-	-	-	-	-	-
	Ravinder Chander Prem*	1	1	-	-	1	-	1	-	1	-	-	-	-	-	-	-	-
	Atul Keshrao Sadawarte*	1	1	-	-	1	-	1	-	1	-	-	-	-	-	-	-	-
	Prashant Kamlakant Pradhan*	1	1	-	-	1	-	1	-	1	-	-	-	-	-	-	-	-
	Pavan Radhesham Somani*	1	1	-	-	1	-	1	-	1	-	-	-	-	-	-	-	-
	Aruna Anand Kelkar*	1	1	-	-	1	-	1	-	1	-	-	-	-	-	-	-	-
	Sub-total A(1)	7	50000	-	-	50000	100.00	50000		50000	100.00	-	100	-	-	-	-	-
A(2)	Foreign	-	-	-	-	-	-	-		-	-	-	-	-	-	-	-	-
(a)	Individuals (Non resident Individuals / Foreign Individuals)	-	-	-	-	-	-	-		-	-	-	-	-	-	-	-	-
(b)	Government	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(c)	Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Foreign Portfolio Investors	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(e)	Any others (Foreign Bodies Corporate)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-total A(2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total shareholding of Promoter & Promoter Group (A) = (A)(1) + (A)(2)	7	50000	-	-	50000	100.00	50000	-	50000	100.00	-	100	-	-	-	-	-

(*) Nominees of Forbes & Company Limited

Table III: Statement showing shareholding pattern of public shareholder

Category	Category of share-holders	No. of share-holders	No. of fully paid up Equity Shares held	No. of partly paid up Equity Shares held	No. of shares underlying Depository Receipts	Total no. of shares held	Shareholding as a %age of total no. of shares (calculated as per SCRR, 1957)	No. of voting rights held in each class of securities			No. of shares underlying outstanding convertible securities (including warrants)	Shareholding as % assuming full conversion of convertible securities (as a % of diluted share capital)	No. of locked in shares		No. of shares pledged		No. of Equity Shares held in dematerialised form
							(as a % of (A+B+C))	No. of voting rights		Total as % of (A+B+C)			No. (a)	As a % of total shares held (b)	No. (a)	As a % of total shares held (b)	
(I)	(II)	(III)	(IV)	(V)	(VI)	(VII) = IV + V + VI	(VIII)	Class X	Class Y	Total	(IX)	(X)	(XI) = (VII) + (X) as a % of (A+B+C)	(XII)	(XIII)	(XIV)	(XIV)
1	Institutions																
(a)	Mutual Funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	Venture Capital Fund	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(c)	Alternative Investment Fund	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Foreign venture capital investor	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(e)	Foreign portfolio investor	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(f)	Financial Institutions / Banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(g)	Insurance Companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(h)	Provident funds / pension funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(i)	Any other (Foreign Institutional Investors)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub Total (B)(1)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2	Central government / state government / President of India	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub Total (B)(2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
3	Non Institutions																
(a)	Individual shareholders holding nominal share capital upto ` 2.00 lac	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Individual shareholders holding nominal share capital in excess of ` 2.00 lac	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	NBFC registered with RBI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(c)	Employees Trusts	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Overseas Depositories (holding DR) balancing figure	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(e)	Any other														-	-	
	Sub Total (B)(3)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total public shareholding (B) = (B)(1)+(B)(2)+(B)(3)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Table IV: Statement showing shareholding pattern of Non promoter Non public shareholder

Category	Category of share-holders	No. of share-holders	No. of fully paid up Equity Shares held	No. of partly paid up Equity Shares held	No. of shares underlying Depository Receipts	Total no. of shares held	Shareholding as a %age of total no. of shares (calculated as per SCRR, 1957)	No. of voting rights held in each class of securities			No. of shares underlying outstanding convertible securities (including warrants)	Shareholding as % assuming full conversion of convertible securities (as a % of diluted share capital)	No. of locked in shares		No. of shares pledged		No. of Equity Shares held in dematerialised form	
							(as a % of (A+B+C))	No. of voting rights		Total as % of (A+B+C)			No. (a)	As a % of total shares held (b)	No. (a)	As a % of total shares held (b)		
(I)	(II)	(III)	(IV)	(V)	(VI)	(VII) = IV + V + VI	(VIII)	Class X	Class Y	Total	(IX)	(X)	(XI) = (VII) + (X) as a % of (A+B+C)	(XII)		(XIII)		(XIV)
1	Custodian / DR Holder																	
2	Employees benefit trust (under SEBI (Share based employee benefit) Regulations, 2014	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
(b)	Total non promoter non public shareholding (C) = (C)(1) + (C)(2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	

The tables below presents our shareholding pattern after allotment pursuant to the Scheme

Table I: Summary statement holding of specified securities

Category (I)	Category of shareholder (II)	Nos. of shareholders (III)	No. of fully paid up equity shares held (IV)	No. of Partly paid-up equity shares held (V)	No. of shares underlying Depository Receipts (VI)	Total nos. shares held (VII) = (IV)+(V)+(VI)	Shareholding as a % of total no. of shares (calculated as per SCRR, 1957) (VIII) As a % of (A+B+C 2)	Number of Voting Rights held in each class of securities (IX)				No. of Shares Underlying Outstanding convertible securities (including Warrants)(X)	Shareholding , as a % assuming full conversion of convertible securities (as a percentage of diluted share capital) (XI)= (VII)+(X) As a % of (A+B+C2)	Number of Locked in shares (XII)		Number of Shares pledged or otherwise encumbered (XIII)		Number of equity shares held in dematerialized form (XIV)
								No of Voting Rights			Total as a % of (A+B +C)			No. a	As a % of total Share s held (b)	No. a	As a % of total Share s held (b)	
								Class eg: X	Class eg: Y	Total								
(A)	Promoter & Promoter Group	2	3,81,02,764	0	0	3,81,02,764	73.85	3,81,02,764	0	3,81,02,764	73.85	0	73.85	0	0	*	*	3,81,02,764
(B)	Public	10,540	1,34,91,700	0	0	1,34,91,700	26.15	1,34,91,700	0	1,34,91,700	26.15	0	26.15	0	0	NA	NA	1,34,91,700
(C)	Non Promoter-Non Public																	
(C1)	Shares underlying DRs	0	0	0	0	0	0	0	0	0	0	0	0	0	0	NA	NA	0
(C2)	Shares held by Employee Trusts	0	0	0	0	0	0	0	0	0	0	0	0	0	0	NA	NA	0
	Total	10,542	5,15,94,464	0	0	5,15,94,464	100.00	5,15,94,464	0	5,15,94,464	100.00	0	100.00	0	0	*	*	5,15,94,464

*On the allotment of shares to the Promoter namely Shapoorji Pallonji and Company Private Limited, pursuant to the Scheme. The equity shares held by the Promoter namely Shapoorji Pallonji and Company Private Limited are proposed to be pledged in favour of Catalyst Trusteeship Limited as the security trustee acting in trust on behalf of the lenders.

Table II: Statement showing shareholding pattern of the Promoter and Promoter Group

	Category of shareholder (I)	No. of shares held (II)	No. of fully paid up equity shares held (IV)	No. of Partly paid-up equity shares held (V)	No. of shares underlying Depository Receipts (VI)	Total nos. shares held (VII) = (IV)+(V) + (VI)	Shareholding as a % of total no. of shares (calculated as per SCRR, 1957) (VIII) As a % of (A+B+C 2)	Number of Voting Rights held in each class of securities (IX)				No. of Shares Underlying Outstanding convertible securities (including Warrants) (X)	Shareholding, as a % assuming full conversion of convertible securities (as a percentage of diluted share capital) (XI)= (VII)+(X) As a % of (A+B+C2)	Number of Locked in shares (XII)		Number of Shares pledged or otherwise encumbered (XIII)		Number of equity shares held in dematerialized form (XIV)	Sub-categorization of shares (XV)				
								No of Voting Rights			Total as a % of (A+B+C)					No. a	As a % of total Shares held (b)		No. a	As a % of total Shares held (b)	Shareholding (No. of shares) under		
								Class eg: X	Class eg: Y	Total											Sub-category (i)	Sub-category (ii)	Sub-category (iii)
(1)	Indian																						
(a)	Individuals/ Hindu Undivided Family	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
(b)	Central Government/State Government(s)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
(c)	Financial Institutions/Banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
(d)	Any Other (Specify)	2	38102764	-	-	-	73.85	38102764	-	-	73.85	-	-	-	-	38102764	98.25	38102764	-	-	-	-	
	Bodies Corporate	2	38102764	-	-	-	73.85	38102764	-	-	73.85	-	-	-	-	38102764	98.25	38102764	-	-	-	-	

	Shapoorji Pallonji and Company Private Limited	1	37437172	-	-	-	72.56	37437172	-	-	72.56	-	-	-	-	37437172	98.25	37437172	-	-	-
	Forbes Campbell Finance Limited	1	665592	-	-	-	1.29	665592	-	-	1.29	-	-	-	-	-	-	665592	-	-	-
	Sub-Total (A)(1)	2	38102764	-	-	-	73.85	38102764	-	-	73.85	-	-	-	-	-	-	38102764	-	-	-
(2)	Foreign								-	-	-	-	-	-	-	-	-	-	-	-	-
(a)	Individuals (Non-Resident Individuals/ Foreign Individuals)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	Government	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-				
(c)	Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Foreign Portfolio Investor	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(e)	Any Other (specify)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-Total (A)(2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	TOTAL Shareholding of Promoter and Promoter Group(A) = (1) + (2)	2	38102764			38102764	73.85	38102764		38102764	73.85		73.85			37437172	98.25	38102764			

Table III: Statement showing shareholding pattern of public shareholders

	Category of shareholder (I)	Nos. of shareholders (III)	No. of fully paid up equity shares held (IV)	No. of Partly paid-up equity shares held (V)	No. of shares underlying Depository Receipts (VI)	Total nos. shares held (VII) = (IV)+(V) + (VI)	Shareholding as a % of total no. of shares (calculated as per SCRR, 1957) (VIII) As a % of (A+B+C2)	Number of Voting Rights held in each class of securities (IX)			No. of Shares Underlying Outstanding convertible securities (including Warrants)(X)	Shareholding , as a % assuming full conversion of convertible securities (as a percentage of diluted share capital) (XI)= (VII)+(X) As a % of (A+B+C2)	Number of Locked in shares (XII)		Number of Shares pledged or otherwise encumbered (XIII)		Number of equity shares held in dematerialized form (XIV)	Sub-categorization of shares (XV)			
								No of Voting Rights					Total as a % of (A+B+C)	N o. a	As a % of total Shares held (b)	N o. a		As a % of total Shares held (b)	Shareholding (No. of shares) under		
								Class eg: X	C l a s s e g : Y	Total									Sub-category (i)	Sub-category (ii)	Sub-category (iii)
(1)	Institutions (Domestic)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(a)	Mutual Funds	1	568	-	-	568	-	568		568	0.00	-	-	-	-	-	568	-	-	-	-
(b)	Venture Capital Funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(c)	Alternate Investment Funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Banks	2	47028	-	-	47028	0.09	47028		47028	0.09	-	-	-	-	-	47028	-	-	-	-
(e)	Insurance Companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(f)	Provident / Pension Funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(g)	Asset Reconstruction Companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(h)	Sovereign Wealth Funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(i)	NBFCs registered with RBI	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(j)	Other Financial Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(k)	Any Other (specify)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-Total B(1)	3	47596	-	-	47596	0.09	47596		47596	0.09	-	-	-	-	-	47028	-	-	-	-

'(2)	Institutions (Foreign)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(a)	Foreign Direct Investment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	Foreign Venture Capital Investors	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(c)	Sovereign Wealth Funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(d)	Foreign Portfolio Investors Category I	10	6041696	-	-	6041696	-	6041696	6041696	11.71	-	-	-	-	-	6041696	-	-	-	-
(e)	Foreign Portfolio Investors Category II	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(f)	Overseas Depositories (holding DRs) (balancing figure)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(g)	Any Other (specify)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-Total (B)(2)	10	6041696	-	-	6041696	-	6041696	6041696	11.71	-	-	-	-	-	6041696	-	-	-	-
'(3)	Central Government / State Government(s)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(a)	Central Government / President of India	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	State Government / Governor	1	121452	-	-	121452	-	121452	121452	0.24	-	-	-	-	-	121452	-	-	-	-
(c)	Shareholding by Companies or Bodies Corporate where Central / State Government is a promoter	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-Total (B)(3)	1	121452	-	-	121452	-	121452	121452	0.24	-	-	-	-	-	121452	-	-	-	-

' (4)	Non-Institutions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(a)	Associate companies / Subsidiaries	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(b)	Directors and their relatives (excluding independent directors and nominee directors)	1	8128	-	-	8128	-	8128	-	8128	0.02	-	-	-	-	-	-	8128	-	-	-
(c)	Key Managerial Personnel	1	4	-	-	4	-	4	-	4	0.00	-	-	-	-	-	-	4	-	-	-
(d)	Relatives of promoters (other than immediate relatives of promoters disclosed under Promoter & PGC)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(e)	Trusts where any person belonging to Promoter & PGC is trustee, beneficiary or author of the trust	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(f)	Investor Education and Protection Fund (IEPF)	1	652612	-	-	652612	-	652612		652612	1.26	-	-	-	-	-	-	652612	-	-	-
	INVESTOR EDUCATION AND PROTECTION FUND AUTHORITY OF	1	652612	-	-	652612	-	652612		652612	1.26	-	-	-	-	-	-	652612	-	-	-

	CORPORATE AFFAIRS																				
(g)	Resident Individuals holding nominal share capital up to Rs. 2 lakhs	9973	3487908	-	-	3487908	6.76	3487908		3487908	6.76	-	6.76					3487908			
(h)	Resident Individuals holding nominal share capital in excess of Rs. 2 lakhs	19	1222052	-	-	1222052	2.37	1222052		1222052	2.37		2.37					1222052			
(i)	Non Resident Indians (NRIs)	162	127316	-	-	127316	0.25	127316	-	127316	0.25	-	0.25	-	-	-	-	127316	-	-	-
(j)	Foreign Nationals	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(k)	Foreign Companies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(l)	Bodies Corporate	83	1634456	-	-	1634456	3.17	1634456		1634456	3.17	-	3.17	-	-	-	-	1634456	-	-	-
(m)	Any Other (specify)																				
	i) Clearing Member	3	2680	-	-	2680	0.01	2680		2680	0.01	-	0.01	-	-	-	-	2680	-	-	-
	ii) Overseas corporate bodies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	iii) Trust	1	2400	-	-	2400	0.00	2400		2400	0.00	-	0.00	-	-	-	-	2400	-	-	-
	iv) Foreign Portfolio Investor(In dividual)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	v) Unclaimed or Suspense or Escrow Account	1	1520	-	-	1520	-	1520		1520	0.01	-	-	-	-	-	-	1520	-	-	-
	vii) Resident HUF	275	125456	-	-	125456	0.24	125456		125456	0.24	-	0.24	-	-	-	-	125456	-	-	-
	viii) Custodian	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	ix) Employees / Office Bearers	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

	x) Foreign Bank	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	xi) Qualified Institutional Buyer	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	xii) LLP	7	17944	-	-	17944	0.03	17944		17944	0.03	-	0.03	-	-	-	-	17944	-	-	-
	Sub-Total (B)(4)	10526	7280956	-	-	7280956	14.11	7280956		7280956	14.11	-	14.11	-	-	-	-	7280956	-	-	-
	TOTAL Public Shareholding(B) = B(1) + B(2) + B(3) + B(4)	10540	13491700	-	-	13491700	26.15	13491700		13491700	26.15	-	26.15	-	-	-	-	13491700	-	-	-

Table IV: Statement showing shareholding pattern of Non promoter Non public shareholder

	Category of shareholder (I)	PAN (II)	Nos. of shareholders (III)	No. of fully paid up equity shares held (IV)	No. of Partly paid up equity shares held (V)	No. of shares underlying Depository Receipts (VI)	Total nos. shares held (VII) = (IV)+(V)+(VI)	Shareholding as a % of total no. of shares (calculated as per SCRR, 1957) (VIII) As a % of (A+B+C 2)	Number of Voting Rights held in each class of securities (IX)				No. of Shares Underlying Outstanding convertible securities (including Warrants) (X)	Shareholding, as a % assuming full conversion of convertible securities (as a percentage of diluted share capital) (XI) = (VII)+(X) As a % of (A+B+C 2)	Number of Locked in shares (XII)		Number of Shares pledged or otherwise encumbered (XIII)		Number of equity shares held in dematerialized form (XIV)	Sub-categorization of shares (XV)		
									No of Voting Rights			Total as a % of (A+B +C)			No. of Locked in shares (XII)	As a % of total Shares held (b)	No. of Shares held (b)	As a % of total Shares held (b)		Shareholding (No. of shares) under		
									Class eg: X	Class eg: Y	Total									Sub-category (i)	Sub-category (ii)	Sub-category (iii)
(1)	Custodian /DR Holder	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(a)	Name of DR Holder (if available)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-Total (C)(1)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
(2)	Employee Benefit Trust (under SEBI (Share based Employee Benefit) Regulations 2014)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Sub-Total (C)(2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Total Non-Promoter-Non Public Shareholding (C) = (C)(1)+(C)(2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Other details of shareholding of our Company

- (a) Set forth below is a list of Shareholders holding 1% or more of the paid-up share capital of our Company, as of two years prior to the date of this Information Memorandum:

Not applicable since the Company was incorporated on August 30, 2022.

- (b) Set forth below is a list of Shareholders holding 1% or more of the paid-up share capital of our Company, as of one year prior to the date of this Information Memorandum:

Sr. No.	Name of the Shareholders	No. of Equity Shares	% of total Shareholding
1	Forbes & Company Limited along with its nominees	50,000	100
Total		50,000	100

**Nominees of Forbes & Company Limited*

- (c) Set forth below is a list of Shareholders holding 1% or more of the paid-up share capital of our Company, as of 10 days prior to the date of this Information Memorandum:

Sr. No.	Name of the Shareholders	No. of Equity Shares	% of total Shareholding
1	Shapoorji Pallonji and Company Pvt. Ltd.	3,74,37,172	72.56
2	India Discovery Fund Limited	45,93,020	8.90
3	Antara India Evergreen Fund Limited	13,31,564	2.58
4	Forbes Campbell Finance Limited	6,65,592	1.29
Total		4,40,27,348	85.33

In addition to above, there are 6,52,612 Equity shares (equivalent to 1.26% of the total shareholding) held with “Investor Education and Protection Fund Authority Ministry of Corporate Affairs”.

4. Our Promoter, Promoter Group, Directors and their relatives have not sold or purchased any shares of our Company during the period of six months preceding the date of the Information Memorandum except the Equity Shares allotted/cancelled by the Company pursuant to the Scheme.
5. Our Promoter, Promoter Group, Directors and their relatives have not financed the purchase by any other person of the Equity Shares of our Company during the period of six months immediately preceding the date of the Information Memorandum.
6. As on the date of the Information Memorandum, there are no outstanding warrants, options or rights to convert debentures, loans or other instruments.
7. As on the date of the Information Memorandum, the issued capital of our Company is fully paid up.
8. On the allotment of shares to the Promoter namely Shapoorji Pallonji and Company Private Limited, pursuant to the Scheme. The equity shares held by the Promoter namely Shapoorji Pallonji and Company Private Limited are proposed to be pledged in favour of Catalyst Trusteeship Limited as the security trustee acting in trust on behalf of the lenders.
9. Neither we, nor our Directors, Promoter, Promoter Group Entities have entered into any buyback and / or standby arrangements and / or similar arrangements for the purchase of our Equity Shares from any person.
10. As on the date of the Information Memorandum, the Company has 10,542 shareholders.
11. We do not have any ESOP Scheme or ESP Scheme.
12. There shall be only one denomination for the Equity Shares of the Company, subject to applicable regulations and Company shall comply with such disclosure and accounting norms, as specified by SEBI, from time to time.

13. Except to the extent required to comply with applicable law, our Company, presently, does not intend nor does it propose to alter its capital structure for a period of 6 (six) months from the date of this Information Memorandum, by way of split or consolidation of the denomination of Equity Shares, or by way of further issue of Equity Shares (including issue of securities convertible into or exchangeable, directly or indirectly for Equity Shares), whether on a preferential basis, or by way of issue of bonus Equity Shares, or on a rights basis, or by way of further public issue of Equity Shares, or otherwise. However, if our Company enters into acquisitions, joint ventures, or other arrangements (including significant project expansion), our Company may, subject to necessary approvals, consider raising additional capital to fund such activity or use Equity Shares as currency for acquisitions or participation in such joint ventures.

SCHEME OF ARRANGEMENT

For definitions of the terms used herein, but if not defined, you may refer to the Scheme

The Scheme was filed under Section 230 to 232 read with section 66 of the Act, and other relevant provisions of the Companies Act 2013, as applicable from time to time, for transfer and vesting of “Demerged Undertaking” of Forbes & Company Limited (“Demerged Company”) to Forbes Precision Tools and Machine Parts Limited (“Resulting Company”) with effect from the Appointed Date and upon effectiveness of the Scheme on the Effective Date. In addition, the Scheme also provides for various other matters consequential and/or otherwise integrally connected herewith.

A. The text of Rationale as provided in the Scheme of Arrangement is reproduced below:

Forbes & Company Limited, a company listed on the BSE Limited, is engaged in the business of:

- (a) Precision Tools business
- (b) Industrial Automation, Coding, Medical Devices, Parts and Applications and Ventilator business;
- (c) Real Estate Business, and
- (d) Investment into Subsidiaries, Joint Ventures and Associates

Forbes Precision Tools and Machine Parts Limited, a wholly owned subsidiary of Forbes & Company Limited is incorporated on August 30, 2022 to carry on the business of manufacturers, importers, exporters, buyers, sellers, traders, dealers, distributors, service providers of engineering and electrical products and services including taps, carbon and/or steel taps, drills, rotary burrs, tools, threading tools, grinding tools, measuring tools, hand tools, precision tools, tools of any kind, jigs, fixtures, dies, spare parts, accessories, filtering materials, designs, patterns, plants, apparatus, equipment, machinery, machine parts and to carry on such other activities as may be incidental or conducive or advantageously carried on with any of the above activities.

The nature of risk, competition, challenges, opportunities and business methods for Precision Tools business is separate and distinct from the Remaining Business carried out by the Demerged Company.

Each of the varied businesses carried out by the Demerged Company have significant potential for growth and profitability and can attract different set of investors, strategic partners, lenders, etc. Therefore, as these businesses approach their next phase of growth, it would be strategically apt to segregate the Precision Tools business from the Remaining Business.

The segregation shall enable them to move forward independently, with greater focus and specialization, building on their respective capabilities and their strong brand presence. It will also help to channelize resources required for all the businesses to focus on the growing businesses and attracting right talent and providing enhanced growth opportunities to existing talent in line with a sharper strategic focus on the business segment under separate entity.

The Scheme will also enable the Demerged Company and the Resulting Company to focus and enhance its respective businesses by streamlining operations and its management structure ensuring better and more efficient management control.

Bifurcation of these businesses will enable unlocking value of its verticals thereby paving way for focused growth with a view to create significant stakeholder value and at the same time allow investors to allocate their portfolio into separate entities, focused on the distinct entities. Further, it will enable independent and distinct capital allocation approach and balance sheet management based on the distinct needs of each business.

Thus, the demerger pursuant to this Scheme is expected, inter-alia, to result in the following benefits:

- i. Create a sector focused Company;
- ii. Unlock the value for the shareholders of the Demerged Company by listing of the shares of the Resulting Company;
- iii. Allowing managements of the each of the Demerged Company and the Resulting Company to pursue independent growth strategies;
- iv. Allow in creating the ability to achieve valuation based on respective risk-return profile and cash flows, attracting the right investors and thus enhancing flexibility in accessing capital;

v. Independent collaboration and expansion.

The Scheme is in the interest of the shareholders, creditors, lenders and various other stakeholders of the respective companies. It is not prejudicial to the interests of shareholders, creditors, lenders and various other stakeholders of the respective companies.

B. Demerger and vesting of the Demerged Undertaking from into the Resulting Company

On the Scheme becoming effective i.e. the Effective Date and with effect from the Appointed Date and in accordance with the provisions of the Scheme and pursuant to Sections 230 and 232 and other applicable provisions of the Companies Act, all assets, permits, contracts, liabilities, loan, duties and obligations of the Demerged Undertaking shall without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in the Resulting Company on a going concern basis, so as to become as and from the Appointed Date, the assets, permits, contracts, liabilities, loan, duties and obligations of the Resulting Company by virtue of operation of law, and in the manner provided in the Scheme.

C. Compliance With Tax Laws

This Scheme has been drawn up to comply with the conditions relating to “Demerger” as specified under Section 2(19AA) of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the said provisions at a later date, including resulting from amendment of law or for any other reason whatsoever, the provisions of the Income-tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(19AA) of the Income-tax Act, 1961. Such modification will, however, not affect other parts of the Scheme. The power to make such modifications / amendments, as may become necessary, shall vest with the Board of Directors of the Demerged Company, which can exercise the power at any time and shall be exercised in the best interest of the Demerged Company and the Resulting Company.

D. Consideration

In terms of the Scheme, as consideration for the demerger of the Demerged Undertaking, the Board of Directors of the Resulting Company have agreed to issue 4 (four) fully paid-up equity share having face value of Rs 10 (Rupees Ten) each for every 1 (One) fully paid-up equity share of Rs 10 (Rupees Ten) each of Demerged Company.

The Resulting Company shall, without any further act, instrument or deed, issue and allot to every equity shareholder of the Demerged Company as on the Record Date, the requisite number of equity shares in the Resulting Company.

E. Approvals with respect to Scheme

a. Approval from Board of Directors, shareholders and creditors (secured and unsecured)

- The Scheme was approved by the Board of Directors of Demerged Company and our Company vide their respective resolutions dated September 26, 2022.
- Further, the shareholders and unsecured creditors of Demerged Company approved the Scheme at their respective meetings convened on October 31, 2023.
- The meeting of the shareholders and creditors of our Company was dispensed with in light of the consent affidavits filed by its shareholders and ‘nil’ creditors.

b. Approval from Hon’ble NCLT

- The Hon’ble NCLT approved the Scheme, vide Order dated February 9, 2024 (certified copy received by the Company on February 22, 2024).

c. Approval from stock exchanges and SEBI

- The Company has received approval for listing of its equity shares on BSE vide their letter no. DCS/AMAL/TL/IP/3158/2024-25 dated April 26, 2024.
- Further, the Company has also received a letter bearing no. SEBI/HO/CFD/DCR/RAC-1/P/OW/2024/17446/1 dated May 22, 2024 from the SEBI in relation to relaxation from applicability of Rule 19(2)(b) of the SCRR for listing of the equity shares of Resulting Company on BSE.

STATEMENT OF POSSIBLE TAX BENEFITS

MS: F30 (1.1)/3/2024

To,
The Board of Directors
Forbes Precision Tools and Machine Parts Limited
Forbes Building, Charanjit Rai Marg,
Fort, Mumbai, 400 001, Maharashtra

Subject: Statement of possible special tax benefits available to Forbes Precision Tools and Machine Parts Limited ("the Company") and its shareholders ("the statement").

Dear Sir/Sirs,

We, **Sharp & Tannan Associates**, Chartered Accountants (Firm Registration Number **109983W**), the statutory auditor of the Company, hereby certify that the possible tax benefits available to the Company and its shareholders under the Income Tax Act, 1961, as amended (the "**IT Act**"), the rules, regulations, circulars and notifications issued thereon as applicable to the assessment year 2024-2025 relevant to the financial year 2023-2024, presently in force in India, for inclusion in the Information memorandum in connection with the listing of the Company pursuant to the listing of equity shares of the Company (the "**Information**").

Management's responsibility

The preparation of the Statement annexed to this certificate is the responsibility of the management of the Company including the preparation and maintenance of all accounting and other records supporting its contents. This responsibility includes the design, and implementation of internal control relevant to the preparation and presentation of the Statement and applying an appropriate basis of preparation and making estimates that are reasonable in the circumstances.

The Management is also responsible for ensuring compliance with the requirements of the Income-tax Act, 1961 and any law or regulation applicable, if any, with respect to the information.

Auditor's responsibility

We have performed the following procedures: -

1. Obtained and reviewed the details stated in the Statement prepared by the management of the Company.
2. Obtained and reviewed the Income Tax returns and Income Tax forms filed by the Company for the Assessment year 2023-24 to avail of the stated special tax benefits.

Our responsibility is to perform the procedures mentioned above, on the Statement and provide negative assurance. The contents of the enclosed Statement are based on information, explanations, and representations provided by the Company and based on our understanding of the business activities and operations of the Company.

We have conducted our examination in accordance with the 'Guidance Note on Audit Reports and Certificates for Special Purposes (Revised 2016)' issued by the Institute of Chartered Accountants of India.

We hereby confirm that while providing this certificate we have complied with the Code of Ethics and the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements, issued by the Institute of Chartered Accountants of India.

Opinion

Based on the above procedures performed and management representation, nothing has come to our attention that causes us to believe that the enclosed Statement in **Annexure A** (attached herewith to this certificate and

forms an integral part of the certificate) which states the tax benefits, available to the Company and its shareholders, under the Income Tax laws presently in force in India is inaccurate, as on the date of this certificate.

Several of these stated tax benefits are dependent on the Company or its shareholders fulfilling the conditions prescribed under the relevant provisions of the Income Tax Act, 1961. Hence, the ability of the Company or its shareholders to derive the tax benefits is dependent upon fulfilment of such conditions, which based on business imperatives the Company faces in the future, the Company may or may not choose to fulfill.

We were informed that; this statement is only intended to provide general information to the shareholders and is neither designed nor intended to be a substitute for professional tax advice. In view of the individual nature of the tax consequences and the changing tax laws, each shareholder is advised to consult his or her own tax consultant with respect to the specific tax implications arising out of their shareholding in the Company. We are neither suggesting nor are we advising the investor to invest money or not to invest money based on this statement.

We do not express any opinion or provide any assurance as to whether:

- i) the Company and its shareholders will continue to obtain these benefits in the future; or
- ii) the conditions prescribed for availing the benefits have been/would be met with; or
- iii) the revenue authorities/courts will concur with the views expressed herein.

Our views expressed herein are based on the facts and assumptions indicated above. No assurance is given that the revenue authorities/ courts will concur with the views expressed herein. Our views are based on the existing provisions of law and its interpretations, which are subject to change from time to time by subsequent legislative, regulatory, administrative or judicial decisions. We do not assume responsibility to update the views consequent to such changes.

Restriction on use

The benefits discussed in the enclosed Statement are neither exhaustive nor conclusive. The enclosed Statement is for your information and we hereby consent to the extracts of this certificate and annexure being used as Information of the Company in connection with the listing of the equity shares of the Company or for submission to a regulatory authority and is not to be used, referred to or distributed for any other purpose without our prior written consent.

Our work was performed solely to assist you in meeting your responsibilities in connection with our work according to this certificate. Our obligations in respect of this certificate are entirely separate from, and our responsibility and liability are in no way changed by any other role we may have (or may have had) as auditors of the Company or otherwise. Nothing in this certificate, nor anything said or done in the course of or in connection with the services that are the subject of this certificate, will extend any duty of care we may have in our capacity as auditors of the Company.

Sharp & Tannan Associates
Chartered Accountants
Firm's Registration No.:109983W

Sd/-
Parthiv S. Desai
Partner

Mumbai, March 29, 2024

Membership No.: (F) 042624
UDIN:24042624BKFRRL9849

Annexure A

STATEMENT OF TAX BENEFITS AVAILABLE TO THE COMPANY AND ITS SHAREHOLDERS UNDER THE APPLICABLE INCOME TAX ("IT ACT")

The information provided below sets out the income tax benefits in the hands of the Company and its shareholders in a summary manner only and is not a complete analysis or listing of all potential tax benefits, under the current Income-tax Act, 1961 ("IT Act") presently in force in India.

Several of these tax benefits are dependent on fulfilling the conditions prescribed under IT Act. Hence, the ability of the Company and/or its shareholder to derive the tax benefits is dependent upon fulfilling such conditions, which, based on business imperatives any of them face, they may or may not choose to fulfill. Further, certain tax benefits may be optional and it would be at the discretion of the Company and shareholders of the Company to exercise the option by fulfilling the conditions prescribed under the relevant Taxation Laws. The following overview is not exhaustive or comprehensive and is not intended to be a substitute for professional advice. Investors are advised to consult their tax consultant with respect to the tax implications of an investment in the shares particularly in view of the fact that certain recently enacted legislation may not have a direct legal precedent or may have a different interpretation of the special tax benefits, which an investor can avail. The statement below covers only relevant Taxation law benefits and does not cover any benefit under any other law.

A. TAX BENEFITS UNDER THE INCOME TAX ACT, 1961 IN THE HANDS OF THE COMPANY AND ITS SHAREHOLDERS:

The provision of the law stated below is as per the Income-tax Act, 1961 as amended from time to time and applicable for the financial year 2023-24 relevant to assessment year 2024-25.

Tax benefits available to the Company under the IT Act

a) Lower corporate tax rate under section 115BAA:

A new section 115BAA has been inserted in the Act by the Taxation Laws (Amendment) Act, 2019 ("the Amendment Act, 2019") w.e.f. April 1, 2020 (A.Y. 2020-21). Section 115BAA grants an option to a domestic company to pay corporate tax at a reduced rate of 25.168% (22% plus a surcharge of 10% and education cess of 4%). Section 115BAA further provides that domestic companies availing the option will not be required to pay Minimum Alternate Tax (MAT) on their 'book profits' under section 115JB of the IT Act.

However, such a company will no longer be eligible to avail specified exemptions/ incentives under the IT Act and will also need to comply with the other conditions specified in section 115BAA. Also, if a company opts for section 115BAA, the tax credit (under section 115JAA), if any, which it is entitled to on account of MAT paid in earlier years, will no longer be available. Further, it shall not be allowed to claim set-off of any brought forward loss arising to it on account of additional depreciation and other specified incentives.

Tax benefits available to the shareholders under the IT Act:

There are no tax benefits available to the shareholders of the Company for investing in the shares of the Company. However, such shareholders shall be liable to concessional tax rates on certain incomes under the provisions of the IT Act.

- Dividend income earned by the shareholders would be taxable in their hands at the applicable rates. However, in the case of domestic corporate shareholders, a deduction under Section 80M of the IT Act would be available upon fulfilling the conditions. Further, in the case of shareholders who are individuals, Hindu Undivided Family, Association of Persons, Body of Individuals, whether incorporated or not and every artificial juridical person, the surcharge would be restricted to 15%, irrespective of the amount of dividend.

- As per Section 112A of the IT Act, long-term capital gains arising from the transfer of an equity share, or a unit of an equity-oriented fund or a unit of a business trust shall be taxed at 10% (without indexation) of such capital gains subject to fulfillment of prescribed conditions under the IT Act as well as per Notification No. 60/2018/F. No.370142/9/2017-TPL dated 1 October 2018. It is worthwhile to note that tax shall be levied where such capital gains exceed INR 100,000/-.
- As per Section 111A of the IT Act, short-term capital gains arising from the transfer of an equity share, or a unit of an equity-oriented fund or a unit of a business trust shall be taxed at 15% subject to fulfillment of prescribed conditions under the IT Act.
- In respect of non-resident shareholders, the tax rates and the consequent taxation shall be further subject to any benefits available under the applicable Double Taxation Avoidance Agreement, if any, between India and the country in which the non-resident has fiscal domicile.

Note:

Our views expressed in this statement are based on the facts and assumptions as indicated in the statement. No assurance is given that the revenue authorities/courts will concur with the views expressed herein. Our views are based on the existing provisions of law and its interpretation, which are subject to changes from time to time. We do not assume responsibility to update the views consequent to such changes. Reliance on this statement is on the express understanding that we do not assume responsibility towards the investors who may or may not invest in the proposed issue relying on this statement. Also, refer to the restriction on the use of this certificate.

For **Sharp & Tannan Associates,**
Chartered Accountants
Firm registration no: 109983W

For and on behalf of
Forbes Precision Tools and Machine Parts Limited

Sd/-
Parthiv S. Desai
Partner
Membership no.: (F) 042624
Mumbai, March 29, 2024
UDIN: 24042624BKFRRL9849

Sd/-
Nirmal Jagawat
Director
Mumbai, March 29, 2024

INDUSTRY OVERVIEW

The information presented in this Chapter has been obtained from publicly available information from various sources including stock exchanges, industry websites, from publications and government and company estimates. The data may have been re-classified by us for the purpose of presentation.

The information in this section has not been independently verified by us or any of our or their respective affiliates or advisors. The information may not be consistent with other information compiled by third parties within or outside India. Industry sources and publications generally state that the information contained therein has been obtained from sources generally believed to be reliable but their accuracy, completeness and underlying assumptions are not guaranteed and their reliability cannot be assured. Further, there is no assurance that the basis of the data included in the said report or the findings thereof are completely accurate or reliable. Industry and government publications are also prepared based on information as on specific dates and may no longer be current or reflect current trends. Industry and government sources and publications may also base their information on estimates, forecasts and assumptions which may prove to be incorrect. Accordingly, investment decisions should not be based on such information.

Further the industry Chapter may be updated from time to time subject to availability of updated data from websites, reports and other documents referenced in this chapter.

Global Economy

As the world nears the midpoint of what was intended to be a transformative decade for development, the global economy is set to rack up a sorry record by the end of 2024 the slowest half-decade of GDP growth in 30 years, according to the World Bank's latest Global Economic Prospects report.

By one measure, the global economy is in a better place than it was a year ago: the risk of a global recession has receded, largely because of the strength of the U.S. economy. But mounting geopolitical tensions could create fresh near-term hazards for the world economy. Meanwhile, the medium-term outlook has darkened for many developing economies amid slowing growth in most major economies, sluggish global trade and the tightest financial conditions in decades. Global trade growth in 2024 is expected to be only half the average in the decade before the pandemic.

Meanwhile, borrowing costs for developing economies—especially those with poor credit ratings—are likely to remain steep with global interest rates stuck at four-decade highs in inflation-adjusted terms.

Global growth is projected to slow for the third year in a row from 2.6% last year to 2.4% in 2024, almost three-quarters of a percentage point below the average of the 2010s. Developing economies are projected to grow just 3.9%, more than one percentage point below the average of the previous decade. After a disappointing performance last year, low-income countries should grow 5.5%, weaker than previously expected. By the end of 2024, people in about one out of every four developing countries and about 40% of low-income countries will still be poorer than they were on the eve of the COVID pandemic in 2019. In advanced economies, meanwhile, growth is set to slow to 1.2% this year from 1.5% in 2023.

Near-term growth will remain weak, leaving many developing countries—especially the poorest—stuck in a trap: with paralyzing levels of debt and tenuous access to food for nearly one out of every three people. That would obstruct progress on many global priorities. Opportunities still exist to turn the tide. This report offers a clear way forward: it spells out the transformation that can be achieved if governments act now to accelerate investment and strengthen fiscal policy frameworks.”

To tackle climate change and achieve other key global development goals by 2030, developing countries will need to deliver a formidable increase in investment—about \$2.4 trillion per year. Without a comprehensive policy package, prospects for such an increase are not bright. Per capita investment growth in developing economies between 2023 and 2024 is expected to average only 3.7%, just over half the rate of the previous two decades.

The report offers the first global analysis of what it will take to generate a sustained investment boom, drawing from the experience of 35 advanced economies and 69 developing economies over the past 70 years. It finds

that developing economies often reap an economic windfall when they accelerate per capita investment growth to at least 4% and sustain it for six years or more: the pace of convergence with advanced-economy income levels speeds up, the poverty rate declines more swiftly, and productivity growth quadruples. Other benefits also materialize during these booms: among other things, inflation falls, fiscal and external positions improve, and people's access to the internet expands rapidly.

(Source : *Global Economic Prospects – January 2024; A World Bank Group Flagship Report*)

OVERVIEW OF THE INDIAN ECONOMY

India is positioned to emerge from 2023 with increased stability and optimism for its growth and future prospects. Its attractiveness as an investment destination remains robust, given the size and scale of operations it has to offer to global companies, abundant skilled talent pool, and prowess in technology and innovation.

The industrial manufacturing sector has experienced a significant boost, attracting global technology giants like Apple eager to expand their supplier networks within India. This momentum is further supported by the implementation of state industrial policies that complement sector-specific incentive schemes. Concurrently, substantial investments in logistics and infrastructure development, including the construction of new roads, highways, and rail tracks, underscore the government's commitment to bolstering this critical sector.

Boasting a GDP of US\$3.75 trillion, India is the fifth largest economy in the world. The per capita income, per government data, was INR 98,374 in 2022-23 (approx. US\$1,183). Further, the Indian economy is on track to hit US\$5 trillion by 2027 on the back of developments in the financial sector and the country's demographic advantage.

The growth is underpinned by strong investment activity bolstered by the government's capex push and buoyant private consumption. Private sector balance sheets have improved over the past couple of years and companies are undertaking more capex. Corporate deleveraging has also improved banks' balance sheets, aiding the banking system to come out of the asset quality cycle. In FY23, the government's CAPEX push drove investment growth, a story which is likely to remain unchanged in FY24. High tax collections give the government ammunition to spend and cushion the impact of the impending global slowdown. Consumer demand remains strong, especially among the affluent, as is evident from the retail industry and the better profit performance of consumer discretionary goods companies in recent quarters.

Global headwinds have also played to India's advantage. With geopolitical developments influencing trade relationships and disrupting supply chains, nations and multinationals are emphasizing resilience, diversification, and self-sufficiency. India has huge potential as an export hub and investment destination considering the China Plus One strategy, especially in the manufacturing and services sectors, where it has competencies and comparative advantage. Consequently, there has been a healthy rise in FDI equity flows from Japan, Singapore, the United Kingdom, and the United Arab Emirates even as FDI from the United States has fallen. This shows that globally, there is rising confidence about investing in India.

The macroeconomic stability indicators suggest the Indian economy is well-placed to take on the foreseen challenges. India's strong macro-economic fundamentals, moderating oil prices, lowering inflation, sustained policy push and domestic consumption is likely to keep India as a growing economy in the coming next few years and on sustained growth trajectory in the long term.

Manufacturing Sector: India's manufacturing sector may have continued its growth trajectory, supported by initiatives such as the "Make in India" campaign aimed at promoting domestic manufacturing and attracting foreign investment. Sectors such as automotive, electronics, pharmaceuticals, and textiles could remain key drivers of industrial growth.

Infrastructure Development: Infrastructure projects in areas such as transportation, energy, and urban development could play a crucial role in driving industrial activity and economic growth. Investments in infrastructure could enhance connectivity, reduce logistics costs, and spur investment across various industries.

Digital Transformation: The adoption of digital technologies and Industry 4.0 practices may have accelerated across Indian industries. Companies could be increasingly investing in automation, robotics, artificial intelligence, and data analytics to improve efficiency, productivity, and competitiveness.

Renewable Energy and Sustainability: India's industrial sector may be transitioning towards greater sustainability, with a focus on renewable energy sources and environmentally friendly practices. The government's targets for renewable energy capacity expansion and efforts to promote energy efficiency could drive investments in clean technologies and green manufacturing.

Supply Chain Resilience: The Indian industrial economy might be reevaluating supply chain strategies and enhancing resilience in the wake of global disruptions experienced during the pandemic. Companies could be diversifying suppliers, adopting digital supply chain solutions, and investing in local manufacturing capabilities to mitigate risks and ensure business continuity.

Policy Environment: Government policies and regulatory reforms could continue to shape the industrial landscape in India. Measures aimed at simplifying regulatory processes, improving ease of doing business, and addressing infrastructure bottlenecks could support industrial growth and investment inflows.

Global Trade Dynamics: India's industrial economy may be influenced by global trade dynamics, including shifts in trade patterns, geopolitical tensions, and trade agreements. Strengthening international trade relations, promoting exports, and exploring new markets could be important for Indian industries to expand their global footprint.

Skilling and Talent Development: Addressing skill gaps and investing in talent development could be critical for enhancing the competitiveness of the Indian industrial workforce. Initiatives focused on vocational training, education reform, and upskilling programs may be prioritized to meet the evolving needs of industries

PRECISION MANUFACTURING

Precision Manufacturing requires the repeated production of parts with high tolerances, precise structure and shape. In this industry the design and performance of machines, tools, metrology and other related tooling material are crucial.

Precision machining plays a crucial role in various industries, particularly those requiring highly accurate and intricate parts or components. Here's an overview of industries which will create a positive impact on precision machining and its importance across different sectors. Precision machining is integral to a wide range of industries, including:

- **Automotive:** In the automotive industry, precision-machined components are essential for engines, transmissions, braking systems, and other critical parts. These components must meet strict quality standards to ensure safety, reliability, and performance. The contribution of this sector to the National GDP has risen to about 7.1%. The \$222 Bn Automobile industry is expected to reach \$300 Bn by 2026. The largest in tractors; 2nd largest in two-wheelers; 6th largest in PV; 7th largest CV
- **Aerospace & Defense:** Precision machining is vital in aerospace manufacturing for producing aircraft components, such as turbine blades, landing gear, structural elements, and control surfaces. Aerospace applications demand exceptional precision, durability, and resistance to harsh environmental conditions. Defense manufacturing MoD has set a target of achieving a turnover of US\$ 25 million in aerospace and defense Manufacturing by 2025. October 2022, a total of 595 Industrial Licenses have been issued to 366 companies operating in Defense Sector. The first Aerospace and Precision Engineering SEZ Park is coming up in Telangana. Reliance Defence Limited is planning a global aerospace technology research centre in Bengaluru. Aerus Aerospace has initiated the aerospace ecosystem in Belagavi leading to several contracts in aerospace manufacturing coming to India
- **Electronics:** Precision machining is critical for producing electronic components, including circuit boards, connectors, housings, and semiconductor parts. Miniaturization, complex geometries, and high reliability are key considerations in electronic manufacturing. The Indian government expects the electronics manufacturing sector to be worth US \$ 300B by 2030. Initiatives like Make in India, Digital India and Startup India have given the much-needed thrust to the Electronics System Design and Manufacturing (ESDM) sector in India.

- **Tooling and Die Making:** Precision machining is also essential for producing molds, dies, and tooling used in various manufacturing processes, such as injection molding, stamping, and casting. These tools must maintain tight tolerances to ensure accurate and repeatable production. Industry is expected to grow @ CAGR of 9% in India. Auto & 3C will be growth drivers. Die & Mould will grow from INR. 15000 Crores to INR. 20000 Crores by 2024.
- **Power & Energy:** Precision machining is used in the energy sector for manufacturing components for power generation, oil and gas exploration, renewable energy systems, and nuclear facilities. These components must withstand high temperatures, pressures, and corrosive environments. Focus on power generation to cop up increased demand of industrializations, 250M people without Power & avg consumption is lower than Africa & Focus on Green Energy

There was a significant increase of 13 percent in Defense Budget (2023-2024) of India as compared to the budget of 2022-2023. (Source: Press Information Bureau, Government of India) The increased spending on defense procurement would provide great support to the precision manufacturing industry in India. The Government is providing all required resources and creating a robust framework for the growth of the sectors. Some of favorable policies and initiatives that is expected to boost the growth of the manufacturing sector are as follows:

Challenges in the industry:

Infrastructure deficiencies: Complex land acquisition procedures and lack of reliable and reasonably priced power are some of the major challenges in the sector.

Lack of skilled manpower: There is lack of technicians with specific skill sets required for precision manufacturing especially in Aerospace and Defense sector. Companies have to invest substantially in providing specialized training to upskill employees to produce products of international standards.

Input Materials: Input raw materials are import dependent in HSS & Carbide Raw material from Europe & China. Machines are potentially expected to be imported from China, Europe, Far east & USA.

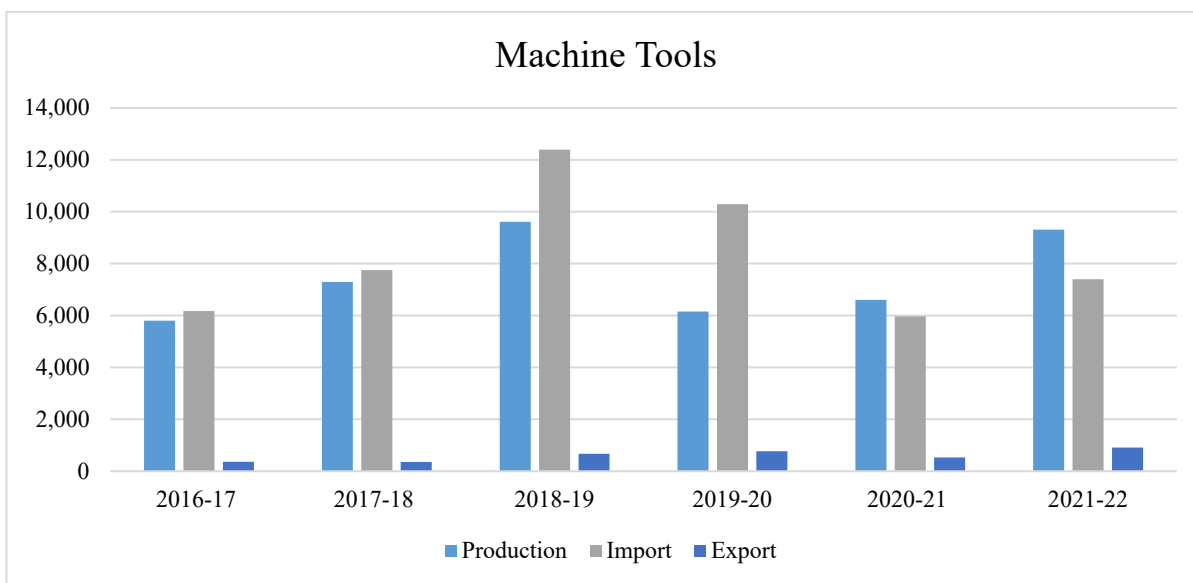
Tax support: India's tax framework needs rationalization and sector-specific incentives would be required to be developed and implement to for favorable growth of the sector.

MACHINE TOOLS INDUSTRY

Machine Tools Industry is part of the capital goods industry. This industry is quite crucial to the manufacturing sector of an economy as it is the supplier of tools required for effective functioning. In India, mostly SME, that is Small and Medium Enterprises and a few mid-size manufactures produce machine tools. The types of machine tools manufactured in India are namely, general/special purpose machines, standard Computer Numerical Control (CNC) machines, gear cutting, grinding, medium size machines, electrical discharge machining (EDM), presses, press brakes, pipe bending, rolling, bending machines, etc.

The Production, Import and Export Statistics of machine tools as published in the Annual Report 2022- 2023 of the Ministry of Heavy Industries is as follows:

- a. **Production Data:** In the year 2020-2021, the production of machine tools was INR 6,602 Crores which increased by 40.97 percent to INR 9,307 Crores.
- b. **Import Data:** In the year 2020-2021, the import of machine tools was INR 5,965 Crores which increased by 19.35 percent to INR 7,397 Crores.
- c. **Export Data:** In the year 2020-2021, the import of machine tools was INR 531 Crores which increased by 71.75 percent to INR 912 Crores.



(INR in Crores)

Particulars	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
Production	5,803	7,294	9,612	6,152	6,602	9,307
Year on Year Growth	-	25.69%	31.78%	-36.00%	7.31%	40.97%
Import	6,173	7,752	12,390	10,288	5,965	7,397
Year on Year Growth	-	25.58%	59.83%	-16.97%	-42.02%	24.01%
Export	361	354	673	768	531	912
Year on Year Growth	-	-1.94%	90.11%	14.12%	-30.86%	71.75%

(Source: Annual Report 2022-2023, Ministry of Heavy Industries, Government of India)

Scheme for Enhancement of Competitiveness in the Indian Capital Goods Sector- Phase I & II:

Under this scheme, The Government of India through Ministry of Heavy Industries aims to address the various constraints faced by the capital goods sector. Advanced Centres of Excellence were set up at IITs, IISc and CMTI in partnership with Industry, these have developed strategic technologies and machinery, four Industry 4.0 Centres are imparting awareness and support to MSMEs for smart manufacturing capabilities, Common Engineering Facilities Centres have been created for high tech-skilling and a specialized Machine Tool Industrial Park has been established. This Park is located in a machine tools cluster which strives to strengthen the competitiveness and inflow of investments in the Machine Tools industry.

Eight Centres of Excellence (COEs) for Technology Development have been established at IIT Madras, IIT Delhi, IIT Kharagpur, IISc, CMTI, HEC/PSG College of Technology etc. Technologies have been developed with industry partners in sectors like machine tools, textile machinery, earth moving machinery, metallurgical machinery, welding, submersible pumps etc. several new technologies have been developed in this field to commercialize and grow the segment.

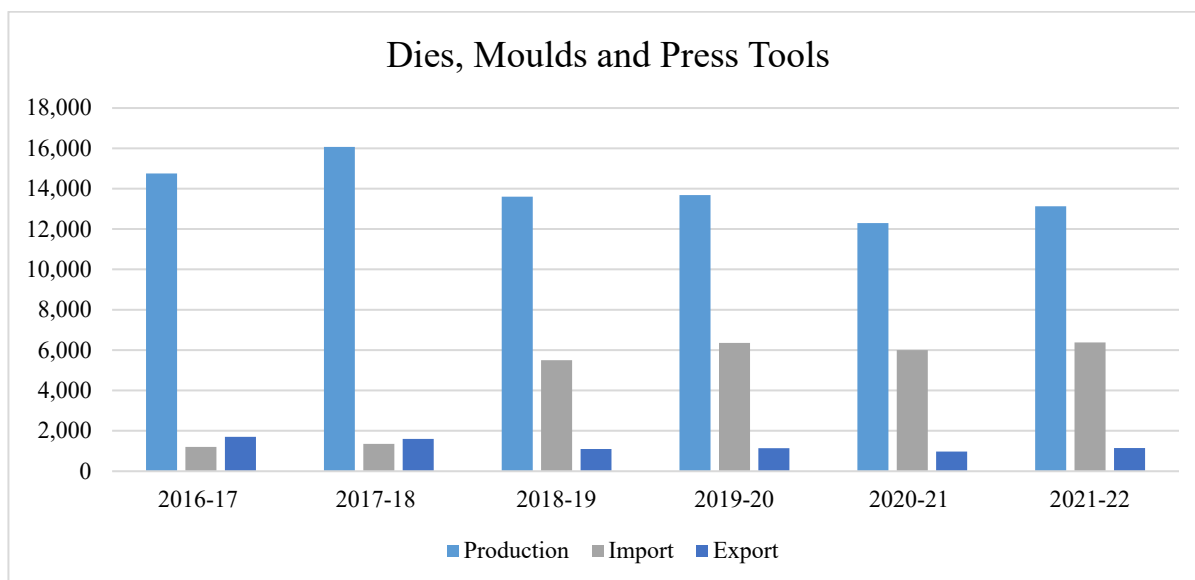
DIES, MOULDS AND PRESS TOOLS INDUSTRY

Commercial tool makers engaged in design, development and manufacturing of tooling make the Indian Tool room industry. Several government tool rooms-cum-training centres are also operating in the country at key locations like Mumbai, Bengaluru, Chennai, Pune, Hyderabad, and Delhi NCR.

The Production, Import and Export Statistics of Dies, Moulds and Press Tools Industry as published in the Annual Report 2022- 2023 of the Ministry of Heavy Industries is as follows:

- Production Data: In the year 2020-2021, the production of Dies, Moulds and Press Tools was INR 12,294 Crores which increased by 6.78 percent to INR 13,128 Crores.

- b. Import Data: In the year 2020-2021, the import of machine tools was INR 6,000 Crores which increased by 6.37 percent to INR 6,382 Crores.
- c. Export Data: In the year 2020-2021, the import of machine tools was INR 973 Crores which increased by 18.19 percent to INR 1,150 Crores.



(INR in Crores)

Particulars	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22
Production	14,750	16,068	13,600	13,682	12,294	13,128
Year on Year Growth	-	8.94%	-15.36%	0.60%	-10.14%	6.78%
Import	1,200	1,350	5,500	6,356	6,000	6,382
Year on Year Growth	-	12.50%	307.41%	15.56%	-5.60%	6.37%
Export	1,700	1,600	1,100	1,138	973	1,150
Year on Year Growth	-	-5.88%	-31.25%	3.45%	-14.50%	18.19%

(Source: Annual Report 2022-2023, Ministry of Heavy Industries, Government of India)

MAKE IN INDIA:

This initiative was launched on September 25, 2014 by the Government of India with the aim to promote investment, encourage innovation, develop world-class infrastructure, and establish India as a center for design, manufacturing, and innovation. Recently, Make in India 2.0 focusing on 27 sectors to make India a Manufacturing Hub. Amidst the government's policy initiatives to improve the Indian economic situation after COVID 19 pandemic, it has launched various schemes such as the Atmanirbhar Bharat packages, introduction of Production Linked Incentive (PLI) Scheme in fourteen (14) sectors, investment opportunities under National Infrastructure Pipeline (NIP) and National Monetisation Pipeline (NMP), India Industrial Land Bank (IILB), Industrial Park Rating System (IPRS), soft launch of the National Single Window System (NSWS), etc. Project Development Cells (PDCs), an institutional framework to expedite investments, have been established in all relevant Ministries/Departments of the Government of India. The Central Government, State Governments, are implementing all of the aforementioned programs and initiatives.

The government has taken a number of actions to increase both domestic and foreign investment in India, in addition to the continuing programs of several Departments and Ministries such as implementation of the Goods and Services Tax, the decrease in corporate tax, the enhancement of business ease of doing business, the reforms of the FDI policy, the steps taken to lessen the burden of compliance, the initiatives to increase domestic manufacturing through public procurement orders, the Phased Manufacturing Programme (PMP), and QCOs (Quality Control Orders).

Production Linked Incentive (PLI) Schemes are being implemented in 14 sectors (with an incentive outlay of INR 1.97lakh crore) to enhance India's manufacturing capabilities and exports. It is expected that this will result in significant improvement in production, skills, employment, economic growth and exports is expected over the next five years and more. Another such initiative is the One District One Product (ODOP). It is aimed at fostering balanced regional development across all districts of the country. Under this atleast one product from each district of the country is promoted by the government to harbor holistic growth and development. The ODOP initiative has identified more than 1000 products encompassing various sectors such as Textiles, agriculture, food processing, handicrafts and more from all 761 districts of the country.

The manufacturing sector's foreign direct investment (FDI) inflow between 2014 and 2022 increased by 57% compared to the preceding 8 years, or 2006 to 2014, thanks to the Made in India initiative. Numerous State Governments and Ministries/Departments of the Central Government are also participating in the Made in India project. States also have their own investment-attracting schemes, and Ministries create action plans, programs, schemes, and policies for the industries under their purview. This paints a hopeful picture since the growth of manufacturing sector will have positive impact on the precision tools industry, machines tools industry, etc. that the company deals in.

OUR BUSINESS

The following information is qualified in its entirety and should be read together with the more detailed financial and other information included in this Information Memorandum, including the information contained in “Financial Statements” and “Risk Factors” on page numbers 86 and 9, respectively, of this Information Memorandum.

Overview

Metal cutting tools business is a scalable and profitable business, especially considering the demand from various industries such as automotive, aerospace, Defense Power & Energy, Die & Mould & Electronics. Totem caters to the demand of entire manufacturing space with solution for different material in different tools materials like High Speed Steel, carbide & High Carbon steel tools Totem has established relationships with reliable suppliers to ensure a steady supply of high-quality input materials at competitive prices.

Manufacturing facility It is equipped with the necessary machinery and equipment for producing metal cutting tools. Our Plant is state of art facility equipped with 7 & 9 axis CNC grinding machines and Contactless & automated inspection equipment to ensure precision and quality in manufacturing is assured.

Product Development: The company has the ability to develop a range of metal cutting tools tailored to the needs of target market. While designing factors such as material compatibility, cutting speeds, feed rates, tool life, and performance optimization are considered. Totem is heavily invested in research and development to innovate and improve product offerings through computer aided Engineering.

Quality Control: Totem implements rigorous quality control measures throughout the manufacturing process to ensure that cutting tools meet the highest standards of quality, accuracy, and performance. It has facilities to conduct thorough inspections and testing to identify and rectify any defects or deviations from specifications. Manufacturing facilities is ISO/TS compliant.

Marketing and Sales: There is a well defined product marketing strategy to promote tools and reach potential customers through Product management function. The business uses online marketing channels such as a professional website, social media, search engine optimization (SEO) to achieve a deeper reach in the market. It also uses trade shows, industry events, and networking opportunities to showcase our products and build relationships with customers and distributors.

Distribution Channels: The company has 200+ established distribution channel partners to cover the geographies it operates in & to reach out customers effectively. Company also have direct customer which are mostly auto OEMs’. It operates with Divisional and Regional sales offices with 60+ sales & application Engineer service & support customers.

Customer Service: We aim to provide excellent customer service and technical support to build trust and loyalty with our customers. Product displays, training, and troubleshooting assistance to ensure customer satisfaction and repeat business through application sales Engineers are a method to increase the customer reach.

Vision:

“To be market leader by empowering customer through standard products & innovative solutions in our product offerings.”

Mission

- Quest for constant Quality improvement thus leading to excellence.
- Innovative Product offering through Design & Development
- Creating experience for customers

PRODUCT RANGE

- Solid Carbide Tools.
- Tungsten Carbide Rotary Burr.
- High Speed Taps, High Performance Taps

- High Speed Steel Drills
- Spring Washer
- Carbon Steel Taps and Dies
- Hand tools
- Solid Carbide Rod & Wear parts.

MANUFACTURING PROCESS

- **Solid Carbide Tools:-**
 - o Parting, Blanking, CNC Tool & Cutter Grinding & Coating.
- **Tungsten Carbide Rotary Burr:-**
 - o Blanking by Brazing process & CNC Teeth cutting
- **High Speed Taps / High Performance Taps:-**
 - o Blank Turning, Heat treatment, Blank Grinding, Square Grinding, Flute Grinding, Thread Grinding, Chamfer Grinding & Coating
- **High Speed Steel Drills:-**
 - o Blank Turning, Heat treatment, Centreless Grinding, Flute Grinding, margin grinding, point grinding & Coating
- **Spring Washer: -**
 - o Coiling Cutting, heat treatment & plating.
- **Carbon Steel Taps and Dies.**
 - o Squaring, Marking, Rolling, Milling, Hardening, Flute Grinding, Backing Off, Centerless Grinding.
- **Hand tools, Solid Carbide Rods and Wear Parts are also actively traded**

Market space / business presence of our Company

Product Segment	Estimated Market Share	End Use	Key Competitors
Threading Solutions	26%	Automotive/Gen Engg	YG1/Emuge/OSG/Emkay/Adision
Rotary Burrs	56%	Forging/Foundry	Shivaloy/Craftec
Dies/DN	45%	Sanitary fitting/Gen Engg	NKP

Production Capacity and Capacity Utilisation

The information relating to the estimated annual installed capacities of our production facilities are based on various assumptions and estimates made by our management. These assumptions and estimates may vary significantly from the assumptions or estimates taken into account by other companies operating in similar business segments in calculating the estimated annual installed capacities of their manufacturing facilities. As such, undue reliance should not be placed on the estimated annual installed capacity information of our facilities, and consequently on the utilization rates of these facilities indicated below. The following table sets forth certain information relating to the estimated annual installed capacities at our manufacturing facilities:

Particulars	Installed Capacity (Units)
HSS Taps	48,00,000
Carbide Tools	26,000
CST Taps	48,00,000
Dies/DN	6,00,000
Rotary Burrs	72,0000
HSS Drills	52,00,000
Carbide RM	18,0000
Hand tools	24,00,000

Due to the nature of our product, the installed capacity is only an opinion of the management and the output would be determined by the size and complexity of the final product which defines the production time required.

Strengths

Totem is leader in high speed steel tools manufacturing with high end of application solution for different industry segments. Totem tools in India have significant market share in HSS Taps, Dies, TCRB & CS Taps. Brand has registration with most of Government Organization and leading Auto & auto component manufacturers. The Company has a strong and competent inhouse Design & Development team capable of building application-based products/solutions for the industries. Totem cover domestic market with 200+ distributors supported through 12 divisional sales offices & 60+ sales & application Engineers. All seven product lines are produced in state of art facility certified for ISO & TS capable of making DIN, ISO, JIS, ANSI & NAS standard products.

Internal Control System.

We have implemented an effective internal control system to safeguard assets, ensure accuracy in financial reporting, and promote operational efficiency. Company processes on transactions are maintained on operating SAP suite on HANA. Following processes are in place to establish internal control and business sustainability:

1. **Risk Assessment:** We have a process to conduct a comprehensive risk assessment to identify potential risks and vulnerabilities in the manufacturing processes, supply chain, financial operations, and regulatory compliance. We evaluate risks related to inventory management, production quality, equipment maintenance, currency fluctuations, and regulatory changes.
2. **Control Environment:** We have established a strong control environment by promoting a culture of integrity, accountability, and ethical behavior throughout the organization. We clearly communicate company policies, procedures, and expectations to employees at all levels. We encourage open communication and whistle-blowing mechanisms to report any irregularities or violations.
3. **Segregation of Duties done through SAP:** We have implemented best practices w.r.t segregation of duties to prevent fraud and errors by dividing responsibilities among different individuals or departments. We strive to assign separate roles for initiating transactions, authorizing transactions, and recording transactions. We limit access to sensitive systems, assets, and information based on job responsibilities.
4. **Inventory Control and Transactions are real time on SAP:** We have implemented robust inventory control procedures to monitor the movement, storage, and valuation of raw materials, work-in-progress, and finished goods. We conduct regular physical inventory counts, reconcile inventory records with actual counts, and investigate any discrepancies. We use inventory management software to track inventory levels, reorder points, and lead times.
5. **Production Controls and Transactions are real time on SAP:** We have implemented controls to ensure the quality, efficiency, and safety of manufacturing processes. We have also established standard operating procedures (SOPs) for equipment operation, maintenance, and calibration. Conduct regular inspections, audits, and performance reviews to identify and address any deviations or non-conformities.
6. **Financial Controls:** We have implemented financial controls to ensure the accuracy, reliability, and integrity of financial reporting. We have formally segregate duties related to financial transactions, such as cash receipts, disbursements, payroll processing, and accounting reconciliation. We adopt accounting policies and practices in compliance with Indian accounting standards (Ind AS) or generally accepted accounting principles (GAAP).
7. **Internal Audit:** We have an established internal audit function or we engage external auditors to conduct periodic reviews and evaluations of internal controls, processes, and compliance with

regulatory requirements. We identify areas of improvement, implement corrective actions, and monitor the effectiveness of remediation efforts.

8. **Compliance Management is done through Automated platform:** We tend to always stay updated on regulatory requirements applicable to the manufacturing industry in India, including tax laws, environmental regulations, labor laws, and industry-specific regulations. We develop and implement policies and procedures to ensure compliance with relevant laws and regulations.
9. **PMS and Training:** Employees KRA/KPA are maintained and monitored in system totally aligned to company's goals. Based on annual assessment of employees and skill gap analysis we provide training and development based on the needs. We equip employees with the knowledge and skills necessary to contribute in the growth of the company.

Key Strategies

India is growing economy & Totem has & continue to build product portfolio for Automotive Defense, Aerospace, Fasteners Industries through product design & development. Totem is increasing its geographic penetration through appointing distribution & deploying engineers on new location. Focused international sales countries are identified to grow the international market growth. Totem is focusing on developing futuristic growth segment such as medical & electronics through design & development to create value proposition in new products offerings. Totem is building its growth story with new products such as HSS drills & Hand Tools. Sales Channel development is integral part of Totem growth story. Our focus, to strengthen SCM function to create customer experience by improving on time delivery in full for aa product categories. Employee development through training & development is key to success of our Company

HUMAN RESOURCES

Human resources play a critical role in the success and growth of company. Managing the blue-collar workforce effectively is essential for ensuring productivity, safety, and compliance with labor laws. We achieve alignment of Management staff toward company's vision and goal through performance Management, Training and development to build skill and competencies.

We have excellent Employee relationship and a process of addressing employee concerns promptly. HR facilitates employee engagement initiatives, team-building activities, and social events to promote a positive work environment. Since we are a manufacturing company, safety and compliance is utmost importance to us and this is achieved by a well led company HR policies and legal framework.

HR involves implementing employee recognition programs, career development initiatives, and opportunities for carrier advancement.

The responsibilities for ensuring compliance with the company policy shall rest with senior management who shall through their individual and collective responsibility ensure the correct implementation of the policy. Senior Management will, so far as reasonably practicable, endeavor to maintain an ongoing good relationship with the internal union. The company involves the employees' representatives while taking decisions in respect of matters which affect the employees.

Post effectiveness of the Scheme, we will have 490 permanent employees in various departments of the Company.

Function / Department	No of Employees
Accounts & Finance	11
Export	5
Hand Tools	6
HR	5
IT	3

Secretarial	1
Maintenance	24
Manufacturing PTG	301
MD's Office	3
QA Department	39
Safety	1
Sales and Marketing PTG	65
Supply Chain Management	26
Grand Total	490

TRAINING AND DEVELOPMENT

Employees are the key to the success of the Totem & we are continuing our efforts in enhancing people Skillings & capabilities in changing environment. We are focusing on followings areas to strengthen the sales & Operations team's capabilities

- Dimensions of Value Selling
- Effective leadership
- Product Training on HSS Taps and Carbide Tools Portfolio
- Training on Metal cutting
- Training related to Environment, occupational Health safety.
- Training on Value Stream mapping and Lean Supply chain

QUALITY CERTIFICATION PLANNED

1. IATF 16949 Certification for Spring Washers
2. ISO 9001-2015 Certification
3. AS 9100 Certification for Aerospace sector in SCT product line.
4. ISO 14001 and ISO 45001 certification under Process

INSURANCE

Our Company maintains a range of insurance policies to cover its assets, including inter alia standard fire and special perils policies, industrial all-risks policies, etc. We believe that the amount of insurance cover presently maintained represent the appropriate level of coverage required to insure our businesses.

HEALTH, SAFETY AND ENVIRONMENT

- Green Initiative – Partial Solar operated Plant
- OHS center with trained first aid team and regular health check-up for all employees.
- Plant and machinery equipped with fire protection system.
- Planned safety audit, review and actions through safety committee.
- Active emergency preparedness plan
- Compliance to all pollution and safety norms

PROPERTIES

Post demerger, the Company will own the following lease/freehold immovable properties which are used as factory premises:

Address of Property	Location of Land	Value (in Lakh Rupees)	Area Sq. Meter
Plot B-13 Industrial Area, MIDC Waluj, Chhatrapati Sambhajinagar, 431133, Maharashtra	Waluj, Chhatrapati Sambhajinagar, Maharashtra	16.49	65983.00
Factory Building 1 and 2 and other structure with in the factory compound	Waluj, Chhatrapati Sambhajinagar, Maharashtra	4468.31	33591.32

KEY INDUSTRY REGULATIONS

The following description is a summary of certain sector specific and relevant laws and regulations in India, which are applicable to our Company. Taxation statutes such as the Income Tax Act, 1961, the Central Goods and Service Tax Act, 2017, and other miscellaneous regulations, statutes and relevant state laws apply to us as they do to any Indian company.

The information detailed in this chapter has been obtained from various statutes, regulations and/or local legislations and the bye laws of relevant authorities that are available in the public domain.

The indicative summary is based on the current provisions of applicable law, which are subject to change or modification or amended by subsequent legislative, regulatory, administrative, or judicial decisions.

Under the provisions of various Central Government and State Government statutes and legislations, our Company is required to obtain and regularly renew certain licenses or registrations and seek statutory permissions to conduct our business and operations. For details, see “Government and Other Approvals” on page 97 of the Information Memorandum.

Industry specific regulations

Bureau of Indian Standards Act, 2016

The Bureau of Indian Standards Act, 2016, as amended (the “Bureau of Indian Standards Act”), provides for the establishment of bureau for the standardization, marking and quality certification of goods. The Bureau of Indian Standards Act provides for the functions of the bureau which include, among others (a) recognize as an Indian standard, any standard established for any goods, article, process, system or service by any other institution in India or elsewhere; (b) specify a standard mark to be called the Bureau of Indian Standards Certification Mark which shall be of such design and contain such particulars as may be prescribed to represent a particular Indian standard; and (c) make such inspection and take such samples of any material or substance as may be necessary to see whether any goods, article, process, system or service in relation to which the standard mark has been used conforms to the Indian standard or whether the standard mark has been properly used in relation to any article or process with or without a license.

Bureau of Indian Standards Rules, 2018

The Bureau of India Standards Rules, 2018 (the “Bureau of Indian Standards Rules”) have been notified, in supersession of the Bureau of Indian Standards Rules, 1987, in so far as they relate to Chapter IV A of the said rules relating to registration of the articles notified by the Central Government, and in supersession of the Bureau of Indian Standards Rules, 2017 except in relation to things done or omitted to be done before such supersession.

Under the Bureau of Indian Standards Rules, the bureau is required to establish Indian standards in relation to any goods, article, process, system or service and shall reaffirm, amend, revise or withdraw Indian standards so established as may be necessary.

Legal Metrology Act, 2009 (the “Legal Metrology Act”) and Legal Metrology (Packaged Commodities) Rules, 2011

The Legal Metrology Act, 2009, as amended (the “Metrology Act”), was enacted with the objectives to establish and enforce standards of weights and measures, regulate trade and commerce in weights, measures and other goods which are sold or distributed by weight, measure or number and for matters connected therewith or incidental thereto. The Metrology Act states that any transaction/contract relating to goods/class of goods or undertakings shall be as per the weight/measurement/numbers prescribed by the Metrology Act. The specifications with respect to the exact denomination of the weight of goods to be considered in transactions are contained in rules by each state.

The Indian Boilers Act, 1923 (“Boilers Act”)

The Indian Boilers Act, 1923 along with relevant regulations establishes and enforces the standards that regulate the materials, design and construction, inspection and testing of boilers and boiler components for compliance by the manufacturers and users of boilers in India. The State Government is empowered to appoint a director to exercise the powers and to discharge duties. The State Government has the power to limit the extent of the Boilers Act. The Indian Boilers Act, 1923 prohibits the use of unregistered or uncertificated boiler.

Plastic Waste Management Rules, 2016

The Ministry of Environment, Forest and Climate Change published the Plastic Waste Management Rules, 2016 with an aim to increase minimum thickness of plastic carry bags from 40 to 50 microns and stipulate minimum thickness of 50 micron for plastic sheets. It also aims at facilitating collection and recycling of plastic waste and delegates responsibility to the waste generators for waste segregation and disposal. The recently notified Plastic Waste Management (Amendment) Rules, 2018 also prescribes a central registration system for the registration of the producer/importer/brand owner.

Industries (Development and Regulation) Act, 1951, as amended (“IDR Act”)

The IDR Act has been liberalized under the New Industrial Policy dated July 24, 1991 and all industrial undertakings are exempt from licensing except for certain industries, including, among others, all types of electronic aerospace, defence equipment, ships and other vessels drawn by power. The IDR Act is administered by the Ministry of Commerce and Industry, Government of India, through the Department for Promotion of Industry and Internal Trade (DPIIT). The main objectives of the IDR Act is to empower the Government to take necessary steps for the development of industries, to regulate the pattern and direction of industrial development, and to control the activities, performance and results of industrial undertakings in the public interest. The DPIIT is responsible for formulation and implementation of promotional and developmental measures for growth of the industrial sector.

Foreign Investment and Trade Related Laws

Regulations Related to Foreign Trade

The foreign policy of India is governed and regulated by the Foreign Trade (Development and Regulation) Act, 1992 (the “Foreign Trade Act”). The Foreign Trade Act has empowered the Central Government to make provisions for the development as well as regulation of foreign trade by the way of facilitating imports into as well as augmenting exports from the country and in all the other matters related to foreign trade. It authorises the government to formulate as well as announce the export and import policy and to keep amending the same on a timely basis. The government has also been given a wide power to prohibit, restrict and regulate the exports and imports in general as well as specified cases of foreign trade. The Foreign Trade Act provides for certain appointments especially that of the Director-General to advise the Central Government in formulating import and export policy and to implement the same. Further, the Foreign Trade Act requires every importer as well as exporter to obtain a code number called the Importer Exporter Code Number (IEC) from the Director-General or the authorised officer.

The Foreign Trade Act provides the balancing of all the budgetary targets in terms of imports and exports. The principal objectives here include the facilitation of sustain growth as to the exports of the country, the distribution of quality goods and services to the domestic consumer at internationally competitive prices, stimulation of sustained economic growth by providing access to essential raw materials as well as enhancement of technological strength, industry as well as services and improvement of their competitiveness to meet all kinds of requirement of the global markets.

Foreign Investment in India

The foreign investment in India is governed, among others, by the Foreign Exchange Management Act, 1999, the Foreign Exchange Management (Non-debt Instruments) Rules, 2019 (“**FEMA Rules**”) and the Consolidated FDI Policy (effective from October 15, 2020) issued by the Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry, Government of India (earlier known as the Department of Industrial

Policy and Promotion) (“**FDI Policy**”), each as amended. Further, the Reserve Bank of India has enacted the Foreign Exchange Management (Mode of Payment and Reporting of Non-Debt Instruments) Regulations, 2019 on October 17, 2019, which regulate mode of payment and remittance of sale proceeds, among others. The FDI Policy and the FEMA Rules prescribe inter alia the method of calculation of total foreign investment (i.e., direct foreign investment and indirect foreign investment) in an Indian company.

Intellectual Property

Intellectual property rights refers to the general term for intangible, intellectual, industrial property rights through patents, copyrights and trademarks and includes geographical indications, trade secrets, and confidential information. These property rights allow the holder to exercise a monopoly on the use of the item for a specified period.

The Trade Marks Act, 1999, as amended (the “**Trade Marks Act**”), provides for the registration of trademarks in India, pursuant to which the registered owner of a trademark is granted exclusive rights to registered marks, including brands, labels and headings, and to obtain relief in case of infringement for commercial purposes. The Trade Marks Act prohibits registration of deceptively similar trademarks and provides for penalties for infringing, falsifying and falsely applying trademarks

Environmental laws and regulations

Environment Protection Act, 1986 (“EPA”) and Environment (Protection) Rules, 1986

The Environment Act is an umbrella legislation designed to provide a framework for the Central Government to coordinate activities of various state and central authorities established under previous environmental laws. The Environment Act specifies that no person carrying on any industry, operation or process shall discharge or emit or permit to be discharged or emitted any environment pollutants in excess of such standards as may be prescribed.

The Environment Act empowers the Central Government to make rules for various purposes viz., to prescribe:

- i. the standards of quality of air, water or soil for various areas;
- ii. the maximum allowable limits of concentration of various environmental pollutants for different areas;
- iii. the procedures and safeguards for the prevention of accidents which may cause environmental pollution and remedial measures for such accidents.

Air (Prevention and Control of Pollution) Act, 1981 (“Air Act”)

The Air Act has been enacted to provide for the prevention, control and abatement of air pollution. The Air Act was enacted with a view to protect the environment and surroundings from any adverse effects of the pollutants that may emanate from any factory or manufacturing operation or activity. It lays down the limits with regard to emissions and pollutants that are a direct result of any operation or activity. Periodic checks on the factories are mandated in the form of yearly approvals and consents from the respective state pollution control boards. Pursuant to the provisions of the Air Act, any person, establishing or operating any industrial plant within an air pollution control area, must obtain the consent of the relevant state pollution control board, prior to establishing or operating such industrial plant. The state pollution control board may then grant consent, subject to mentioned conditions relating to pollution control equipment to be installed at the facilities. No person operating any industrial plant in any air pollution control area is permitted to discharge the emission of any air pollutant in excess of the standards laid down by the state pollution control board.

Water (Prevention and Control of Pollution) Act, 1974 (“Water Act”) and Water (Prevention and Control of Pollution) Cess Act, 1977

The Water Act aims to prevent and control water pollution as well as restore water quality by establishing and empowering the central and state pollution control board. Under the Water Act, any person establishing any industry, operation or process, any treatment or disposal system, using any new or altered outlet for the discharge of sewage or new discharge of sewage, must obtain the consent of the relevant state pollution control board, which is empowered to establish standards and conditions that are required to be complied with. In certain cases,

the state pollution control board may cause the local magistrates to restrain the activities of such person who is likely to cause pollution. Penalty for the contravention of the provisions of the Water Act include imposition of fines and/or imprisonment.

Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016 (“HWM Rules”)

The Hazardous Wastes Rules impose an obligation on every occupier of a facility generating hazardous waste to deploy safe and environmentally sound measures for handling of hazardous waste generated at such facility. Every person engaged in generation, processing, treatment, packaging, storage, transportation, use, collection, destruction, conversion, offering for sale and transfer of hazardous waste, must obtain an approval from the applicable state pollution control board. The occupier, the importer, the transporter and the operator of disposal facility are liable for damages to the environment or third party resulting from the improper handling and disposal of hazardous waste.

Public Liability Insurance Act, 1991 (“Public Liability Act”) and the Public Liability Insurance Rules, 1991 (the “PLI Rules”)

The Public Liability Act imposes liability on the owner or controller of hazardous substances for any damage arising out of an accident involving such hazardous substance. A list of hazardous substances covered by the Public Liability Act has been enumerated by the Government of India by way of a notification. The owner or handler is also required to take out an insurance policy insuring against liability under the legislation. The rules made under the Public Liability Act mandate that the employer has to contribute a sum equal to the premium paid on the insurance policies towards the environment relief fund.

Labour law legislations

The employment of workers, depending on the nature of activity, is regulated by a wide variety of generally applicable labour laws. The following is an indicative list of labour laws other than statewide shops and establishments acts, which may be applicable to our Company due to the nature of our business activities:

- Factories Act, 1948;
- The Contract Labour (Regulation and Abolition) Act, 1970;
- Code on Wages, 2019;
- Code on Social Security, 2020;
- The Employee’s Compensation Act, 1923;
- Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979;
- The Payment of Gratuity Act, 1972;
- The Payment of Bonus Act, 1965;
- The Maternity Benefit Act, 1961;
- The Minimum Wages Act, 1948;
- The Employees’ State Insurance Act, 1948;
- The Employees’ Provident Funds and Miscellaneous Provisions Act, 1952;
- The Payment of Wages Act, 1936;
- The Industrial Disputes Act, 1947;
- Industrial Employment (Standing Orders) Act, 1946;
- The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013;
- The Equal Remuneration Act, 1976; and
- The Child and Adolescent Labour (Prohibition and Regulation) Act, 1986

In order to rationalize and reform labour laws in India, the Government of India has notified four labour codes which are yet to come into force as on the date of this Information Memorandum, namely:

- (i) The Occupational Safety, Health and Working Conditions Code, 2020 received the assent of the President of India on September 28, 2020, and proposes to subsume certain existing legislations, including the Factories Act, 1948, the Contract Labour (Regulation and Abolition) Act, 1970, Motor Transport Workers Act, 1961 and the Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979. This code proposes to provide for, among other things, standards for

health, safety and working conditions for employees of establishments, and will come into effect on a date to be notified by the Central Government;

- (ii) The Industrial Relations Code, 2020 received the assent of the President of India on September 28, 2020, and proposes to subsume three existing legislations, namely, the Industrial Disputes Act, 1947, the Trade Unions Act, 1926 and the Industrial Employment (Standing Orders) Act, 1946. The Industrial Relations Code, 2020 will come into effect on a date to be notified by the Central Government;
- (iii) The Code on Wages, 2019 received the assent of the President of India on August 8, 2019. Through its notification dated December 18, 2020, the Government of India brought into force certain sections of the Code on Wages, 2019. The remaining provisions of this code will be brought into force on a date to be notified by the Government of India. It proposes to subsume four separate legislations, namely, the Payment of Wages Act, 1936, the Minimum Wages Act, 1948, the Payment of Bonus Act, 1965 and the Equal Remuneration Act, 1976; and
- (iv) The Code on Social Security, 2020 received the assent of the President of India on September 28, 2020. Through its notification dated April 30, 2021, the Government of India brought into force section 142 of the Code on Social Security, 2020. The remaining provisions of this code will be brought into force on a date to be notified by the Government of India. It proposes to subsume several separate legislations including the Employee's Compensation Act, 1923, the Employees' State Insurance Act, 1948, the Employees' Provident Funds and Miscellaneous Provisions Act, 1952, the Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959, the Maternity Benefit Act, 1961, and the Payment of Gratuity Act, 1972

Tax Legislations

The tax related laws that are applicable to our Company include the Income-tax Act, 1961, the Income Tax Rules, the Customs Act, 1962, Customs Tariff Act, 1975, Goods and Services Tax Act, 2017, local body tax in respective states and Finance Act, 1994 and various applicable tax notifications and circulars.

Income-tax Act, 1961 ("Income Tax Act")

The Income Tax Act is applicable to every company, whether domestic or foreign whose income is taxable under the provisions of this Act or Rules made there under depending upon its "Residential Status" and "Type of Income" involved. The Income Tax Act provides for the taxation of persons resident in India on global income and persons not resident in India on income received, accruing or arising in India or deemed to have been received, accrued or arising in India. Every company assessable to income tax under the Income Tax Act is required to comply with the provisions thereof, including those relating to tax deduction at source, advance tax, minimum alternative tax, etc.

GST Laws

The Goods and Services Tax ("GST") is levied on supply of goods or services or both jointly by the Central Government and state governments. It is governed by the GST Council. GST provides for imposition of tax on the inter state supply of goods or services and will be levied by the Central Government on intra-state supply of goods or services and by the state government including union territories. The GST law is enforced by various acts viz. Central Goods and Services Act, 2017, relevant state's Goods and Services Act, 2017, Union Territory Goods and Services Act, 2017, Integrated Goods and Services Act, 2017, Goods and Services (Compensation to States) Act, 2017 and various rules made thereunder.

HISTORY AND CERTAIN CORPORATE STRUCTURE

Our Company was incorporated on August 30, 2022, under the provisions of Companies Act, 2013. The CIN of the Company is U29256MH2022PLC389649. Registered office of the Company is situated at Forbes Building, Charanjit Rai Marg, Fort, Mumbai, 400 001, Maharashtra. There has been no change in the registered office of the Company since its incorporation.

Major events in the history of Company

Year	Event
2022	Incorporated The Board approved the Scheme of Arrangement among Forbes & Company Limited, Forbes Precision Tools and Machine Parts Limited and their respective shareholders
2024	NCLT approved the Scheme of Arrangement in February 2024

Main Objects of the Company

The main objects of the Company as per Clause III(A) of the Memorandum of Association are as under:

To carry on business of manufacturers, importers, exporters, buyers, sellers, traders, dealers, distributors, service providers of engineering and electrical products and services including taps, carbon and/or steel taps, drills, rotary burrs, tools, threading tools, grinding tools, measuring tools, hand tools, precision tools, tools of any kind, jigs, fixtures, dies, spare parts, accessories, filtering materials, designs, patterns, plants, apparatus, equipment, machinery, machine parts and to carry on such other activities as may be incidental or conducive or advantageously carried on with any of the above activities.

Changes in the activities of our Company since incorporation

There have been no changes in the activities of our Company since incorporation, which may have a material adverse effect on our profits or loss, including discontinuance of our lines of business, loss of agencies or markets and similar factors.

Details regarding material acquisitions or divestments of business/undertakings, mergers and amalgamation, and revaluation of assets since incorporation

Our Company has not acquired any material business or undertaken any mergers or amalgamations or divestments of business or undertaking since incorporation.

Launch of key products or services, entry into new geographies or exit from existing markets, capacity/facility creation or location of plants

For details of key products or services launched by our Company, entry into new geographies or exit from existing markets, capacity/ facility creation, location of our manufacturing facilities, see “Our Business” beginning on page 56 of the Information Memorandum.

Subsidiary Company

We do not have any subsidiary company as on the date of this Information Memorandum.

Associate Company

We do not have any associate company as on the date of this Information Memorandum.

Strategic Partners / Joint Venture

We do not have any strategic partner or joint venture as on the date of the Information Memorandum.

Financial Partners

As on the date of the Information Memorandum, we do not have any other financial partners.

Defaults or rescheduling or restructuring of borrowings from financial institutions or banks

There are no defaults or rescheduling or restructuring of borrowings with financial institutions or banks.

Material agreements

There is no subsisting material agreement entered by our Company since incorporation other than in the ordinary course of business. Further, there is no agreement entered into by a KMP or Director or Promoter or any employee of our Company, either by themselves or on behalf of any other person, with any shareholder or any other third party with regard to compensation or profit sharing in connection with the dealings in the securities of our Company.

Scheme of Arrangement

The Hon'ble NCLT has sanctioned the Scheme vide Order dated February 9, 2024 (certified copy received by the Company on February 22 2024). For more details relating to the Scheme, please refer to the Section titled "*Scheme of Arrangement*" on page 42 of this Information Memorandum.

OUR MANAGEMENT

As per the provision of the Companies Act, 2013, we shall not have less than 3 and more than 15 Directors on our Board of Directors

As on the date of this Information Memorandum, our Board has 6 Directors, comprising of 1 Executive Director, 2 Non-Independent Non-Executive Directors and 3 Independent Directors including one Woman Director. The composition of the Board of Directors is in compliance with Section 149 of the Companies Act, 2013 and Regulation 17 of the SEBI Listing Regulations. The following table sets forth certain details regarding the Board of Directors as on the date of the Information Memorandum:

Name, DOB, Father's Name, Designation, Address, Occupation, Date of appointment, Term, Nationality and DIN	Age (Years)	Other Directorships
Name: Mahesh Chelaram Tahilyani Father's Name: Sh. Chelaram Nihalchand Tahilyani Date of Birth: 26/09/1964 Designation: Managing Director Address: 802, Tower 5, Rustomjee Ozone CHS Limited, Goregoan Mulund Link Road, Behind Goregaon Telephone Exchange, Goregaon (West), Mumbai 400104 Occupation: Service Date of Appointment: April 1, 2024 Term: Upto March 31, 2027 Nationality: Indian DIN: 01423084	59	Indian Companies • Next Gen Publishing Private Limited • Forvol International Services Limited • Forbes & Company Limited • Forbes Bumi Armada Limited • Shapoorji Pallonji Infrastructure Capital Company Private Limited LLP Nil
Name: Jai Laxmikant Mavani Father's Name: Sh. Laxmikant Manilal Mavani Date of Birth: 04/09/1971 Designation: Non-Executive Non-Independent Director Address: 1702, Building No.5, Raheja Classic, New Link Road., Next to Infiniti Mall, Andheri West, Mumbai - 400053 Occupation: Service Date of Appointment: March 30, 2024 Term: Upto ensuing Annual General Meeting and liable to retire by rotation. Nationality: Indian DIN: 05260191	52	Indian Companies • Gopalpur Ports Limited • Forbes Technosys Limited • Simar Port Private Limited • Shapoorji Pallonji And Company Private Limited • Superbon Hospitality Ventures Private Limited • Shapoorji Pallonji Infrastructure Capital Company Private Limited • Dharamtar Infrastructure Private Limited • Shapoorji Pallonji Energy Private Limited • SP Port Maintenance Private Limited • Forbes & Company Limited LLP • Superbon Advisors LLP

Name, DOB, Father's Name, Designation, Address, Occupation, Date of appointment, Term, Nationality and DIN	Age (Years)	Other Directorships
Name: Marzin Roomi Shroff Father's Name: Sh. Roomi Shroff Date of Birth: 23/09/1965 Designation: Chairman - Non-Executive Non-Independent Director Address: 201, GAI Building, 647 B, Khareghat Road, Dadar (East), Mumbai – 400 014 Occupation: Professional Date of Appointment: March 30, 2024 Term: Upto ensuing Annual General Meeting and liable to retire by rotation. Nationality: Indian DIN: 00642613	59	Indian Companies Nil LLP Nil
Name: Sivanandhan Dhanushkodi Father's Name: Sh. Perumalsamy Dhanushkodi Date of Birth: 03/02/1951 Designation: Non- Executive Independent Director Address: S/O Dhanushkodi, B/1803, Ashok Towers, Dr. Babasaheb Ambedkar Road, Parel, Mumbai, 400012 Occupation: Professional Date of Appointment: March 30, 2024 Term: Upto March 29, 2027 Nationality: Indian DIN: 03607203	73	Indian Companies • AGS Transact Technologies Limited • Kirloskar Industries Limited • S D Fine-Chem Limited • Arka Fincap Limited • Arka Financial Holdings Private Limited • Ashok Leyland Defence Systems Limited • Inditrade Capital Limited • Securus First Digital Services Private Limited • Securus First India Private Limited • United Spirits Limited • Forbes & Company Limited LLP Nil
Name: Rani Jadhav Ajit Father's Name: Sh. Kartar Singh Date of Birth: 02/06/1948 Designation: Non- Executive Independent Director Address: 409, Shalaka, Maharshi Karve Marg, Opp. Cooperage Football Ground, Cooperage, Mumbai, Nariman Point, Mumbai- 400021 Occupation: Professional Date of Appointment: March 30, 2024 Term: Upto March 29, 2027 Nationality: Indian DIN: 07070938	75	Indian Companies • Procter & Gamble Health Limited • Forbes & Company Limited • Forbes Campbell Finance Limited LLP Nil

Name, DOB, Father's Name, Designation, Address, Occupation, Date of appointment, Term, Nationality and DIN	Age (Years)	Other Directorships
Name: Nikhil Jaysinh Bhatia Father's Name: Sh. Jaysinh Dwarkadas Bhatia Date of Birth: 07/04/1958 Designation: Non- Executive Independent Director Address: S/O Jaysinh Dwarkadas Bhatia, 5/B, Keval Mahal, 64, Marine Drive, Near Wankhede Stadium, Mumbai - 400020 Occupation: Professional Date of Appointment: March 30, 2024 Term: Upto March 29, 2027 Nationality: Indian DIN: 00414281	65	Indian Companies • Forbes Bumi Armada Limited • Gokak Textiles Limited • Gokak Power & Energy Limited • Forbes & Company Limited LLP Nil

Brief Profile of Directors

Mr. Mahesh Chelaram Tahilyani

He is a Finance professional with over 37 years of strong business / finance experience in variety of roles and assumed positions of increasing responsibility in Finance and General Management areas. His past experiences include handling and leading finance function, handling and leading strategic projects include corporate restructuring, managing large projects (Information Technology), setting up a shared service organisation and he is currently heading businesses as a Managing Director. He was also recognized and awarded for various initiatives in his present and earlier companies.

Mr. Jai Lakmikanth Mavani

He has worked with firms like Arthur Andersen, KPMG and PWC and has industry specialization in Infrastructure, Real Estate and Private Equity and his skills include fund raising, business structuring, Mergers & Acquisitions, tax and regulatory and investment. He has skills and expertise in Fund raising, business structuring, Finance and Tax, Mergers and Acquisition and Business Governance.

Mr. Marzin Roomi Shroff

He is aged around 58 years, holds a Chartered Marketer from the Chartered Institute of Marketing, UK, and an MBA in Marketing. In a career spanning almost three decades, Mr. Marzin has acquired multi-dimensional experience in Direct Selling, Digital, Advertising, Strategy, Luxury Branding and International Business. He was Managing Director of Erstwhile Eureka Forbes Limited. His responsibility at Eureka Forbes is 'Thought Leadership', 'Talent Leadership', and 'Brand Leadership'. He was responsible for cultivating talent, as well as nurturing Brands such as "Aquaguard", and "Euroclean". His contribution to the improvement in water quality (internationally) has been recognised by Water Quality Association USA by awarding him with 'International Award of Merit'.

Mr. Sivanandhan Dhanushkodi

He joined IPS during 1976 being allotted to Maharashtra State where he served in different capacities all over the State. He retired as the Director General of Police of Maharashtra State during 2011. He is currently on the Board of Directors of various companies. Mr. D. Sivanadhan has skills and expertise in Public Policy and General Administration, Business Development, Business and Corporate Governance, Security -IT Domain Expertise.

Ms. Rani Jadhav Ajit

She is an IAS (ret'd) having worked for 38 years in the Indian Administrative Services before retiring from the position of the Chairperson, Mumbai Port Trust in the rank of Secretary, Government of India. Ms. Rani Jadhav

during her IAS held a number of senior positions in government both at the Central and State levels and therefore is well acquainted with all aspects of public administration in India. She was associated with the highest levels of decision making in the government.

Mr. Nikhil Jaysinh Bhatia

He has 38 years of experience in the areas of corporate tax, transfer pricing, Expatriate Taxation, Foreign Exchange Regulations. He was the partner of CNK & Associates LLP, he had been with KPMG for 13+ years and with PWC for 10+ years. He has wide experience in Corporate Tax, Transfer Pricing, Business Restructuring, Expatriate Taxation, Company Law and Foreign Exchange Regulations and Foreign Direct Investments. Recognised by Global Bhatia Foundation for his achievement in reaching the coveted positions of Partner in India Member firms of KPMG and PWC as also for inspiring young chartered accountants for achieving higher positions.

Relationship between the Directors

None of the Directors are related to each other.

None of our Directors, have held or are holding directorships in any listed companies whose shares have been or were suspended from being traded on the BSE and / or the NSE or whose shares have been or were delisted from the stock exchange(s). We also confirm that:

- We have not entered into any arrangement or understanding with our major shareholders, customers, suppliers or others, pursuant to which our Director were selected as Director or member of Senior Management.
- We have not entered into any service contracts with our Managing Director / Whole Time Director which provide for any benefit upon termination of employment.

Remuneration of our Directors

Our Company is not paying any remuneration to the Directors of the Company. However, Non-executive Directors are entitled for a sitting fee of INR 50,000 for every Board meeting and Committee meeting attended by them w.e.f. April 1, 2024. Independent Directors are entitled for INR 50,000 for every Board meeting and Committee meeting attended by them. In addition, commission may be paid as may be approved as per the rules and regulations.

Remuneration to Managing Director

Pursuant to the provisions of Section 197 and Schedule V of the Companies Act, 2013, remuneration payable to the Managing Director for the FY 2024-25 is as follows:

Particulars	Amount (INR)
Salary & Perquisites	2,54,06,200
Other- Employer Contribution to provident and other funds	12,70,416
Variable Pay / Performance Pay	1,33,38,308
Total Gross Remuneration	4,00,14,924

In addition to the above, he shall be entitled to gratuity, leave and other benefits in line with his employment contract and the policies of the company.

Borrowing Powers of the Board

Our Articles of Association, subject to applicable law, authorize our Board to raise or borrow money or secure the payment of any sum or sums of money for the purposes of our Company. Pursuant to a special resolution passed on January 16, 2024, our shareholders in their Extra Ordinary General Meeting authorized our Board to borrow from time to time such sums of money as may be required under Section 180(1)(c) of Act, provided that such amount shall not exceed ₹ 500 crores.

Corporate Governance

Applicable provisions of the Companies Act with respect to corporate governance and the provisions of the SEBI LODR Regulations, as amended from time to time, will be applicable to our Company upon the listing of the Equity Shares with BSE Limited.

Our Company is in compliance with the corporate governance code in accordance with Companies Act and SEBI LODR Regulations, as amended from time to time, particularly those relating to composition of Board of Directors and constitution of committees thereof. The corporate governance framework is based on an effective independent Board, separation of the Board supervisory role from the executive management team and constitution of the Board Committees, as required under law. Our Board has been constituted in compliance with the Companies Act and the SEBI LODR Regulations. The Board functions either as a full board, or through various committees constituted to oversee specific operational areas.

Composition of Board of Directors

Currently, the Board of Directors of our Company has an optimum combination of executive and non-executive Directors as envisaged in accordance with Act and SEBI LODR Regulations. Our Board has 6 Directors, comprising of 1 Executive Director, 2 Non-Executive Non-Independent Directors and 3 Independent Directors (including one woman Director). Our Company has constituted the following Committees in compliance with the corporate governance norms:

1. Audit Committee

The Audit Committee was constituted with effect from April 1, 2024 in accordance with the requirements of Section 177 of the Companies Act and Regulation 18 of the SEBI LODR Regulations. The Audit Committee presently comprises of:

Sr. No.	Name of Member	Designation (Chairman / Member)	Category
1.	Nikhil Jaysinh Bhatia	Chairman	Non-Executive, Independent
2.	Mahesh Chelaram Tahilyani	Member	Managing Director
3.	Sivanandhan Dhanushkodi	Member	Non-Executive, Independent

The Company Secretary of our Company shall act as a Secretary to the Audit Committee.

Scope and Terms of Reference:

The Audit Committee shall have powers, including the following:

- 1) to investigate any activity within its terms of reference;
- 2) to seek information from any employee;
- 3) to obtain outside legal or other professional advice;
- 4) to secure attendance of outsiders with relevant expertise, if it considers necessary; and
- 5) such other powers as may be prescribed under the Companies Act and the SEBI LODR Regulations.

The role of the Audit Committee shall include the following:

- 1) oversight of the listed entity's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
- 2) recommendation for appointment, remuneration and terms of appointment of auditors of the listed entity;
- 3) approval of payment to statutory auditors for any other services rendered by the statutory auditors;

- 4) reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
 - a) matters required to be included in the director's responsibility statement to be included in the board's report in terms of clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013;
 - b) changes, if any, in accounting policies and practices and reasons for the same;
 - c) major accounting entries involving estimates based on the exercise of judgment by management;
 - d) significant adjustments made in the financial statements arising out of audit findings;
 - e) compliance with listing and other legal requirements relating to financial statements;
 - f) disclosure of any related party transactions;
 - g) modified opinion(s) in the draft audit report;
- 5) reviewing, with the management, the quarterly financial statements before submission to the board for approval;
- 6) reviewing, with the management, the statement of uses / application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice and the report submitted by the monitoring agency monitoring the utilisation of proceeds of a 408[public issue or rights issue or preferential issue or qualified institutions placement], and making appropriate recommendations to the board to take up steps in this matter;
- 7) reviewing and monitoring the auditor's independence and performance, and effectiveness of audit process;
- 8) approval or any subsequent modification of transactions of the listed entity with related parties;
- 9) scrutiny of inter-corporate loans and investments;
- 10) valuation of undertakings or assets of the listed entity, wherever it is necessary;
- 11) evaluation of internal financial controls and risk management systems;
- 12) reviewing, with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
- 13) reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
- 14) discussion with internal auditors of any significant findings and follow up there on;
- 15) reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board;
- 16) discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
- 17) to look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
- 18) to review the functioning of the whistle blower mechanism;
- 19) approval of appointment of chief financial officer after assessing the qualifications, experience and background, etc. of the candidate;
- 20) Carrying out any other function as is mentioned in the terms of reference of the audit committee
- 21) reviewing the utilization of loans and/ or advances from/investment by the holding company in the subsidiary exceeding rupees 100 crore or 10% of the asset size of the subsidiary, whichever is lower including existing loans / advances / investments existing as on the date of coming into force of this provision.
- 22) consider and comment on rationale, cost-benefits and impact of schemes involving merger, demerger, amalgamation etc., on the listed entity and its shareholders.
- 23) Carrying out any other functions required to be carried out by the Audit Committee, as may be decided by the Board and/or as provided under the Companies Act, the SEBI LODR Regulations or any other applicable law, as and when amended from time to time.

Further, the Audit Committee shall mandatorily review the following information:

- 1) Management discussion and analysis of financial condition and results of operations;
- 2) Management letters / letters of internal control weaknesses issued by the statutory auditors;

- 3) Internal audit reports relating to internal control weaknesses;
- 4) the appointment, removal and terms of remuneration of the chief internal auditor shall be subject to review by the audit committee
- 5) Statement of deviations:
 - Quarterly statement of deviation(s) including report of monitoring agency, if applicable, submitted to stock exchange(s) in terms of Regulation 32(1) of SEBI LODR Regulations.
 - Annual statement of funds utilized for purposes other than those stated in the offer document/prospectus/notice in terms of Regulation 32(7) of LODR regulations.

2. Nomination and Remuneration Committee

The Nomination and Remuneration Committee was constituted with effect from April 1, 2024 in accordance with the requirements of Section 178 of the Companies Act and Regulation 19 of the SEBI LODR Regulations. The Nomination and Remuneration Committee presently comprises of:

Sr. No.	Name of Member	Designation (Chairman / Member)	Category
1.	Sivanandhan Dhanushkodi	Chairman	Non-Executive, Independent
2.	Marzin Roomi Shroff	Member	Non-Executive, Non-Independent
3.	Nikhil Jaysinh Bhatia	Member	Non-Executive, Independent

The Company Secretary of our Company shall act as a Secretary to the Nomination and Remuneration Committee.

The role of the Nomination and Remuneration Committee shall *inter alia* include the following:

- 1) formulation of the criteria for determining qualifications, positive attributes and independence of a director and recommend to the board of directors a policy relating to, the remuneration of the directors, key managerial personnel and other employees
- 2) For every appointment of an independent director, the Nomination and Remuneration Committee shall evaluate the balance of skills, knowledge and experience on the Board and on the basis of such evaluation, prepare a description of the role and capabilities required of an independent director. The person recommended to the Board for appointment as an independent director shall have the capabilities identified in such description. For the purpose of identifying suitable candidates, the Committee may
 - use the services of an external agencies, if required;
 - consider candidates from a wide range of backgrounds, having due regard to diversity; and
 - consider the time commitments of the candidates.
- 3) formulation of criteria for evaluation of performance of independent directors and the board of directors;
- 4) devising a policy on diversity of board of directors;
- 5) identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the board of directors their appointment and removal.
- 6) whether to extend or continue the term of appointment of the independent director, on the basis of the report of performance evaluation of independent directors.
- 7) recommend to the board, all remuneration, in whatever form, payable to senior management.
- 8) Carrying out any other functions as may be delegated by the Board of Directors of the Company, as provided under the Companies Act, the SEBI LODR Regulations or any other applicable law, as and when amended from time to time.

3. Stakeholders' Relationship Committee

The Stakeholders' Relationship Committee was constituted with effect from April 1, 2024 in accordance with the requirements of Section 178 of the Companies Act and Regulation 20 of the SEBI LODR Regulations. The Stakeholders' Relationship Committee presently comprises of:

Sr. No.	Name of Member	Designation (Chairman / Member)	Category
1.	Rani Jadhav Ajit	Chairperson	Non-Executive, Independent
2.	Sivanandhan Dhanushkodi	Member	Non-Executive, Independent
3.	Maresh Chelaram Tahilyani	Member	Managing Director

The Company Secretary of our Company shall act as a Secretary to the Stakeholders' Relationship Committee.

The role of the Stakeholders' Relationship Committee shall *inter alia* include the following:

- 1) Resolving the grievances of the security holders of the Company, including complaints related to transfer/transmission of shares, non-receipt of annual report, non-receipt of declared dividends, issue of new/duplicate certificates, general meetings etc.;
- 2) Review of measures taken for effective exercise of voting rights by shareholders;
- 3) Review of adherence to the service standards adopted by the Company in respect of various services being rendered by the Registrar & Share Transfer Agent;
- 4) Review of the various measures and initiatives taken by the Company for reducing the quantum of unclaimed dividends and ensuring timely receipt of dividend warrants/annual reports/statutory notices by the shareholders of the company; and
- 5) Carrying out any other functions as may be delegated by the Board of Directors of the Company, as provided under the Companies Act, the SEBI LODR Regulations or any other applicable law, as and when amended from time to time.

4. Corporate Social Responsibility Committee

The Corporate Social Responsibility Committee was constituted with effect from April 1, 2024 in accordance with the requirements of Section 135 of the Companies. The Stakeholders' Relationship Committee presently comprises of:

Sr. No.	Name of Member	Designation (Chairman / Member)	Category
1.	Sivanandhan Dhanushkodi	Chairman	Non-Executive Independent
2.	Maresh Chelaram Tahilyani	Member	Managing Director
3.	Marzin Roomi Shroff	Member	Non-Executive Non-Independent

The Company Secretary of our Company shall act as a Secretary to the Finance Committee

The scope and function of the CSR Committee and its terms of reference shall include the following:

- (1) formulate and recommend to the Board, a Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the company in areas or subject, specified in Schedule VII of the Companies Act, 2013;
- (2) recommend the amount of expenditure to be incurred on the activities referred above;
- (3) monitor the Corporate Social Responsibility Policy of the company from time to time;
- (4) ensure that the activities as are included in Corporate Social Responsibility Policy of the company are undertaken by the company;
- (5) Carrying out any other functions or duties as prescribed under Section 135 or other applicable provisions of the Companies Act, 2013 and rules made thereunder as amended from time to time or as may be entrusted by the Board from time to time.

5. Finance Committee

The Finance Committee was constituted with effect from April 1, 2024. The Finance Committee presently comprises of:

Sr. No.	Name of Member	Designation (Chairman / Member)	Category
1.	Jai Lakmikan Mavani	Chairman	Non-Executive Non-Independent

2.	Mahesh Chelaram Tahilyani	Member	Managing Director
3.	Marzin Roomi Shroff	Member	Non-Executive Non-Independent

The Company Secretary of our Company shall act as a Secretary to the Finance Committee

The terms of reference of the Finance Committee shall include:

- a) To approve short term/long terms loans/ cash credit, overdraft and facilities as may be authorised by the Board from time to time;
- b) Opening/closing of bank accounts;
- c) Addition/deletion of signatories and authorization for operation of bank accounts by the officials of the Company; and
- d) Such other functions/duties as may be entrusted by the Board from time to time.”

Interests of Directors

1. Directors of our Company may be deemed to be interested to the extent of any remuneration payable to them as per the terms of their appointment or the fees, if any, payable to them for attending meetings of the Board or committees thereof as well as to the extent of reimbursement of expenses payable to them.
2. Further, the Directors are interested to the extent of equity shares that they are holding and are allotted to them pursuant to the Scheme, and also to the extent of any dividend payable to them and other distributions in respect of the equity shares.
3. Except as stated otherwise in this Information Memorandum, our Company has not entered into any contract, agreement or arrangement since incorporation to the date of this Information Memorandum in which the Directors are directly or indirectly interested.

Shareholding of our Directors

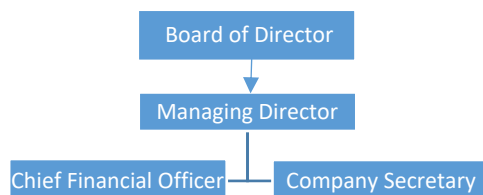
The Directors of the company doesn't hold any shares in our Company as on the date of this Information Memorandum, except Mr. Jai Mavani who was holding 2,032 Shares in the Demerged Company and pursuant to the Scheme of Arrangement would be allotted 8,128 shares in the Company.

Changes in the Board of Directors in the last 3 years

Except the following, there has been no change in the Board of Directors of our Company during the last three years:

Name of Director	Date of appointment	Date of cessation	Reason for change
Ravinder Chander Prem	August 30, 2022	March 31, 2024	Due to professional commitments
Nirmal Chandmal Jagawat	August 30, 2022	March 31, 2024	Due to professional commitments
Rupa Pawan Khanna	August 30, 2022	March 31, 2024	Due to professional commitments

Management Organization Chart



Key Managerial Personnel and Senior Management

Apart from the Managing Director, the following are the KMP and Senior Management Personnel of our Company:

Name	Designation	Age (years)	Qualification	Experience (years)	Date of Joining as KMP	Previous Employment
Rupa Khanna	Company Secretary and Compliance Officer	36	B.Com, M.Com, ACS, LLB	10	April 1, 2024	Forbes & Company Limited
Vikram Nagar	Chief Financial Officer	50	ICWAI	23	April 1, 2024	Forbes & Company Limited

Ms. Rupa Khanna is an associate member of the Institute of Company Secretaries of India, LLB, M.Com (Finance) and B.Com Accountancy & Finance with over 10 years of experience with Listed and Unlisted Companies managing Secretarial, Regulatory Compliances, Corporate Law Affairs, Legal Function, conducted, Corporate Restructuring etc. She was Company Secretary & Compliance Officer of Forbes & Company Limited.

Mr. Vikram Nagar was working as corporate finance controller of Forbes & Company Limited. He is a fellow member of the Institute of Cost and Management Accountant of India having 23 years of experience in the areas of finance, accounts, budgeting, Costing, MIS, financial and operational Controls (IFC) and Risk management. He is associated with Shapoorji Pallonji Group companies/ subsidiaries since March 2016 and over the years, occupied various positions. He has served 13 years as Chief financial officer in Oerlikon/ Fairfield Drive systems group companies. He has served as Brand ambassador for the Oerlikon/ Fairfield Drive systems group companies on pan India basis and implemented costing & MIS system in Drive segment across group companies within and outside India. He has good experience in the areas of business and financial management with special focus on operational strategy, governance, Budgeting & Costing, Operational & financial Controls, Strong MIS reporting and supporting business growth and scaling of business. He is well versed in handling commercial, financial, taxation, regulatory matters. He is a technology and process driven person, keen on implementing the new ways of doing business and ease out the processes.

Relationship between KMP and Directors

None of our KMP are related to any of the Directors of the Company.

Portion of the compensation or otherwise was paid pursuant to a bonus or profit-sharing plan for the previous financial year: Nil

Shareholding of our KMPs

Sr. No.	Name and Designation of KPM	Number of Shares	Percentage of Shareholding (%)
1.	Mr. Vikram Nagar	Nil	Nil
2.	Ms. Rupa Khanna	4	0.00

Changes in the KMPs in the last 3 years

Except the following, there has been no change in the KMPs of our Company during the last three years:

Name of KMP	Date of appointment	Date of cessation	Reason for change
Vikram Nagar (Chief Financial Officer)	April 1, 2024	NA	Appointed as Chief Financial Officer pursuant to the Scheme becoming effective
Rupa Khanna (Company Secretary & Compliance Officer)	April 1, 2024	NA	Appointed as Company Secretary & Compliance Officer pursuant to the Scheme becoming effective

OUR PROMOTERS AND PROMOTER GROUP

The Promoter of our Company is: **Shapoorji Pallonji and Company Private Limited**

Shapoorji Pallonji and Company Private Limited (“SPCPL”) was originally incorporated on January 23, 1943 under the provisions of the Indian Companies Act, 1913. The Corporate Identification Number of the SPCPL is U45200MH1943PTC003812. The Registered Office of SPCPL is situated at 70, Nagindas Master Road, Fort, Mumbai, Maharashtra - 400023. The Company is engaged Inter alia in construct, execute, carry out, improve, work, develop, administer, repair, manage or control in India, and any part of the world suitable works and conveniences of all kinds of which expression in the Memorandum includes railways, docks, harbours, piers, wharves, canals, reservoirs, embankments, irrigations, reclamation, improvement, sewage, drainage, sanitary, water, gas, electric light, telephonic, telegraphic and power supply works, factories, mills and hotels, warehouse, markets and buildings private or public and all other works or conveniences whatsoever and generally to carry on the business of Builders and Contractors, Sanitary Plumbers, Engineers, Architects, Surveyors, Estimators and Designers with Civil, Military, Naval or Air Force. The PAN of SPCPL is AAACS6994C.

The ultimate beneficial owners of SPCPL are Mr. Shapoorji Pallonji Mistry, Mr. Firoz Cyrus Mistry and Mr. Zahan Cyrus Mistry.

Board of Directors of Shapoorji Pallonji and Company Private Limited:

The Board of Directors of SPCPL as on date of this Information Memorandum are:

S.No.	Name	DIN	Designation
1.	Roshen Minocher Nentin	00004884	Whotetime Director
2	Firoze Kavshah Bhathena	00010075	Whotetime Director
3.	Kekoo Homji Colah	00377478	Director
4.	Jai Laxmikant Mavani	05260191	Whotetime Director
5.	Akhil Kumar Gupta	03188873	Whotetime Director
6.	Shapoorji Pallonji Mistry	00010114	Director
7.	Pallon Shapoorji Mistry	05229734	Director
8.	Mohan Dass Saini	05260237	Director

Shareholding pattern of SPCPL as on date of this Information Memorandum is:

S.No.	Name	Number of equity shares	Percentage (%)
1	S P Finance Private Limited	33,62,02,900	47.69
2	S C Finance and Investment Private Limited	33,62,02,900	47.69
3	Sterling Investment Corporation Private Limited	90,38,100	1.28
4	Cyrus Investment Private Limited	90,38,100	1.28
5	Shapoorji P. Mistry	72,55,100	1.03
6	Firoz C. Mistry	36,27,550	0.51
7	Zahan C. Mistry	36,27,550	0.51
8	Blue Arrow Finance Company Private Limited	28,000	0.00
	Total	70,50,20,200	100.00

Financial Information

Summary of Financial Information of Shapoorji Pallonji and Company Private Limited for the financial year ending March 31, 2023, March 31, 2022 and March 31, 2021 is as below:

	(₹ in lakhs)		
Particulars	March 31, 2023	March 31, 2022	March 31, 2021
Total Income	7,95,258.04	8,57,985.46	667,007.68
Profit after Tax	(67,896.56)	1,71,526.34	(139,643.49)
Equity share capital	70,502.02	70,502.02	70,502.02
Reserves & Surplus	3,10,635.73	3,77,129.15	202,641.76
Net Worth	3,81,137.75	4,47,631.17	273,143.78
Book Value per share of face value ₹ 10 each (in ₹)	54.06	63.49	38.74
Earnings per share of face value ₹ 10 each (in ₹)	(9.63)	24.33	(19.81)

Other confirmation

Our Promoter has not been declared as willful defaulters by the RBI or any other Governmental authority and there are no violations of securities laws committed by them in the past or are pending against them.

Our Promoter and Promoter Group have not been debarred or prohibited from accessing or operating in capital markets under any order or direction passed by SEBI or any other regulatory or governmental authority. Our Promoter is not and have never been a promoter, director or person in control of any other company which is debarred or prohibited from accessing or operating in capital markets under any order or direction passed by SEBI or any other regulatory or governmental authority.

Our Company confirms that the permanent account number, bank account number(s), passport number, Aadhar card number and driving license number, Company registration number, address of Registrar of companies, as applicable, of each of our Promoters were submitted to the Stock Exchanges at the time of filing of the Information Memorandum.

Interest of Promoters

Our Promoter shall be deemed as interested to the extent of equity shares held by them or by the companies / firms / ventures promoted by them, if any and dividend or other distributions payable to them in respect of the said Equity Shares. Except as stated above and in the section titled “*Financial Statements*” on page 86 of the Information Memorandum, and to the extent of shareholding in our Company, our Promoter does not have any other interest in our business.

Our Promoters do not have any interest in any property acquired by our Company in the three years preceding the date of this Information Memorandum or proposed to be acquired by our Company or in any transaction by our Company with respect to the acquisition of land, construction of building or supply of machinery.

There is no amount paid or benefits granted by our Company to our Promoters or any member of the Promoter Group, within the two preceding years from the date of this Information Memorandum, and nor is there any intention to pay any amount or provide any benefit to any of our Promoters or members of the Promoter Group as on the date of this Information Memorandum, other than in the ordinary course of business

Further, no material guarantees have been given to third parties by our Promoters with respect to Equity Shares of our Company. The equity shares held by the Promoter namely Shapoorji Pallonji and Company Private Limited are proposed to be pledged in favour of Catalyst Trusteeship Limited.

Disassociation by our Promoters in the last three years

Our Promoters have not disassociated themselves from any significant venture during the three years preceding the date of filing of this Information Memorandum.

Related party transactions

For details of related party transactions refer to “*Financial Statements*” on page 86 of the Information Memorandum.

PROMOTER GROUP

Forbes Campbell Finance Limited (“FCFL”) was originally incorporated on April 25, 1977 as Sarada Latham Business Machines Private Limited under the provisions of the Companies Act, 1956 and finally on June 14, 2010, the name of the company got changed to its current name, Forbes Campbell Finance Limited. It has its Corporate Identity Number as U51103MH1977PLC259702. The Registered Office of the company is situated at Forbes’ Building, Charanjit Rai Marg, Fort, Mumbai, 400-001. The company is primarily engaged in the business of making Investments in companies. The PAN of FCFL is AAACL0532H.

Board of Directors of Forbes Campbell Finance Limited

The Board of Directors of FCFL as on date of this Information Memorandum are:

S.No.	Name	DIN	Designation
1	Rani Jadhav Ajit	07070938#	Director
2	Nirmal Chandmal Jagawat	01854117	Director
3	Ravinder Chander Prem	07771465	Director

Shareholding pattern as on the date of this Information Memorandum

S.No.	Particulars	Equity Shares	% of Equity Share Capital
1.	Forbes & Company Limited	38,64,125	100.00
2.	Forbes & Company Limited jointly with Mr. Mahesh Tahilyani *	1	0.00
3.	Forbes & Company Limited jointly with Mr. Prashant Pradhan *	1	0.00
4.	Forbes & Company Limited jointly with Mr. Ravinder Chander Prem *	1	0.00
5.	Forbes & Company Limited jointly with Mr. Vikram Nagar *	1	0.00
6.	Forbes & Company Limited jointly with Mr. Aruna Kelkar *	1	0.00
7.	Forbes & Company Limited jointly with Mr. Nirmal Jagawat *	1	0.00
	Total	38,64,131	100.00

(*) held as a Nominee of Forbes & Company Limited

Financial performance

The audited financial results (Standalone) of Forbes Campbell Finance Limited for the financial years ended March 31, 2023, 2022 and 2021 and are set forth below.

(₹ in Lakhs)			
Particulars	March 31, 2023	March 31, 2022	March 31, 2021
Total Income	135.46	20.06	9.10
Profit after Tax	(863.55)	(699.56)	(2,329.90)
Equity share capital	386.41	386.41	386.41
Other Equity	6,567.55	6,850.70	1,173.73
Net Worth	6,953.96	7,237.11	1,560.15
Book Value per share of face value ₹ 10 each	179.96	187.29	40.38
Earnings per share of face value ₹ 10 each	(22.35)	(18.10)	(60.30)

GROUP COMPANIES

Given below is the list of entities which are Group Companies of our Company as per Regulation 2(1)(t) of the SEBI ICDR Regulations. None of the Group Companies have made any public issue in the preceding three years. None of the Group Company has become a sick company and is not under winding up or liquidation. For details on litigations and disputes pending against the Group Companies, please refer to the section titled “Outstanding Litigations and Material Developments” on page 88 of the Information Memorandum.

Definition: "group companies", shall include such companies (other than promoter(s) and subsidiary/subsidiaries) with which there were related party transactions, during the period for which financial information is disclosed, as covered under the applicable accounting standards, and also other companies as considered material by the board of the issuer.

1. Forbes & Company Limited

Forbes & Company Limited (“FCL”) was originally incorporated on November 18, 1919 under the provisions of the Indian Companies Act, 1913 and registered with the Registrar of Companies, Mumbai. FCL is a Listed Company in India and its shares are traded on the BSE Limited. The CIN of FCL is L1711MH1919PLC000628. The Registered Office of FCL is situated at Forbes Building, Charanjit Rai Marg, Fort Mumbai, Maharashtra - 400001. The Company is engaged in the business of manufacturing and trading of engineering products, real estate development projects and leasing of properties. The PAN of FCL is AAACF1765A.

FCL is subsidiary of Shapoorji Pallonji and Company Private Limited, and the ultimate beneficial owners of FCL are Mr. Shapoor Pallonji Mistry, Mr. Firoz Cyrus Mistry and Mr. Zahan Cyrus Mistry. The Equity Shares of Forbes & Company Limited are listed at BSE Limited.

Board of Directors of Forbes & Company Limited:

The Board of Directors of FCL as on date of this Information Memorandum are:

S.No.	Name	Designation
1.	Ravinder Prem	Whole Time Director
2	Mahesh Chelaram Tahilyani	Non-Executive Director
3.	Jai Laxmikant Mavani	Non-Executive Director
4.	Sivanandhan Dhanushkodi	Independent Director
5.	Rani Ajit Jadhav	Independent Director
6.	Nikhil Jaysinh Bhatia	Independent Director

Shareholding pattern of FCL as of March 31, 2024*:

S.No.	Name	Number of equity shares	Percentage (%)
1	Promoter & Promoter Group	95,25,691	73.85
2	Other Shareholders	33,72,925	26.15
	Total	1,28,98,616	100.00

**FCL being a Public Listed Company in India, its number of shareholders and shareholding pattern keeps changing on a daily basis. The details in the table above are the same as what the Company has been obligated to file with the BSE Limited on a quarterly basis.*

BSE

The high and low closing prices and associated volumes of securities traded during last three years are as follows:

Period	High (in ₹)	Date of High	Volume on date of high (no. of shares)	Low (in ₹)	Date of Low	Volume on date of low (no. of shares)	Weighted Average Price (in ₹)
2023	905.00	23-11-2023	75,320	559.00	29-03-2023	6,285	695.36
2022	6774.00	10-01-2022	2,224	331.00	12-05-2022	7,241	810.23
2021	6486.00	31-12-2021	641	1300.00	26-12-2021	2,581	3417.73

The high and low closing prices and associated volume of securities traded during the last six months is as follows:

Period	High (in ₹)	Date of High	Volume on date of high (no. of shares)	Low (in ₹)	Date of Low	Volume on date of low (no. of shares)	Weighted Average Price (in ₹)
May 2024	681.80	02-05-2024	9,279	590.75	09-05-2024	4,349	655.23
April 2024	796.25	26-04-2024	36,676	461.70	19-04-2024	13,525	612.60
March 2024	1,399.00	04-03-2024	33,209	383.30*	18-03-2024	18,042	735.73
February 2024	1,270.00	29-02-2024	40,229	815.00	01-02-2024	3,966	1,012.85
January 2024	880.00	29-01-2024	16,966	745.35	01-01-2024	1,419	815.15
December 2023	855.50	05-12-2023	9,287	718.00	21-12-2023	2,863	793.65

* The stock price got adjusted on account of Record date falling in the month of March 2024 for the purpose of allotment of shares pursuant to Scheme of Arrangement.

For the purpose of aforesaid tables:

- Year is Calendar year ending on December 31.
- Weighted Average Price (Total Turnover / Total Traded Quantity) for all trading days during the said period.
- High price is the maximum of the daily high prices and Low price is the minimum of the daily low prices of the Equity Shares of our Company for the year, or the month, as the case may be.
- In case of two days with the same high / low, the date with higher volume has been considered.

Financial performance

The audited financial results of Forbes & Company Limited for the financial years ended March 31, 2023, 2022 and 2021 are set forth below.

Particulars	(₹ in Lakhs)		
	March 31, 2024**	March 31, 2023	March 31, 2022
Total Income	14,626.00	46,173.56	24,874.36
Profit after Tax	2,034.00	23,859.16	4,13,294.21*
Equity share capital	1,289.86	1,289.86	1,289.86
Reserves & Surplus	10,905.00	19,395.31	2,612.34
Net Worth	12,194.86	20,685.17	3,902.20
Book Value per share of face value ₹ 10/- each (in ₹)	94.54	160.37	30.25
Earnings per share of face value ₹ 10/- each (in ₹)	15.77	184.95	3,203.83^

* There has been a one-time exceptional item of INR 4,52,875.74 Lakhs pertaining to notional gain on distribution of Demerged undertaking to Owners.

^ The Earnings per Share is calculated after giving adjustments for Exceptional items. Before Exceptional items, the Earnings per Share is INR 24.83.

**Upon the Scheme of Arrangement becoming effective from March 01, 2024, the Precision Tools business of Forbes & Company Limited, including all its assets and liabilities is transferred to and vested in Forbes Precision Tools and Machine Parts Limited with effect from the appointed date i.e., April 01, 2023.

DIVIDEND POLICY

The Company does not have a formal dividend policy vis-à-vis the equity shares. The declaration and payment of dividend on the Equity Shares will be recommended by our Board and approved by the shareholders of our Company at their discretion and will depend on several factors, including the results of operations, earnings, capital requirements and surplus, general financial conditions, contractual restrictions, applicable Indian legal restrictions and other factors considered relevant by the Board. Further, the Board may also declare interim dividend in accordance with the provisions of the Act.

Our Company has not declared any dividend since incorporation.

FINANCIAL STATEMENTS

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INDEPENDENT AUDITOR'S REPORT

To the members of **FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED**

Report on the audit of the Standalone Financial Statements

Opinion

We have audited the accompanying Standalone Financial Statements of **FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED** (hereinafter referred as "the Company"), which comprise the Balance sheet as at March 31, 2024, the Statement of Profit and Loss (including Other Comprehensive Income), the Cash Flow Statement and the Statement of Changes in Equity for the year ended March 31, 2024 and Notes to the Standalone Financial Statements, including a summary of significant accounting policies and other explanatory information (hereinafter collectively referred as the "Standalone Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Standalone Financial Statements give the information required by the Companies Act, 2013 (hereinafter referred as "the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed Under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015 as amended (hereinafter referred as "Ind AS") and other accounting principles generally accepted in India, of the state of affairs (financial position) of the Company as at March 31, 2024, its profit, other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (hereinafter referred to as "SAs") specified Under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's responsibilities for the audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (hereinafter referred as "ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Act and the Rules there under, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We draw attention to Note 38 of the Standalone Financial Statements, which describes the Composite Scheme of Arrangement ("the scheme") under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 and the rules and regulations made thereunder, which inter alia, provides for amalgamation and vesting of Assets & liabilities of demerged undertaking of Forbes & Company Limited (FCL) with and into company on a going concern basis was approved by NCLT. The requisite certified order of the National Company Law Tribunal (NCLT) has been filed with the Registrar of Companies on March 1, 2024. Consequently, the demerged undertaking of FCL is merged into the company with effect from the appointed date of April 1, 2023.

Our opinion is not modified in respect of this matter.



Information other than the Standalone Financial Statements and Auditor's Report thereon (hereinafter referred as "other information")

The Company's Management and Board of Directors are responsible for the preparation of the other information. The other information comprises the Board's report included in the annual report but does not include the Standalone Financial Statements and our report thereon.

Our opinion on the Standalone Financial Statements does not cover the other information and we do not express any form of assurance and/or conclusions thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's & Board of Directors' for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the financial position, financial performance, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Ind AS. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Financial Statements, the Company's Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to the going concerned and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

The Board of Directors are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.



Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- a) Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3) (i) of the Act, we are also responsible for expressing our opinion on whether the Company has an adequate internal financial controls system in place and the operating effectiveness of such controls.
- c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- d) Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to our auditor's report date. However, future events or conditions may cause the Company to cease to continue as a going concern.
- e) Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Standalone Financial Statements that, individually or in the aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Standalone Financial Statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work, and (ii) evaluating the effect of any identified misstatements in the Standalone Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government in terms of Section 143 (11) of the Act, we give in "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143 (3) of the Act and based on our audit we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
 - c) The Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows statement dealt with by this report are in agreement with the books of account;
 - d) In our opinion, the aforesaid Standalone Financial Statements comply with the Ind AS specified under Section 133 of the Act.
 - e) On the basis of the written representations received from the directors as on March 31, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2024 from being appointed as a director in terms of Section 164 (2) of the Act;
 - f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting; and
 - g) With respect to the other matters to be included in the auditor's report in accordance with the requirements of Section 197(16) of the Act, as amended, according to the explanation given to us, the remuneration has not been paid by the Company to its directors during the year, accordingly the provisions of section 197 of the Act are not applicable to the company.
 - h) With respect to the other matters to be included in the Auditor's Report in accordance with rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations as at March 31, 2024, on its financial position in its Standalone Financial Statements - Refer notes 33 (a) to the Standalone Financial Statements.



- ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses;
- iii. There were no amounts that were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv. (a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(b) The Management has represented, that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to the notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement;
- v. During the year Company has not declared/paid any dividend hence reporting under rule 11(f) is not applicable to that extent and
- vi. Based on our examination which included test checks, the company has used accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with.



As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable from April 1, 2023, reporting under Rule 11 (g) of the Companies (Audit and Auditors) Rules, 2014 on the preservation of audit trail as per the statutory requirements for record retention is not applicable for the financial year ended March 31, 2024.

For Sharp & Tannan Associates
Chartered Accountants
Firm's Registration No.: 0109983W
by the hand of



Parthiv S Desai
Partner

Membership No.: (F) 042624
UDIN- 24042624BKFRSG1911

Mumbai, May 06, 2024

Annexure A to the independent auditor's report on the standalone financial statements of Forbes Precision Tools and Machine Parts Company Limited for the year ended 31st March 2024

(Referred to in paragraph 1 under the heading "Report on Other Legal and Regulatory Requirements" Section of our report on even date)

(i) (a) According to the information and explanation given to us and records examined by us;

(A) The Company is maintaining proper records showing full particulars, including quantitative details and the situation of the Property, Plant and Equipment (PPE) of the Company.

(B) The Company is maintaining proper records showing full particulars of the Intangible assets of the Company.

(b) The Company has a program of verification of PPE to cover all the items once in two years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, all PPE has been physically verified for the demerged undertaking which is subsequently merged into the company. According to the information and explanations given to us, no material discrepancies were noticed in such verification related to assets transferred to the company as per the scheme of arrangement.

(c) we report that the title deeds, comprising all the immovable properties of land and buildings, (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee), are held in the name of the Company as on balance sheet date, except for the following:

Description of property	Gross carrying value (Rs. in Lakhs)	Title deeds held in the name of	Whether the title deed holder is a promoter, director or their relative or employee	Period held - indicate the range, where appropriate (years)	Reason for not being held in the name of the Company
Plot B-13, Waluj Industrial Area Waluj, Aurangabad-431 133	9.96	Forbes & Company Limited	No	Less than 1 Year	The Property is transferred under the composite scheme of arrangement. The company is in the process to transfer of title deeds.
Factory Building 1, Factory Building 2, Office Building and Canteen	3,428.87				

(d) We report that the company has not made any revaluation of PPE (including Right of use assets) or intangible assets or both during the year. Accordingly, reporting on paragraphs 3 Clause (i) (d) of the Order is not applicable to the Company.



- (e) We report that there are no proceedings have been initiated or are pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder. Accordingly, reporting on paragraphs 3 Clause (i) (e) of the Order is not applicable to the Company.
- (ii) In our opinion and according to the information and explanations given to us;
- (a) the physical verification of inventory has been conducted at reasonable intervals by the management during the year and, in our opinion, the coverage and procedure of such verification by Management is appropriate. Inventory lying with the third parties has been substantially confirmed by them. The discrepancies noticed on physical verification of inventory as compared to book records were not 10% or more and have been appropriately dealt with in the books of accounts.
- (b) During the year the company has not been sanctioned a working capital facility. Accordingly, reporting on paragraph 3 Clause (ii) (b) of the Order is not applicable to the Company.
- (iii) In our opinion and according to the information and explanations given to us the company has not made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured to companies, firms, limited liability partnerships or other parties during the year. Accordingly, paragraph 3 Clause (iii) (a), (b), (c), (d), (e) & (f) of the Order is not applicable to the Company.
- (iv) During the year the Company has not given loans and advances or made investments in or provided guarantees or security to parties covered by sections 185 and 186 of the Act. Accordingly, reporting on paragraph 3 Clause (iv) of the Order is not applicable to the Company.
- (v) During the year there is no public deposit as such in the company and no order has been passed by the Company Law Board or the National Company Law Tribunal or the Reserve Bank of India or any Court or any other Tribunal. Accordingly, reporting on paragraphs 3 Clause (v) of the Order is not applicable to the Company.
- (vi) The Central Government has specified maintenance of cost records under Section 148(1) of the Act. We have broadly reviewed these records relating to materials, labour and other items of cost maintained by the Company and are of the opinion that prima facie, the prescribed cost accounts and records have been prepared and maintained. We have not however made a detailed examination of records with a view to determine whether they are accurate or complete.
- (vii) According to the information and explanations given to us, in respect of statutory dues:
- (a) In our opinion, the Company is regular in depositing the undisputed statutory dues, including Goods and Services Tax, Provident Fund, Employees' State Insurance, Income-tax, Customs Duty, cess, and other material statutory dues, as applicable, with the appropriate authorities as per the records of the company examined by us. Also, refer to note 33 (a) to the standalone financial statements regarding management's assessment of certain matters relating to the provident fund.



- (b) There are no statutory dues referred to in sub-clause (a) as at March 31, 2024, which have not been deposited on account of a dispute, except as mentioned below:

Name of the Statute	Nature of dues	The period to which the amount relates	Forum where the dispute is pending	Amount involved (Rs. in Lakhs)
Employees Provident Fund and Misc. Provisions Act, 1952	Damages	1996-2014	The Central Government Industrial Tribunal at Mumbai	16.81

- (viii) There are no such transactions that are not recorded in the books of account, which have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961). Accordingly, reporting on paragraph 3 clause (viii) of the Order is not applicable to the Company.
- (ix) According to the information and explanations given to us and the records examined by us;
- the Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
 - the company has not been declared a wilful defaulter by banks or financial institutions or other lenders Accordingly, reporting on paragraph 3 clause (ix) (b) of the Order is not applicable to the Company.
 - In our opinion and according to the information and explanations given to us, the term loans have been applied for the purpose for which they were obtained.
 - According to the information and explanations given to us, the procedures performed by us, and on an overall examination of the financial statements of the company, we report that no funds raised on a short-term basis have been used for long-term purposes by the company.
 - The company does not have subsidiaries, associates or joint ventures. Accordingly, reporting on paragraph 3 clause (ix) (e) of the Order is not applicable to the Company
 - The company does not have subsidiaries, associates or joint ventures. Accordingly, reporting on paragraph 3 clause (ix) (f) of the Order is not applicable to the Company.
- (x) According to the information and explanations given to us and the records examined by us,
- The Company being the non-listed public limited company, has not raised money by way of an initial public offer or further public offer (including debt instruments), Accordingly reporting on paragraph 3 clause (x) (a) of the Order is not applicable to the Company.



- (b) During the year the Company has not made preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible). Accordingly, reporting on paragraph 3 clause (x) (b) of the Order is not applicable to the Company.
- (xi) According to the information and explanations given to us and during the course of our examination of the books and records of the company,
- (a) we have neither come across any instance of material fraud by the Company or on the Company, noticed or reported during the year, nor have been informed of any such case by the management.
- (b) No report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was required to be filed with the Central Government. Accordingly, the reporting under paragraph 3 clause (xi)(b) of the Order is not applicable to the company.
- (c) no whistle-blower complaints have been received during the year by the Company. Accordingly, the reporting under clause 3(xi)(c) of the Order is not applicable to the company.
- (xii) The Company is not a Nidhi Company and hence reporting under paragraph 3 clause (xii) (a), (b) and (c) of the Order is not applicable to the Company.
- (xiii) In our opinion and according to the information and explanations given to us the Company is in compliance with Sections 177 and 188 of the Companies Act, 2013, where applicable, for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements as required by the applicable Ind AS.
- (xiv) The company is not required to appoint an internal auditor. Accordingly, reporting under paragraph 3 Clause (xiv)(a) and (b) of the order is not applicable to the company.
- (xv) During the year the company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence reporting on compliance with the provisions of section 192 of the Companies Act, 2013 under paragraph 3 clause (xv) of the order is not applicable to the company.
- (xvi) According to the information and explanations given to us and the records examined by us,
- (a) the Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, reporting on paragraph 3 Clause (xvi)(a) of the order is not applicable to the company.
- (b) the Company has not conducted non-banking financial/housing finance activities during the year. Accordingly, reporting on paragraph 3 Clause (xvi)(b) of the order is not applicable to the company.



- (c) the Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, reporting on paragraph 3 Clause (xvi)(c) of the order is not applicable to the company.
- (d) The group has five unregistered Core Investment Companies (CICs) as part of the Group as detailed in note 42 (iii) to the standalone financial statements. We have not, however, separately evaluated whether the information provided by the management is accurate and complete.
- (xvii) In our opinion and according to the information and explanations given to us, the company has not incurred cash losses in the current year, however, the company has incurred cash losses of Rs. 1.18 Lakhs in the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditors during the year and accordingly, reporting on paragraph 3 Clause (xviii) of the order is not applicable to the company.
- (xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, and other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that company is not capable of meeting its liabilities existing at the date of the balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the company as and when they fall due.
- (xx) Section 135 of the Companies Act does not apply to the company, accordingly, reporting on Paragraph 3 Clause (xx) (a) & (b) of the order are not applicable to the company.
- (xxi) The company does not have any subsidiaries, associates and joint ventures during the year. Hence, the Company is not required to prepare Consolidated Financial Statements. Accordingly, reporting under paragraph 3 Clause (xxi) of the Order is not applicable.

SHARP & TANNAN ASSOCIATES

Chartered Accountants

Firm's Registration No.: 0109983W

by the hand of



CA Parthiv S Desai

Partner

Membership No.: (F) 042624

UDIN -24042624BKFR5G1911

Mumbai, May 06, 2024

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Annexure B to the independent auditor's report on the standalone financial statements of FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED for the year ended 31st March, 2024

(Referred to in paragraph 2 (f) under the heading, "Report on other legal and regulatory requirements" of our report on even date)

Report on the Internal Financial Controls Over Financial Reporting under Clause (I) Section 143 (3) of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of Forbes Precision Tools and Machine Parts Limited (hereinafter referred to as "the Company") as of March 31, 2024, in conjunction with our audit of the Standalone Financial Statements of the Company for the year ended on that date.

Management's & Board of Directors' Responsibility for Internal Financial Controls

The Company's Management and Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the guidance note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the guidance note and the Standards on Auditing issued by ICAI and deemed to be prescribed Under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error.



We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A Company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone Financial Statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that:

- (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- (2) provide reasonable assurance that transactions are recorded as necessary to permit the preparation of Standalone Financial Statements in accordance with generally accepted accounting principles and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
- (3) provide reasonable assurance regarding the prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone Financial Statements.

Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as



at March 31, 2024, based on the internal financial control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (hereinafter referred as "the guidance note") issued by the Institute of Chartered Accountants of India (hereinafter referred as "ICAI").

For Sharp & Tannan Associates
Chartered Accountants
Firm's Registration No.: 0109983W
by the hand of



Parthiv S Desai
Partner

Membership No.: (F) 042624
UDIN- 24042624BKFRSG1911

Mumbai, May 06, 2024

FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

BALANCE SHEET AS AT MARCH 31, 2024

Particulars	Note No.	₹ in Lakhs As at March 31, 2024	₹ in Lakhs As at March 31, 2023
ASSETS			
1 Non-current assets			
a Property, Plant and Equipment	3	8,527.72	-
b Right-of-use assets	31	343.09	-
c Capital work-in-progress	3A	468.67	-
d Other Intangible assets	3B	61.30	-
e Financial Assets:			
i) Other financial assets	6A.	94.53	-
f Income tax assets (net)	19	851.41	-
g Other non-current assets	9A.	296.69	-
Total Non-current assets		10,643.41	-
2 Current assets			
a Inventories	7	3,846.87	-
b Financial Assets:			
i) Trade receivables	4	2,944.40	-
ii) Cash and cash equivalents	8	1,595.63	5.00
iii) Loans & Advances	5	3.26	-
iv) Other financial assets	6B.	1,137.83	-
c Other current assets	9B.	88.25	0.07
Total Current assets		9,616.24	5.07
Total Assets		20,259.65	5.07



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
BALANCE SHEET AS AT MARCH 31, 2024

Particulars	Note No.	₹ in Lakhs As at March 31, 2024	₹ in Lakhs As at March 31, 2023
EQUITY AND LIABILITIES			
Equity			
a Equity share capital	10	5,159.45	5.00
b Other equity	11	8,615.88	(1.18)
Total Equity		13,775.33	3.82
Liabilities			
1 Non-current liabilities			
a Financial liabilities:			
i) Borrowings	12	294.15	-
ii) Lease liabilities	31	216.00	-
iii) Other financial liabilities	13A	95.15	-
b Provisions	14A	557.56	-
c Deferred tax liabilities (net)	15	236.77	-
Total Non-current liabilities		1,399.63	-
2 Current liabilities			
a Financial liabilities:			
i) Borrowings	17	248.25	-
ii) Lease liabilities	31	125.25	-
iii) Trade payables			
a) total outstanding dues of micro enterprises and small enterprises; and	18	782.35	0.43
b) total outstanding dues of creditors other than micro enterprises and small enterprises	18	1,387.07	0.07
iv) Other financial liabilities	13B	538.22	-
b Other current liabilities	16	862.61	-
c Provisions	14B	129.23	0.75
d Current tax liabilities (net)	19	1,011.71	-
Total Current Liabilities		5,084.69	1.25
Total Liabilities		6,484.32	1.25
Total Equity and Liabilities	TOTAL	20,259.65	5.07
Material Accounting Policies			
The accompanying notes form an integral part of the financial statements			
	1 & 2		
	3 to 46		

In terms of our report of even date
For Sharp & Tannan Associates

Chartered Accountants
Firm's Registration No. 109983W

Partiv S. Desai
Partner
Membership No.: 042624

Date: May 06, 2024
Place: Mumbai



For and on behalf of the Board of Directors

M.C. TAHILYANI
Managing Director
DIN : 01423084

JAI L. MAVANI
Director
DIN : 05260191

VIKRAM V. NAGAR
Chief Financial Officer

RUPA KHANNA
Company Secretary
Membership No. : A33322

Date: May 06, 2024
Place: Mumbai



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2024

Particulars	Note No.	₹ in Lakhs For the year ended March 31, 2024	₹ in Lakhs For the year ended March 31, 2023
I Revenue from operations	20	22,849.66	-
II Other income	21	105.94	-
III Total Income (I + II)		22,955.60	-
IV Expenses:			
Cost of materials consumed	22	8,050.05	-
Purchases of stock-in-trade		128.72	-
Changes in inventories of finished goods, work-in-progress and stock-in-trade	22	(220.04)	-
Employee benefits expense	23	4,106.51	-
Finance cost	24	115.86	-
Depreciation and amortisation expense	25	1,144.59	-
Other Expenses	26	5,646.88	1.18
Total expenses		18,972.57	1.18
V Profit before exceptional items and tax (III - IV)		3,983.03	(1.18)
VI Profit / (Loss) before tax (V-VI)		3,983.03	(1.18)
VII Tax expense / (credit):			
Current tax	27	1,011.71	-
Deferred tax	27	0.21	-
VIII Profit / (loss) for the year (VII-VIII)		1,011.92	-
IX Other Comprehensive Income			
A (i) Items that will not be reclassified to Statement of Profit and Loss			
Remeasurement of the defined benefit plans		8.41	-
(ii) Income tax relating to these items			
Deferred tax	27	2.12	-
X Total Comprehensive Income / (Loss) for the year (IX + X)		6.29	-
XI Earning per equity share :			
Basic and diluted earnings per equity share After Exceptional Items	28	₹ 110.63	₹ 2.33
Material Accounting Policies	1 & 2		
The accompanying notes form an integral part of the financial statements	3 to 46		

In terms of our report of even date
For Sharp & Tannan Associates

Chartered Accountants
Firm's Registration No. 109983W

Parthiv S. Desai
Partner
Membership No.: 042624



For and on behalf of the Board of Directors

M.C. TAHLIYANI
Managing Director
DIN : 01423084

JAI L. MAYANI
Director
DIN : 05260191

VIKRAM V. NAGAR
Chief Financial Officer

RUPA KHANNA
Company Secretary
Membership No. : A33322



Date: May 06, 2024
Place: Mumbai

Date: May 06, 2024
Place: Mumbai

FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31, 2024

	₹ In Lakhs For the year ended March 31, 2024	₹ In Lakhs For the year ended March 31, 2023
Cash flows from operating activities		
Profit before tax	3,983.03	(1.18)
Adjustments for -		
Depreciation, amortisation and impairment expense	1,144.59	-
Interest income earned on financial assets that are not designated as at fair value through profit or loss:		
i) Bank deposits	(7.81)	-
Finance costs	115.86	-
(Gain)/loss on disposal of property, plant and equipment	(3.56)	-
Credit balances / excess provision written back	(15.36)	-
Provision for doubtful loans and advances	(0.57)	-
Trade receivables written off	(39.35)	-
Net unrealised exchange Gain	(31.27)	-
	<u>1,162.53</u>	<u>-</u>
Operating profit before working capital changes	5,145.56	(1.18)
Changes in working capital:		
Increase in trade and other receivables (₹ (2,236.80) Lakhs taken over due to scheme of arrangement (Ref. Note 38)	(4,093.67)	(0.07)
(Increase)/Decrease in inventories (₹ (3,115.25) Lakhs taken over due to scheme of arrangement (Ref. Note 38)	(3,846.87)	-
(Increase)/Decrease in other assets	(364.87)	-
Increase/(Decrease) in trade and other payables (₹ (1,833.20) Lakhs taken over due to scheme of arrangement (Ref. Note 38)	2,179.79	0.50
Increase/ (Decrease) in provisions	686.04	-
Increase/(Decrease) in other liabilities	862.61	0.75
	<u>(4,596.97)</u>	<u>1.18</u>
Cash generated from operations	548.59	-
Income taxes paid/ refunds received (net)	397.07	-
(a) Net cash flow generated from operating activities	945.66	-
Cash flows from investing activities:		
Payments for property, plant and equipment (including investment properties, intangible assets and advances) (₹ (8,731.38) Lakhs taken over due to scheme of arrangement (Ref. Note 38)	(9,726.46)	-
Proceeds from disposal of property, plant and equipment (including investment properties and intangible assets)	3.76	-
Other Loans & Advances	(2.69)	-
Interest received	7.81	-
(b) Net cash flow generated from/(used in) investing activities	(9,717.58)	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
STATEMENT OF CASH FLOWS FOR THE YEAR ENDED MARCH 31, 2024

	₹ in Lakhs For the year ended March 31, 2024	₹ in Lakhs For the year ended March 31, 2023
Cash flows from financing activities:		
Proceeds from long-term borrowings	1,256.20	-
Repayment of long-term borrowings	(713.80)	-
Finance costs paid	47.36	-
Proceeds from Equity issue of scheme of demerger (₹ 10,794.10 Lakhs taken over due to scheme of arrangement (Ref. Note 38))	9,788.48	-
Payment of Lease Liabilities	(35.69)	5.00
(c) Net cash flow generated from/(used in) financing activities	10,362.55	5.00
(d) Net increase in cash and cash equivalents (a + b + c)	1,590.63	5.00
(e) Cash and cash equivalents as at the commencement of the year	5.00	5.00
(f) Cash and cash equivalents as at the end of the year (d + e)	1,595.63	5.00
Cash and cash equivalents as per above comprise of the following		
Balances with bank	March 31, 2024	March 31, 2023
- In current accounts	1,595.63	5.00
Balances as per statement of cash flows	1,595.63	5.00

Notes:

- The above Cash Flow Statement has been prepared under the "Indirect Method" setout in Indian Accounting Standard - 7 on Statement of Cash Flows.
- The cash flow statement shown above has been adjusted to reflect the impact of the Scheme of Arrangement (Refer Note 38). This adjustment ensures that the net cash flow arising from the operating, investing, and financing activities is accurately accounted for.

The accompanying notes form an integral part of the financial statements

3 to 46

In terms of our report of even date
For Sharp & Tannan Associates

Chartered Accountants
Firm's Registration No.: 109983W

Parthiv S. Desai
Partner
Membership No.: 042624



Date: May 06, 2024
Place: Mumbai

For and on behalf of the Board of Directors

M.C. TAHLIYANI
Managing Director
DIN : 01423084

JAI L. MAVANI
Director
DIN : 05260191

VIKRAM V. NAGAR
Chief Financial Officer

RUPA KHANNA
Company Secretary
Membership No.: A33322

Date: May 06, 2024
Place: Mumbai



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED MARCH 31, 2024

a. Equity share capital

March 31, 2024

Particulars	₹ in Lakhs
Balance as at the beginning of the year	5.00
Cancellation of Shares as per composite scheme of arrangement (Ref. Note 38)	(5.00)
Paid up share Capital as per composite scheme of arrangement, subject to allotment of shares (Ref. Note 38)	5,159.45
Balance as at end of the period	5,159.45

b. Other equity

₹ in Lakhs

Particulars	Reserves and surplus		Other Comprehensive Income	Total
	Capital Reserves on Demerger	Retained earnings		
Balance as at the beginning of the year	-	(1.18)	-	(1.18)
Balance as at the beginning of the year	(3,864.58)	9,744.35	(5.67)	5,874.10
Deferred Tax liability (Ref Note 38)	-	(234.44)	-	(234.44)
Profit / (loss) for the year	-	2,971.11	-	2,971.11
Other comprehensive income / (loss) for the year, net of income tax	-	-	6.29	6.29
Total comprehensive income / (loss) for the year	-	2,971.11	6.29	2,977.40
Balance as at end of the year	(3,864.58)	12,479.84	0.62	8,615.88

Material Accounting Policies

1 & 2

The accompanying notes form an integral part of the financial statements

3 to 46

In terms of our report of even date

For Sharp & Tannan Associates

Chartered Accountants
Firm's Registration No.: 102983W

Partiv S. Desai
Partner
Membership No.: 042624



For and on behalf of the Board of Directors

M.C. TAHILYANI
Managing Director
DIN : 01423084

JAI L. MAVANI
Director
DIN : 05260191

VIKRAM V. NAGAR
Chief Financial Officer

RUPA KHANNA
Company Secretary
Membership No : A33322

M.C. Tahilyani
Jai L. MAVANI
Vikram V. Nagar
Rupa Khanna

Date: May 06, 2024
Place: Mumbai

Date: May 06, 2024
Place: Mumbai



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

1. GENERAL INFORMATION

Forbes Precision Tools And Machine Parts Limited was incorporated on August 30, 2022 in India having registered office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai-400001. Its parent company is Shapoorji Pallonji & Company Private Limited. The Company is mainly engaged in the business of manufacturing, trading & servicing of engineering and related products and Machine & Machine parts.

2. MATERIAL ACCOUNTING POLICIES

i) Statement of Compliance with Ind AS

The financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under Section 133 of Companies Act, 2013 ('the Act') read together with Companies (Indian Accounting Standards) Rules, 2015 and other relevant provisions of the Act.

ii) Basis of Preparation and Presentation

The financial statements have been prepared on the historical cost basis except for the following:

- Certain financial assets and liabilities (including derivative instruments) is measured at fair value;
- defined benefit plans - plan asset measured at fair value

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

For financial reporting purposes, fair value measurements are categorised into Level 1, 2, or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013. Based on the nature of products/activities of the Company and the normal time between acquisition of assets for processing and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle as 12 months for engineering business for the purpose of classification of its assets and liabilities as current and non current.

These financial statements are presented in Indian Rupees which is the Company's functional currency. All amounts are rounded off to the nearest lakhs (including two decimals), unless otherwise stated. The accounting policies adopted in the preparation of the financial statements are consistent with those of the previous year.

During the year, the Company engaged in a Scheme of Arrangement known as the "Scheme" that resulted in the demerger of the Precision Tools business of Forbes & Company Limited (the "Demerged Company") into a Forbes Precision Tools and Machine Parts Limited (the "Resulting Company"). This demerger was approved by the National Company Law Tribunal (NCLT), Mumbai Bench on 9th February 2024, and the certified copy of the order was received on 20th February 2024. The effective date of the merger is 1st March 2024.

iii) Property, Plant and Equipment

Property, Plant and Equipment are stated at cost of acquisition, less accumulated depreciation and accumulated impairment losses, if any. The cost comprises purchase price (excluding refundable taxes), borrowing costs if capitalization criteria are met and includes directly attributable cost of bringing the asset to its working condition for the intended use. Any trade discounts and rebates are deducted in arriving at the purchase price. Freehold land is not depreciated.

Subsequent expenditures related to an item of property, plant and equipment are added to its carrying value only when it is probable that the future economic benefits from the asset will flow to the Company and cost can be reliably measured. All other repairs and maintenance are charged to the Statement of Profit and Loss during the reporting period in which they are incurred.

Losses arising from the retirement of, and gains or losses arising from disposal of property, plant and equipment are recognised in the Statement of Profit and Loss.

Depreciation on property, plant and equipment has been provided on straight line method as per the useful lives estimated by management. The life of the assets has been assessed based on technical evaluation which are higher than those specified by Schedule II to the Act, taking into account the nature of the assets, the estimated usage of the assets, the operating conditions of the assets, past history of replacement, anticipated technological changes, etc.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Gains and losses on disposals are determined by comparing proceeds on sale with carrying amount. These are included in Statement of Profit and Loss within other gains / losses.

The estimated useful lives of the property, plant and equipment are as under:

Sr. No.	Class of assets	Estimated useful life
a	Building - Factory & Office Buildings	30 - 60 years
b	Plant and Equipment	03 - 20 years
c	Furniture and Fixtures	03 - 10 years
d	Vehicles	4 years
e	Office equipment, Data processing equipments:-	
	- Owned	Office equipments 5 years and Data processing equipments 3 to 6 years.
	- Leased	Lower of lease term and useful life as stated above
f	Buildings on leasehold land	Lower of the useful life in the range of 30 - 60 years and the lease term building useful life is based on technical certification
g	Temporary structures (included in building)	5 years
h	Solar Power Plant	25 years

Fixed assets individually costing INR 5,000 and less are depreciated fully in the year of purchase.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

iv) Capital work-in-progress

Projects under which tangible fixed assets are not yet ready for their use are carried at cost, comprising direct cost, related incidental expenses and attributable interest, if any.

v) Intangible Assets

Intangible assets, being computer software, are stated at acquisition cost, net of accumulated amortisation and accumulated impairment losses, if any. The cost comprises acquisition and implementation cost of software for internal use (including software coding, installation, testing and certain data conversion).

Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

Gains or losses arising from the retirement or disposal of an intangible asset are determined as the difference between the disposal proceeds and the carrying amount of the asset and are recognised as income or expense in the Statement of Profit and Loss.

Research costs are charged to the Statement of Profit and Loss as they are incurred.

Cost of software is amortised over a period of 3-5 years being the estimated useful life.

vi) Impairment of Assets

The Company assesses at end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. If such recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount (cash generating unit). The reduction is treated as an impairment loss and is recognised in the Statement of Profit and Loss. If at the Balance Sheet date there is an indication that if a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is reflected at the lower of recoverable amount and the carrying amount that would have been determined had no impairment loss been recognised. Non financial asset other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash generating unit).

vii) Financial Instruments

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the instruments.

Financial assets and financial liabilities are initially measured at fair value except trade receivables which is measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in the Statement of Profit and Loss.

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification:

Debt instruments that meet the following conditions are subsequently measured at amortised cost:

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- the contractual terms of the instrument give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

All other financial assets are subsequently measured at fair value.

Effective interest method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts (including all fees and amounts that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

Income is recognised on an effective interest basis for debt instruments other than those financial assets classified as at FVTPL. Interest income is recognised in the Statement of Profit and Loss and is included in the "Other income" line item.

Financial assets at fair value through profit or loss (FVTPL)

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on remeasurement recognised in the Statement of Profit and Loss. The net gain or loss recognised in the Statement of Profit and Loss incorporates any dividend or interest earned on the financial asset. Dividend on financial assets at FVTPL is recognised when the Company's right to receive the dividends is established, it is probable that the economic benefits associated with the dividend will flow to the entity, the dividend does not represent a recovery of part of cost of the investment and the amount of dividend can be measured reliably.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

Impairment of financial assets

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at amortised cost, loan commitments, trade receivables, financial guarantees not designated as FVTPL and fair value through other comprehensive income and other contractual rights to receive cash or other financial asset.

For trade receivables or any contractual right to receive cash or another financial asset that result from revenue transactions, the Company always measures the loss allowance at an amount equal to lifetime expected credit losses.

Further, for the purpose of measuring lifetime expected credit loss ("ECL") allowance for trade receivables, the Company has used a practical expedient as permitted under Ind AS 109 Financial Instruments. This expected credit loss allowance is computed based on a provision matrix which takes into account historical credit loss experience and adjusted for forward-looking information.

For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If, in a subsequent period, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognising impairment loss allowance based on 12-month ECL.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12-month ECL is a portion of the lifetime ECL which results from default events that are possible within 12 months after the reporting date.

Derecognition of financial assets

A financial asset is derecognised only when

- The contractual rights to the cash flows from the financial asset expire, or
- The Company has transferred the rights to receive cash flows from the financial asset or
- retains the contractual rights to receive the cash flows of the financial asset but assumes a contractual obligation to pay the cash flows to one or more recipients.
- The company has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the company with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition.
- The company is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows.
- The company has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the company is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents (as defined in Ind AS 7 Statement of Cash Flows) during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

Where the entity has transferred an asset, the Company evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised.

Foreign exchange gains and losses

The fair value of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. For foreign currency denominated financial assets measured at amortised cost and FVTPL, the exchange differences are recognised in the Statement of Profit and Loss.

Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by a Company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by a group entity are recognised at the proceeds received, net of direct issue costs.

Financial liabilities

All financial liabilities are subsequently measured at amortised cost using the effective interest method or at FVTPL. Borrowings are initially recognised at fair value, net of transaction costs incurred.

Financial liabilities that are not held-for-trading and are not designated as at FVTPL are measured at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method.

Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. An exchange with a lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. A substantial modification of the terms of an existing financial liability (whether or not attributable to the financial difficulty of the debtor) is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid including any non-cash assets transferred or liabilities assumed, and payable is recognised in the Statement of Profit and Loss.

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount is reported in the Balance Sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Company or the counterparty.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

Financial guarantee contracts

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the original or modified terms of a debt instrument. Financial guarantee contracts are recognised initially as a financial liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognised less cumulative amount amortisation where appropriate.

The fair value of financial guarantees is determined based on the present value of the difference in cash flows between the contractual payments required under the debt instrument and the payments that would be required without the guarantee, or the estimated amount that would be payable to a third party for assuming the obligation.

viii) Inventories

Inventories are valued at the lower of the acquisition / production cost and net realisable value. Costs of inventories are determined on weighted average basis. Raw materials and stores, work in progress, traded and finished goods are stated at the lower of cost and net realisable value. Cost of raw materials, consumables spares and traded goods comprises cost of purchases and other costs incurred in bringing the inventories to their present location and condition. Cost of work-in-progress and finished goods comprises direct materials, direct labour and an appropriate proportion of variable and fixed overhead expenditure, the latter being allocated on the basis of normal operating capacity. Cost of inventories also include all other costs incurred in bringing the inventories to their present location and condition.

ix) Earnings per share

Basic Earnings per share are calculated by dividing the net profit / (loss) after tax for the year attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share adjusts the figures used in the determination of basic earnings per share to take into account

- the after income tax effect of interest and other financing costs associated with dilutive potential equity shares, and
- the weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

x) Employee Benefits

a) Short-term employee benefits

Liabilities for wages and salaries, including non-monetary benefits that are expected to be settled wholly within 12 months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the undiscounted amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the Balance Sheet.

b) Other long-term employee benefits

The liabilities for earned leave are not expected to be settled wholly within 12 months after the end of the period in which the employees render the related service. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in the Statement of Profit and Loss.

The obligations are presented as current liabilities in the Balance Sheet if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

c) Post-employment obligations

The Company operates the following post-employment schemes:

- Defined Contribution plans such as employee state insurance scheme.
- Defined Benefit plans such as gratuity.

Defined Contribution Plans

The Company's contribution to pension and employee state insurance scheme are considered as defined contribution plans, as the Company does not carry any further obligations apart from the contributions made on a monthly basis and are charged as an expense based on the amount of contribution required to be made.

The Company's liability towards gratuity, which is a defined benefit plan, is determined on the basis of valuations, as at Balance Sheet date, carried out by an independent actuary using Projected Unit Credit Method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligation.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expense in the Statement of Profit and Loss.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the period in which they occur, directly in other comprehensive income. They are included in retained earnings in the Statement of Changes in Equity and in the Balance Sheet.

Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailments are recognised immediately in the Statement of Profit and Loss as past service cost.

The eligible employees of the Company are entitled to receive post-employment benefits in respect of provident fund, in which both the employees and the Company make monthly contributions at a specified percentage as applicable of the employees' eligible salary. The contributions are made to the Employees provident fund department.

- d) A liability for a termination benefit is recognised at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognises any related restructuring costs.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

xi) Provisions and Contingent Liabilities

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Onerous Contracts

Present obligations arising under onerous contracts are recognised and measured as provisions. An onerous contract is considered to exist where the Company has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received from the contract.

Contingent liability is disclosed for (i) Possible obligations that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company or (ii) Present obligations arising from past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made, unless the possibility of outflows of resources embodying economic benefits are remote.

xii) Revenue recognition

Revenue towards satisfaction of a performance obligation is measured at the amount of transaction price (net of variable consideration) allocated to that performance obligation.

The Company applies the five-step approach for recognition of revenue:-

- Identification of contract(s) with customers;
- Identification of the separate performance obligations in the contract;
- Determination of transaction price;
- Allocation of transaction price to the separate performance obligations; and
- Recognition of revenue when (or as) each performance obligation is satisfied.

1. Sale of goods:

Further recognition is done when the amount of revenue can be measured reliably and it is probable that the economic benefits associated with the transaction will flow to the entity.

The transaction price of goods sold and services rendered is net of variable consideration on account of various discounts and schemes offered by the Company as part of the contract.

A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

At contract inception, since for most of the contracts it is expected that the period between the transfer of the promised goods or services to a customer and payment for these goods or services by the customer will be one year or less, practical expedient in IND AS 115 have been applied and accordingly:

- a) The Company does not adjust the promised amount of consideration for the effects of a significant financing component
- b) The Company recognises the incremental costs of obtaining a contract as an expense when incurred
- c) No information on remaining performance obligations as of the year end that have an expected original term of one year or less was reported.

A contract liability is the Company's obligation to transfer goods or services to a customer, for which the Company has already received consideration from customers.

2. Sale of Services:

Income from other services is recognised as and when the services are performed as per the terms of agreement with the respective parties.

3. Interest and Dividend Income:

Interest income from a financial asset is recognised when it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the amortised cost and at the effective interest rate applicable.

Dividend income from investments is recognised when the shareholder's right to receive payment has been established (provided that it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably).

4. Export Incentives:

Income from export incentives is recognised on accrual basis to the extent the ultimate realisation is reasonably certain.

xiii) Foreign currency transactions and balances

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency viz. Indian Rupee are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Exchange differences on monetary items are recognised in the Statement of Profit and Loss in the period in which they arise.

Non-monetary items that are measured in terms of historical costs in a foreign currency are not retranslated.

xiv) Lease accounting

As a lessee:

From 1 April 2019, leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Contracts may contain both lease and non lease components. The Company allocates the consideration in the contracts to the lease and non-lease components based on their relative standalone prices. However, the Company has elected not to separate lease and non-lease components and instead account for these as a single lease component.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

Assets and liabilities arising from a lease are initially measured on present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in substance fixed payments), less any lease incentive receivable
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- any residual value guarantees provided to the lessor by the lessee, a party related to the lessee or a third party unrelated to the lessor that is financially capable of discharging the obligations under the guarantee;
- the exercise price of the purchase option if the Company is reasonably certain to exercise that option, and
- payments of penalties for terminating the lease, if the lease term reflects the Company exercising that option

Lease payments to be made under reasonably certain extension option are also included. In the measurement of the liability, the lease payments are discounted using the lessee's incremental borrowing rate, being the rate that lessee would have to pay to borrow the fund necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar term, security and conditions.

To determine the incremental borrowing rate, the Company:

- where possible, uses recent third party financing received by the lessee as a starting point, adjusted to reflect changes in financing condition since third party financing received
- use a build-up approach that starts with the risk-free interest rate adjusted for credit risk for leases, which does not have recent third party financing, and
- make adjustments specific to the leases, e.g. term, security, currency etc.

The Company is exposed to potential future increases in variable lease payments based on index or rate, which are not included in the lease liability until they take effect. When adjustment to lease payments based on index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

Lease payments are allocated between principal and finance cost. Finance cost is charged to Statement of Profit and Loss over the lease period so as to produce a constant periodical rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight line basis. If the Company is reasonably certain to exercise purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Payments associated with short-term leases of equipment and all leases of low-value assets are recognized on a straight-line basis in the Statement of Profit and Loss. Short term leases are leases with a lease term of 12 months or less.

As a lessor:

Lease income from operating leases where the Company is a lessor is recognized in income on a straight line basis over the lease term. Initial direct costs incurred in obtaining an operating leases are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the balance sheet based on their nature. The Company did not need to make any adjustments to the accounting for assets held as a lessor as a result of adopting the new leasing standard.

xv) Taxes on Income

Tax expense for the year, comprising current tax and deferred tax, are included in the determination of the net profit or loss for the year. Current tax is measured at the amount expected to be paid to the tax authorities in accordance with the Income Tax Act, 1961.

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. In addition, deferred tax liabilities are not recognised if the temporary difference arises from the initial recognition of goodwill.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax are recognised in the Statement of Profit and Loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. The Company recognises Minimum Alternate Tax credit under the Income Tax Act, 1961 as an asset only when and to the extent there is convincing evidence that the Company will be liable to pay normal income tax during the specified period.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

xvi) Segment Reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenue and incur expenses, whose operating results are regularly reviewed by the Company's chief operating decision maker in order to effectively allocate the Company's resources and assess performance.

xvii) Non-current assets held for sale

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the asset (or disposal group) is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such asset (or disposal group) and its sale is highly probable. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are not depreciated or amortised while they are classified as held for sale.

xviii) Cash and cash equivalents

For the purpose of presentation in the Statement of Cash Flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities in the Balance Sheet.

xix) Dividend

Provision is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the entity, on or before the end of the reporting period but not distributed at the end of the reporting period.

xx) Exceptional Items

Exceptional items reflect items which individually or, if of a similar type, in aggregate, are disclosed separately due to their size or incidence in order to obtain clear and consistent presentation of the Company's performance.

28. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the material accounting policies, which are described in note 2, the directors of the Company are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

(a) Critical judgements in applying accounting policies

The following are the critical judgements, apart from those involving estimations that the directors have made in the process of applying the accounting policies and that have the most significant effect on the amounts recognised in the financial statements.

(b) Key sources of estimation uncertainty

i) Contingent Liabilities and Provisions :

Contingent Liabilities and Provisions are liabilities of uncertain timing or amount and therefore in making a reliable estimate of the quantum and timing of liabilities judgement is applied and re-evaluated at each reporting date.

ii) Useful life and residual value of Property, Plant and Equipment :

As described in Note 2A(iii), the Company reviews the estimated useful life and residual values of property, plant and equipment at each reporting date.

iii) Impairment

Determining whether an asset is impaired requires an estimation of fair value/value in use. Such valuation requires the Company to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value. Where the actual future cash flows are less than expected, a material impairment loss may arise.

iv) Impairment of Trade Receivables

The impairment provisions for trade receivables are based on assumptions about risk of default and expected loss rates. The Company uses judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

v) Impairment/ Obsolescence of Inventory

The impairment/obsolescence provisions of inventory are based on assumptions of its consumption/usage in near future whether short term or long term. The Company uses its judgement in making these assumptions and selecting the inputs based on the past historical data, present and future market condition estimated at the end of each reporting period.

vi) Defined Benefit Obligations

The present value of defined benefit obligations is determined by discounting the estimated future cash outflows by reference to market yields at the end of reporting period that have terms approximating to the terms of the related obligation.

vii) Deferred Tax Asset

Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. The Company recognises Minimum Alternate Tax credit under the Income Tax Act, 1961 as an asset only when and to the extent there is convincing evidence that the Company will be liable to pay normal income tax during the specified period.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024
3 Property, plant and equipment

₹ in Lakhs

Particulars	Building and structures	Vehicles	Data processing equipments (Computer Hardware)	Office equipments	Furniture and fixtures	Plant and machinery	Data processing equipments Lease	Total
Cost or Deemed cost								
Balance at April 1, 2023	-	-	-	-	-	-	-	-
Transferred through Scheme of arrangement (Ref. Note 38)	4,439.14	41.96	220.84	64.39	108.68	16,497.40	5.48	21,377.89
Additions	29.17	54.17	8.32	8.89	20.57	1,095.32	-	1,216.45
Disposal	-	-	0.99	3.97	-	18.87	-	23.83
Balance at 31st Mar, 2024	4,468.31	96.13	228.17	69.31	129.25	17,573.85	5.48	22,570.51
Accumulated depreciation and impairment								
Balance at April 1, 2023	-	-	-	-	-	-	-	-
Transferred through Scheme of arrangement (Ref. Note 38)	885.68	38.91	85.89	60.40	81.64	11,823.23	5.48	12,981.24
Eliminated on disposals of assets	-	-	0.80	3.97	-	18.87	-	23.64
Depreciation expense	153.76	3.45	37.38	2.75	5.92	881.92	-	1,085.19
Balance at 31st Mar, 2024	1,039.44	42.37	122.47	59.18	87.56	12,686.28	5.48	14,042.79
Carrying Amount								
Balance at April 1, 2023	-	-	-	-	-	-	-	-
Balance at 31st Mar, 2024	3,428.87	53.77	105.70	10.13	41.68	4,887.57	-	8,527.72

3A Capital work-in-progress

Particulars	As at 1st Apr. 2023	Additions	Amounts Capitalised	As at March 31, 2024
Capital work in progress (Ref. Note 38)	-	1,305.34	836.68	468.67

Previous year

Particulars	As at 1st Apr. 2022	Additions	Amounts Capitalised	As at March 31, 2023
Capital work in progress (Ref. Note 38)	-	-	-	-

Capital work-in-progress- Ageing

Current Year	Less than one year	1-2 Years	2-3 Years	More than 3 years	Total
Projects in progress	468.67	-	-	-	468.67
Projects temporarily suspended	-	-	-	-	-

Previous year

	Less than one year	1-2 Years	2-3 Years	More than 3 years	Total
Projects in progress	-	-	-	-	-
Projects temporarily suspended	-	-	-	-	-

There are no material Capital work-in-progress whose completion is overdue or has exceeded its cost compared to its original plan significantly.



3B Other Intangible assets (Own, unless otherwise stated)

	₹ in Lakhs	
	As at March 31, 2024	As at March 31, 2023
	Software/ Licences acquired	Software/ Licences acquired
Cost or Deemed cost	-	-
Balance at April 1, 2023	-	-
Transferred through Scheme of arrangement (Ref. Note 38)	307.39	-
Disposal	20.82	-
Balance at 31st Mar, 2024	286.57	-
Accumulated depreciation and Impairment		
Balance at April 1, 2023	-	-
Transferred through Scheme of arrangement (Ref. Note 38)	208.90	-
Disposals of assets	20.82	-
Depreciation expense	36.19	-
Balance at 31st Mar, 2024	225.28	-
Carrying Amount		
Balance at April 1, 2023	-	-
Balance at 31st Mar, 2024	61.30	-

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Title deeds of immovable properties not held in the name of company

Description of Property	Gross Carrying Value (₹ in Lakhs)	Whether title deed holder is a promoter, director or their relative or	Period held -Indicate range where appropriate (years)	Reason for not holding in the name of the Company	Relevant line item in the Balance Sheet
Plot B-13, Waluj Industrial Area Waluj, Aurangabad-431 133	9.97	No	Less than 1 Year	The Property is transferred under composite scheme of arrangement. The company applied to superintendent of Stamp for adjudication on 2nd April 2024. The Payment of duty will happen after the confirmation of value.	Property, plant and equipment
Factory Building 1, Factory Building 2, Office Building and Canteen	3,428.87	No	Less than 1 Year	The Property is transferred under composite scheme of arrangement. The company applied to superintendent of Stamp for adjudication on 2nd April 2024. The Payment of duty will happen after the confirmation of value.	Property, plant and equipment



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

4. Trade receivables

	₹ in Lakhs
Particulars	As at March 31, 2024
	2023

Trade receivables	
a) Trade receivables from contract with customers	2,821.49
Trade receivables from contract with customers – Related parties (Ref Note 29)	330.38
b) Less: Loss allowance	207.47
Total	2,944.40
Break-up of security details	
a) Secured, considered good	72.03
b) Unsecured, considered good	2,872.37
c) Doubtful	207.47
Total	3,151.86
Less: Allowance for doubtful debts (expected credit loss allowance)	207.47
Total	2,944.40

For Trade receivable from Related parties (Refer Note 29)

The average credit period on sales is approximately 56 days.

There were two customers namely TTI Partners SPC acting for whose outstanding is ₹ 798.77 Lakhs & Universal Machinery Stores whose outstanding was ₹ 202.71 Lakhs (both other than intercompany balances) who represent more than 5% of the total balance of trade receivables.

Ageing of Trade receivables for the year ended 31st March, 2024

	Not due	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed trade receivables							
Considered good	2,531.46	412.94					2,944.40
which have significant increase in credit risk							
credit impaired		12.14	8.80	5.78	9.49	171.26	207.47
Disputed trade receivables							
Considered good	-	-	-	-	-	-	-
which have significant increase in credit risk	-	-	-	-	-	-	-
credit impaired	2,531.46	425.08	8.80	5.78	9.49	171.26	3,151.86
Total	2,531.46	425.08	8.80	5.78	9.49	171.26	2,944.40
Less: Allowance for losses							
Total	2,531.46	425.08	8.80	5.78	9.49	171.26	2,944.40



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

Aging of Trade receivables for the year ended 31st March, 2023

	Not due	Outstanding for the following periods from the due date				Total
		Less than 6 months	6 months - 1 year	1-2 years	More than 3 years	
Undisputed trade receivables	-	-	-	-	-	-
Considered good which have significant increase in credit risk	-	-	-	-	-	-
Disputed trade receivables	-	-	-	-	-	-
Considered good which have significant increase in credit risk	-	-	-	-	-	-
credit impaired	-	-	-	-	-	-
Total	-	-	-	-	-	-
Less: Allowance for losses	-	-	-	-	-	-
Total	-	-	-	-	-	-

₹ in Lakhs

Movement in the allowance for doubtful debts

Particulars	₹ in Lakhs	
	2024	2023
Opening balance	21.60	-
Impairment losses recognised on receivables	-	-
Impairment losses included as part of composite scheme of arrangement	258.80	-
Amounts written off during the year as uncollectible	(39.58)	-
Amounts recovered during the year	(33.35)	-
Balance at end of the year	207.47	-

₹ in Lakhs

As at March 31, As at March 31,

In determining the recoverability of a trade receivable, the Company considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the end of the reporting period. The concentration of credit risk is limited due to the fact that the customer base is large and unrelated.

Trade receivables of ₹ 207.47 Lakhs were impaired. The individually impaired receivables were mainly due to unexpected difficult economic situations.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

5. Loans -Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Loans and advances to employees		
- Unsecured, considered good	3.26	-
Total	3.26	-

Note: The above loans are carried at amortised cost.

6. Other financial assets

6A. Non current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Security deposits		
- Unsecured, considered good	94.53	-
Total	94.53	-

6B. Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Contractually reimbursable expenses from related parties (Ref Note 29)		
- Receivable due to Scheme of Arrangement (Ref Note 39)	881.93	-
- Receivable from Related Parties	255.90	-
Total	1,137.83	-

7. Inventories

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Inventories (lower of cost and net realisable value)		
Raw materials including packing materials	920.50	-
Work-in-progress	1,130.71	-
Finished goods	1,608.90	-
Stores and spares	186.76	-
Total	3,846.87	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

8. Cash and cash equivalents

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Balances with Banks		
a) In Current Accounts	1,595.63	5.00
Total	1,595.63	5.00

9. Other assets

9A. Non Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Capital Advances	278.56	-
b) Prepaid expenses	18.13	-
c) Balances with Government authorities		
- Doubtful	39.29	-
Less : Allowance for doubtful balances	39.29	-
Total	296.69	-

9B. Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Advances for supply of goods and services		
- Unsecured, considered good	24.59	-
- Doubtful	0.33	-
Less : Allowance for doubtful advances	0.33	-
	24.59	-
b) Prepaid expenses	40.05	-
c) Balances with government authorities	0.00	0.07
d) Export incentives receivables	23.60	-
Total	88.25	0.07



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

10. Equity share capital

	₹ in Lakhs	
	As at March 31, 2024	As at March 31, 2023
Particulars		
Authorised Share capital :		
7,80,00,000 fully paid equity shares of ₹ 10 each (Previous year 50,000 fully shares of ₹ 10 each)	7,800.00	5.00
	7,800.00	5.00
Issued, subscribed and paid-up share capital:		
5,15,94,464 fully paid equity shares of ₹ 10 each (Previous year 50,000 fully shares of ₹ 10 each) (Ref. Note 38)	5,159.45	5.00
	5,159.45	5.00

Rights, preferences and restrictions attached to equity shares

The Company has only one class of shares referred to as equity shares having a par value of ₹ 10 per share. Each holder of equity shares is entitled to one vote per share. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

1 Details of shares held by the holding company, its subsidiaries and associates

	Fully paid Equity shares	
	As at March 31, 2024	As at March 31, 2023
Particulars		
Shapoorji Pallonji and Company Private Limited, the holding company	3,74,37,172	-
Forbes & Company Limited (Cancellation of Shares as per composite scheme of arrangement (Ref. Note 38))	-	50,000
Total	3,74,37,172	50,000

2 Details of shares held by each shareholder holding more than 5% shares

	Fully paid Equity shares			
	As at March 31, 2024	As at March 31, 2024	As at March 31, 2023	As at March 31, 2023
Particulars	Number of shares held	% holding in the class of shares	Number of shares held	% holding in the class of shares
Fully paid equity shares				
Shapoorji Pallonji and Company Private Limited	3,74,37,172	72.56	-	-
India Discovery Fund Limited	45,93,020	8.90	-	-
Forbes & Company Limited	-	-	50,000	100.00
Total	4,20,30,192	81.46	50,000	100.00

3 Details of shareholding of promoters

	Fully paid Equity shares	
	As at March 31, 2024	As at March 31, 2023
Name of the promoter	Number of shares held	Number of shares held
Shapoorji Pallonji and Company Private Limited	3,74,37,172	-
Forbes Campbell Finance Limited	6,65,592	-
Forbes & Company Limited	-	50,000
Total	3,81,02,764	50,000



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

11. Other equity

Particulars	₹ in Lakhs	
	As at March 31, 2024	As at March 31, 2023
a) Reserves and surplus		
Retained earnings		
Balance at beginning of the year	(1.18)	-
Impact due to Scheme of arrangement (Ref. Note 38)	9,744.35	(1.18)
Deferred Tax liability (Ref Note 38)	(234.44)	-
Profit for the year	2,971.11	-
Balance at end of the year	12,479.84	(1.18)
Capital Reserve on account of the Scheme of arrangement		
Balance at beginning of the year	-	-
Impact due to Scheme of arrangement (Ref. Note 38)	(3,864.58)	-
Balance at end of the year	(3,864.58)	-
b) Other Comprehensive Income		
Balance at beginning of year	-	-
Impact due to Scheme of arrangement (Ref. Note 38)	(5.67)	-
Add: Current year OCI	6.29	-
Balance at end of the year	0.62	-
Total	8,615.88	(1.18)

Description of Reserves

Retained earnings - Retained earnings represent the amount of accumulated earnings of the Company

Other Comprehensive Income: Other comprehensive income comprises items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by other Ind AS.

Capital Reserve on account of the Scheme of arrangement: The difference between Paid up share capital of FCL and Paid up share capital issued by FPTL in terms of scheme of arrangement is considered as negative capital reserve.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024
12. Non-current Borrowings

Particulars	₹ in Lakhs		
	Non-current As at March 31, 2024	Current maturities	
		As at March 31, 2024	As at March 31, 2023
(a) Term loans			
From banks			
i) DCB Bank Limited Term Loan - under the Central Government launched Emergency Credit Line Guarantee Scheme 2.0 (ECLGS 2.0) - Secured by second charge on leasehold land and factory building together with Plant & [Repayable in 48 equated monthly installments, after moratorium of 12 months. First installment is due on 4th April, 2022 and last installment is due on 4th March, 2026. Rate of interest is MCLR + 0.81% spread with a cap of 9.25% p.a. during entire tenure of the loan Pursuant to Scheme of arrangement the said Term Loan is transferred to the company. (Ref Note 38)	294.15	248.25	-
Less: Amount disclosed under "Current Borrowings"	-	(248.25)	-
Total	294.15	-	-

13. Other financial liabilities

13A. Non Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Security deposits	95.15	-
Total	95.15	-

13B. Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Interest accrued but not due on borrowings	3.56	-
b) Others :-		
- Payables on purchase of fixed assets	452.79	-
- Security deposits	28.49	-
- Other Payables to Related parties (Ref Note 29)	53.38	-
Total	538.22	-

14. Provisions

14A. Non current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Employee benefits		
Compensated absences	122.52	-
Gratuity (Ref Note 30)	435.04	-
Total	557.56	-

14B. Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Employee benefits		
Compensated absences	56.28	-
Gratuity (Ref Note 30)	72.95	-
Other Provisions	-	0.75
Total	129.23	0.75



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

15. Deferred tax balances

The following is the analysis of deferred tax assets/(liabilities) presented in the Balance Sheet:

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Deferred tax liabilities	236.77	-
Net	236.77	-

Particulars	Opening balance	Transferred pursuant to Scheme of Arrangement (Ref Note 38)	Recognised in Statement of Profit and Loss	Recognised in Other Comprehensive Income	Closing balance
Deferred tax (liabilities)/assets in relation to:					
a) Property, plant and equipment	-	(378.89)	10.15	-	(368.75)
b) Right of Use Assets	-	(9.33)	(77.02)	-	(86.35)
c) Lease Liability	-	7.75	78.13	-	85.89
d) Allowances for doubtful debts and advances	-	75.25	(13.06)	-	62.19
e) Defined benefit obligation	-	-	-	-	-
f) Provisions and liabilities to be allowed on payment basis	-	70.78	(17.07)	(2.12)	51.59
g) Stamp duty/ROC fees	-	-	15.16	-	15.16
h) Disallowance u/s 40(a)(ia)	-	-	3.50	-	3.50
Total	-	(234.44)	(0.21)	(2.12)	(236.77)

16. Other liabilities

Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
a) Advances from customers	30.42	-
b) Statutory remittances	133.56	-
c) Others		
- Payable to Employees	696.35	-
- Others	2.29	-
Total	862.61	-

17. Borrowings

Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Current maturities of long term borrowings	248.25	-
Total	248.25	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

18. Trade payables

Current

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Micro and small enterprises	782.35	0.43
Others (Includes due to related parties as per Note 29)	1,387.07	0.07
Total	2,169.43	0.50

₹ in Lakhs

Trade Payable as on 1st March 2024

Particulars	Not due	Outstanding for the following periods from the due date				Total
		6 months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed trade payables						782.35
Micro enterprises and small enterprises	782.35	-	-	-	-	782.35
Others	1,329.13	57.94	-	-	-	1,387.07
Disputed trade receivables						-
Micro enterprises and small enterprises	-	-	-	-	-	-
Others	-	-	-	-	-	-
Total	2,111.48	57.94	-	-	-	2,169.43

Trade Payable as on 31st March 2023

Particulars	Not due	Outstanding for the following periods from the due date				Total
		6 months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed trade payables						0.43
Micro enterprises and small enterprises	0.43	-	-	-	-	0.43
Others	0.07	-	-	-	-	0.07
Disputed trade receivables						-
Micro enterprises and small enterprises	-	-	-	-	-	-
Others	-	-	-	-	-	-
Total	0.50	-	-	-	-	0.50

The information as required under Micro, Small and Medium Enterprises Development Act, 2006, has been determined to the extent such parties have been identified on the basis of information available with the Company and relied upon by Auditors, is as follows:-

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Principal amount due to suppliers registered under the MSMED Act and remaining unpaid as at year end	675.70	0.43
Interest paid, under Section 16 of MSMED Act, to suppliers registered under the MSMED Act, beyond the appointed day during the year	(87.69)	-
Interest due and payable towards suppliers registered under MSMED Act, for payments already made	25.31	-
Further interest remaining due and payable for earlier years	169.03	-

19. Income tax assets and liabilities

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Tax assets		
Taxes paid (including tax deducted at source / self assessment tax)	851.41	-
	<u>851.41</u>	
Tax liabilities		
Income tax payable (net)	1,011.71	-
	<u>1,011.71</u>	
Net Asset	<u>(160.30)</u>	
Movement during the year		
Balance at the beginning of the year	-	-
Add: Taxes paid (including tax deducted at source / self assessment tax)	851.41	-
Less: Current tax payable for the year	(1,011.71)	-
Balance at the year end	<u>(160.30)</u>	



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

20. Revenue from operations

The following is an analysis of the Company's revenue for the year from continuing operations.

		₹ in Lakhs	
		For the year ended March 31, 2024	For the year ended March 31, 2023
Particulars			
a) Sales			
Sale of products			
i) Finished Goods		22,351.66	-
ii) Traded Good		231.15	-
		22,582.81	-
Sale of services			
i) Service income		78.66	-
		78.66	-
b) Other operating revenues			
i) Export incentives		105.75	-
ii) Others (mainly includes scrap sales)		82.45	-
		188.20	-
Total (a+b)		22,849.66	-

21. Other Income

		₹ in Lakhs	
		For the year ended March 31, 2024	For the year ended March 31, 2023
Particulars			
a) Interest Income			
Interest income earned on financial assets that are not designated as at fair value through profit or loss:			
i) Bank deposits		7.81	-
ii) Customers and others		9.16	-
Total (a)		16.97	-
b) Other Non-Operating Income			
i) Credit balances / excess provision written back		15.36	-
ii) Gain on termination of lease (Ref Note 31)		3.78	-
iii) Miscellaneous income (mainly includes recoveries from group companies)		66.28	-
Total (b)		85.41	-
c) Other gains and losses			
i) Gain on disposal of property, plant and equipment		3.56	-
Total (c)		3.56	-
Total (a + b + c)		105.94	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

22. A. Cost of materials consumed (raw and packing materials)

₹ in Lakhs

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Opening stock of raw materials including packing materials		
Raw materials including packing materials through scheme of arrangement (Ref. Note 38)	470.57	-
Purchases	8,499.98	-
	8,970.55	-
Less: Closing stock of raw materials including packing materials	920.50	-
	8,050.05	-

Consumption is arrived at on the basis of Acquisition through scheme of arrangement plus purchases less closing stock and includes the adjustments of excess and shortage as ascertained on physical count. (Ref. Note 38)

B. Changes in inventories of finished goods, work-in-progress and stock-in-trade.

a) Inventories at the end of the year:

- i) Finished goods
- ii) Work-in-progress

1,608.90	-
1,130.71	-
2,739.61	-

b) Inventories Acquisition through scheme of arrangement (Ref. Note 38)

- i) Finished goods
- ii) Work-in-progress
- iii) Stock-in-trade

1,137.19	-
1,028.67	-
353.70	-
2,519.57	-
(220.04)	-

Net increase (b)-(a)

23. Employee benefits expense

₹ in Lakhs

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
i) Salaries and Wages	3,594.49	-
ii) Contribution to provident and other funds (Refer Note 30)	241.38	-
iii) Staff Welfare Expenses	270.64	-
Total	4,106.51	-

24. Finance costs

₹ in Lakhs

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
(a) Interest costs :-		
i) Interest on bank overdrafts and loans	76.93	-
ii) Interest on loans from related parties	1.08	-
ii) Interest expenses on lease liabilities	10.63	-
iii) Delayed payment of taxes	0.59	-
iv) Other interest expense	25.31	-
	114.55	-
(b) Other borrowing costs	1.32	-
Total	115.86	-

25. Depreciation and amortisation expense

₹ in Lakhs

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
i) Depreciation on property, plant and equipment (Refer Note 3)	1,085.19	-
ii) Depreciation Right-of-use assets (Ref Note 31)	23.21	-
iii) Amortisation of Intangible assets (Refer Note 3)	36.19	-
Total	1,144.59	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

26. Other expenses

Particulars	₹ In Lakhs	
	For the year ended March 31, 2024	For the year ended March 31, 2023
Consumption of stores and spare parts	810.36	-
Processing charges	1,418.33	-
Power and fuel	555.94	-
Service charges	567.58	-
Rent and hire charges	2.66	-
Repairs and maintenance to :		
i) Buildings	45.35	-
ii) Plant and machinery	371.82	-
iii) Others	226.76	-
	<u>643.93</u>	-
Insurance	44.27	-
Rates and taxes	46.68	0.03
Selling expenses, commission and brokerage	35.02	-
Freight and outward charges	352.70	-
Advertisement and sales promotion	195.49	-
Printing and Stationery	39.59	-
Communication	32.77	-
Legal and professional charges	327.05	0.40
Travelling and conveyance	240.50	-
Trade receivables written off	39.35	-
Less: Provision held	<u>(39.35)</u>	-
	-	-
Provision for doubtful loans and advances	(0.57)	-
Corporate social responsibility expenditure (Refer Note 1 below)	-	-
Net loss on Foreign currency transactions and translations	6.79	-
Security Expenses	59.41	-
Miscellaneous expenses	249.36	-
Auditors remuneration		
To Statutory Auditors		
i) For audit	10.00	0.75
ii) For other services & Certifications	5.00	-
	<u>15.00</u>	0.75
To Cost auditors	4.01	-
	<u>19.01</u>	0.75
Total	<u>5,646.88</u>	<u>1.18</u>

Note 1: Details of Corporate social responsibility expenditure:

As per Section 135 of the Act, a Company does not meet the applicability threshold, thus Corporate social responsibility expenditure is not applicable for the FY ended 31st March 2024 & FY ended 31st March 2023.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

27. Income taxes

Income tax recognised in profit or loss in Lakhs

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
For Continuing operations		
Current tax		
In respect of the current year	1,011.71	-
	<u>1,011.71</u>	<u>-</u>
Deferred tax		
In respect of the current year	2.33	-
Deferred Tax	<u>2.33</u>	<u>-</u>
Total income tax expense recognised in the current year relating to continuing Operations	<u>1,014.04</u>	<u>-</u>

The income tax expense for the year can be reconciled to the accounting profit as follows:

Profit before tax from total operations	3,983.03	(1.18)
Income tax expense calculated at 25.168% (2022-23: 25.168%)	1,002.45	-
Effect of expense that is non deductible in determining taxable profit	6.37	-
Effect of tax incentives and concession	2.09	-
Others	1.01	-
Income tax expense recognised in the Statement of Profit and Loss	<u>1,011.92</u>	<u>-</u>
Income tax recognised in other comprehensive income		
Others		
Deferred tax		
Re-measurement of defined benefit obligation	2.12	-
Total income tax expense recognised in other comprehensive income	<u>2.12</u>	<u>-</u>
Deferred Tax		
Deferred tax Expenses	<u>0.21</u>	<u>-</u>

28. The calculation of profit attributable to equity shareholders and weighted average number of equity shares

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit / (loss) for the period attributable to the owners of company in Lakhs	2,971.11	(1.18)
Face value per equity share	10.00	10.00
Weighted average number of equity shares shares for the purpose of basic earning per share (Nos)	2,685,739	50,000
Basic and diluted earnings per equity share	110.63	(2.35)

Basic Earning Per share

The earnings and weighted average number of equity shares used in the calculation of basic earning per share are as follows:

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit / (loss) for the period attributable to the owners of company in Lakhs	2,971.11	(1.18)
Weighted average number of equity shares shares for the purpose of basic earning per share (Nos)	2,685,739	50,000

Note 1: As per the Scheme of Arrangement, FPTL issued and allotted four fully paid up equity shares of INR 10/- each for every one fully paid up equity share of INR 10/- each held by the equity shareholders of the Demerged Company (FCI) as on the Record Date. The issuance and allotment of equity shares took place on 13th March 2024. The total number of issued and allotted equity shares is 5,15,94,464, which has been diluted for a weighted average equity share of 26,85,739. As per IND AS 33, the weighted average of equity shares has been calculated from the acquisition date. Based on the above consideration, the EPS (earnings per share) is calculated to be INR 110.63 per share. However if the appointed date, which is April 01, 2023, is considered as the acquisition date, then the EPS calculated is INR 5.76 per share.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

29. Related Party Disclosures

(a) Name of the Related Parties and Description of Relationship:

<u>Nature of Relationship</u>	<u>Name of Entity (Where there are transactions)</u>
A Holding Company	Shapoorji Pallonji & Company Private Limited
B Fellow Subsidiaries (Where there are transactions)	Forbes & Company Limited Forbes Campbell Finance Ltd. Campbell Properties & Hospitality Services Ltd. Forvol International Services Ltd. Sterling And Wilson Renewable Energy Ltd. Forbes Macsa Pvt Ltd



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

29. Related party disclosures (contd.)

₹ in Lakhs

	A	Parties in A above	B	Forbes & Company Limited	Forbes Campbell Finance Ltd.	Campbell Properties & Hospitality Services Ltd.	B	Forval International Services Ltd.	Parties in B above	Total
Balances										
1 Trade Payables and Capital Creditors	-	-	477.48	0.62	0.06	0.64	478.80			478.80
2 Trade Receivable	-	-	330.38	-	-	-	330.38			330.38
3 Receivable pursuant to the Scheme of arrangement	-	-	881.93	-	-	-	881.93			881.93
Purchases / Services										
4 Fixed Assets/ Goods & Materials	-	-	437.59	-	-	-	437.59			437.59
Expenses										
5 Rent	-	-	9.99	0.69	-	-	10.68			10.68
6 Travelling and conveyance expenses	-	-	-	-	0.05	1.37	1.42			1.42
7 Interest Paid	-	-	1.08	-	-	-	1.08			1.08
Other Receipts / Payments										
8 Other Reimbursements (Receipt)	-	-	1,719.00	-	-	-	1,719.00			1,719.00
9 Other Reimbursements (Payment)	-	-	63.17	-	-	-	63.17			63.17
Finance										
10 ICD taken	-	-	75.00	-	-	-	75.00			75.00
11 ICD Repayment	-	-	75.00	-	-	-	75.00			75.00

Terms and conditions:-

- All outstanding balances are unsecured and are repayable as per terms of credit and settlement occurs in cash.
- All related party transactions entered during the year were in ordinary course of business and on arms length basis.
- The Company has not recorded any impairment of receivables related to amounts owed by related parties except as stated above.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

29. Related party disclosures (contd.)

₹ in Lakhs

	A	Parties in A above	B	Forbes & Company Limited	B	Forbes Campbell Finance Ltd.	B	Campbell Properties & Hospitality Services Ltd.	B	Forvol International Services Ltd.	B	Sterling and Wilson Renewable Energy Ltd.	B	Forbes Macia Pvt Ltd	Parties in B above	Total
Balances																
1 Trade Payables and Capital Creditors	22.98	22.98	-	1.08	2.59	-	-	-	2.90	-	2.60	-	-	-	9.17	31.15
2 Interest accrued on Investment / loan	-	-	0.66	-	-	-	-	-	-	-	-	-	-	-	0.66	0.66
3 Advance for Supply of Goods and Services and Prepaid Expt.	7.66	7.66	-	-	-	-	-	-	-	-	-	-	-	-	-	7.66
4 Receivable pursuant to the Scheme of arrangement	-	-	2,725.58	-	-	-	-	-	-	-	-	-	-	-	2,725.58	2,725.58
5 Deposits/ICD Payable	-	-	75.00	-	-	-	-	-	-	-	-	-	-	-	75.00	75.00
Expenses																
6 Rent	-	-	-	6.60	-	-	-	-	-	-	-	-	-	-	6.60	6.60
7 Traveling and conveyance expenses	-	-	-	-	4.22	-	-	-	55.04	-	-	-	-	-	59.26	59.26
8 Legal and professional charges	84.27	84.27	-	-	-	-	-	-	-	-	-	-	-	-	-	84.27
9 Repairs and Maintenance	115.48	115.48	-	-	-	-	-	-	-	-	4.37	-	-	-	4.37	119.85
10 Selling expenses, commission and brokerage	-	-	-	-	-	-	-	-	91.86	-	-	-	-	-	91.86	91.86
11 Interest Paid	-	-	0.66	-	-	-	-	-	-	-	-	-	-	-	0.66	0.66
Income																
12 Rent and amenities	-	-	-	-	-	-	-	-	-	-	-	-	-	41.35	41.35	41.35
Other Receipts / Payments																
13 Other Reimbursements (receipt)	-	-	-	-	-	-	-	-	-	-	-	-	-	8.91	8.91	8.91
Finance																
14 ICD taken	-	-	75.00	-	-	-	-	-	-	-	-	-	-	-	75.00	75.00

Terms and conditions:-

- All outstanding balances are unsecured and are repayable as per terms of credit and settlement occurs in cash.
- All related party transactions entered during the year were in ordinary course of business and on arms length basis.
- The Company has not recorded any impairment of receivables related to amounts owed by related parties except as stated above.
- The Balances and Transaction shown above are carried forward due to the Composite Scheme of arrangement. (Ref. Note 38)



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

30. Employee Benefits :

Brief description of the Plans:

The Company has various schemes for long term employees' benefits such as Provident Fund, Gratuity, Employees State Insurance Fund (ESIC) and Employees' Pension Scheme and Compensated absences. The Company's defined contribution plans are Employees State Insurance Fund, Provident Fund, and Employees' Pension Scheme (under the provisions of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952). The Company has no further obligation beyond making the contributions to such plans. The Company's defined benefit plans include Gratuity.

Gratuity

The Company provides for gratuity payable to employees in India as per the Payment of Gratuity Act, 1972. Employees who are in continuous service for a period of 5 years are eligible for gratuity. The amount of gratuity payable on retirement/termination is the employees last drawn basic salary per month computed proportionately for 15 days salary multiplied for the number of years of service.

The gratuity plan is a funded plan. The company having a plan to retail gratuity fund separately in future. The Company accounts for gratuity benefits payable in future based on an independent external actuarial valuation carried out at the end of the year using the Projected Unit Credit method.

The Company actively monitors how the duration and the expected yield of the investments are matching the expected cash outflows arising from the employee benefit obligations, with the objective that assets of the gratuity / provident fund obligations match the benefit payments as they fall due.

Provident Fund

The eligible employees of the Company are entitled to receive post-employment benefits in respect of provident fund, in which both the employees and the Company make monthly contributions at a specified percentage as applicable of the employees' eligible salary. The contributions are made to the Employees provident fund department.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

I. Charge to the Statement of Profit and Loss based on contributions:

₹ In Lakhs

Particulars	Year Ended	
	As at March 31, 2024	As at March 31, 2023
Employer's contribution to Regional Provident Fund Office	65.90	-
Employer's contribution to Superannuation Fund	31.15	-
Employer's contribution to Employees' State Insurance Corporation and other funds	38.99	-

Included in Contribution to Provident and Other Funds (Refer Note 23)

II. Disclosures for defined benefit plans based on actuarial valuation reports >

A. Change in Defined Benefit Obligation

₹ In Lakhs

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Present Value of Defined Benefit Obligation as at beginning of the year	-	-	-	-
Current Service Cost	4.63	-	-	-
Liability Transferred in for employees joined	513.34	-	-	-
Present Value of Defined Benefit Obligation as at the end of the year	517.96	-	-	-

B. Changes in the Fair Value of Assets

₹ In Lakhs

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Fair Value of Plan Assets as at beginning of the year	-	-	-	-
Contributions from employer	10.00	-	-	-
Fair Value of Plan Assets as at the end of the year	10.00	-	-	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

C. Amount recognised in the Balance Sheet

₹ in Lakhs

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Present Value of Defined Benefit Obligation as at the end of the year	517.98	-	-	-
Fair Value of Plan Assets as at end of the year	10.00	-	-	-
Net Liability recognised in the Balance Sheet	507.98	-	-	-
Recognised under:				
Non - current provision	435.04	-	-	-
Current provision	82.94	-	-	-

D. Expenses recognised in Statement of Profit and Loss

₹ in Lakhs

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Current Service Cost	4.63	-	-	-
Total Expenses recognised in the Statement of Profit and Loss	4.63	-	65.90	-

E. Expenses Recognized in the Other Comprehensive Income (OCI) for the Year

₹ in Lakhs

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Actuarial (Gains)/Losses on Obligation for the Year - Due to changes in financial assumptions	-	-	-	-
Actuarial (Gains)/Losses on Obligation for the Year - Due to experience adjustment	-	-	-	-
Return on Plan Assets, excluding Interest Income	-	-	-	-
Actuarial (Gains)/Losses on Obligation for the Year - Due to changes in demographic assumptions	-	-	-	-
Net (Income)/Expense For the year Recognized in OCI	-	-	-	-

F. Principal actuarial assumptions used:

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at	As at	As at	As at
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Discount Rate (per annum)	7.18%	-	-	-
Salary escalation rate	4.50%	-	-	-
Rate of employee turnover	17.24%	-	-	-

G. Movements in the present value of net defined benefit obligation are as follows:

₹ in Lakhs

Particulars	Gratuity (Funded)		Others (Post Retirement medical and non compete fees) (Non funded)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Opening Net Liability	-	-	-	-
Expenses Recognized in Statement of Profit or Loss	4.63	-	-	-
Expenses Recognized in OCI	-	-	-	-
Benefit Paid Directly by the Employer	-	-	-	-
Employer's Contribution	(10.00)	-	-	-
Net Liability Recognized in the Balance Sheet	507.98	-	-	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

H. Category of Assets		₹ in Lakhs	
Particulars	Gratuity		
	As at March 31, 2024	As at March 31, 2023	
Insurance fund	10.00	-	
Total	10.00	-	

The Plan Asset for the funded gratuity plan are administered by Life Insurance Corporation of India ('LIC') as per the Investment Pattern stipulated for Pension and Group Schemes Fund by Insurance Regulatory Development Authority Regulations.

L. Other Details

Particulars	Gratuity		Others (Post Retirement medical and non compete fees)	
	As at March 31, 2024	As at March 31, 2023	As at March 31, 2024	As at March 31, 2023
Number of Active Members	489	-	-	-
Per Month Salary for Active Members (₹ in Lakhs)	72.93	-	-	-
Weighted Average Duration of the Projected Benefit Obligation	4	-	-	-
Average Expected Future Service (Years)	4	-	-	-
Projected Benefit Obligation (PBO) (₹ in Lakhs)	517.98	-	-	-
Prescribed Contribution For Next Year (12 Months) (₹ in Lakhs)	72.93	-	-	-

J. Cash Flow Projection: From the Fund

Projected Benefits Payable in Future Years From the Date of Reporting	Estimated for the		Estimated for the	
	As at March 31, 2024	As at March 31, 2024	As at March 31, 2024	As at March 31, 2024
	Gratuity		Other Post Employment Benefits	
1st Following Year	166.07	-	-	-
2nd Following Year	70.49	-	-	-
3rd Following Year	93.82	-	-	-
4th Following Year	66.03	-	-	-
5th Following Year	48.88	-	-	-
Sum of Years 5 To 10	136.71	-	-	-

K. Sensitivity Analysis

	₹ in Lakhs	
	As at March 31, 2024	As at March 31, 2023
	Gratuity	
Impact of +1% Change in Rate of Discounting	(12.83)	-
Impact of -1% Change in Rate of Discounting	13.80	-
Impact of +1% Change in Rate of Salary Increase	14.02	-
Impact of -1% Change in Rate of Salary Increase	(13.27)	-
Impact of +1% Change in Rate of Employee Turnover	0.62	-
Impact of -1% Change in Rate of Employee Turnover	(0.73)	-

The above sensitivity analysis are based on change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the balance sheet.

The estimates of future salary increases, considered in actuarial valuation, take account of inflation, seniority, promotion and other relevant factors, such as supply and demand in the employment market.

L. The liability for Compensated absences as at year end is ₹ 178.80 Lakhs (Previous year Nil) (Refer Note 14).

Leave encashment policy has funded by company on 16th April 2024 with a transfer from Forbes & Company Limited as per the Scheme of arrangement. (Ref Note 39)

The Company provides for encashment of leave or leave with pay subject to certain rules. The employees are entitled to accumulate leave subject to certain limits for future encashment / availment. The Company makes provision for compensated absences based on an actuarial valuation carried out at the end of the year using the Projected Unit Credit method. Leave obligations not expected to be settled in the next 12 months is ₹ 123.83 Lakhs (Previous year Nil).



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

31 Leases

Lessee accounting

(i) Amounts recognized in Balance Sheet

The balance sheet shows the following amounts relating to leases:

₹ in Lakhs		
Particulars	As at March 31, 2024	As at March 31, 2023
Right-of-use assets		
Office premises	333.14	-
Land	9.95	-
Total	343.09	-
Particulars	As at March 31, 2024	As at March 31, 2023
Lease liabilities		
Non-current	216.00	-
Current	125.25	-
Total	341.25	-

(ii) Right-of-use assets for the year ended 31st March, 2024.

₹ in Lakhs		
Particulars	Office Premises As at March 31, 2024	Land As at March 31, 2024
Cost or Deemed cost		
Balance at 31st March, 2023	49.98	-
Additions	344.88	16.50
Disposals	49.98	-
Balance at 31st Mar, 2024	344.88	16.50
Accumulated depreciation		
Balance at 31st March, 2023	23.03	6.37
Depreciation expense for the year	23.04	0.17
Disposals	34.33	-
Balance at 31st Mar, 2024	11.74	6.54
Carrying Amount		
Balance at 31st Mar, 2024	333.14	9.95

(iii) Amounts recognized in Statement of Profit and Loss.

The Statement of Profit and Loss shows the following amounts relating to leases:

₹ in Lakhs	
Particulars	As at March 31, 2024
Depreciation charge of right-of-use assets	
Office Premises	23.04
Land	0.17
Total	23.21
Interest expense on lease liability (included in finance cost)	10.63
Total	33.84

During the year, Pursuant to scheme of arrangement the old lease agreements terminated and new agreements are entered into consequently. the difference between the carrying amounts of the right-of-use asset and the lease liability recorded in the statement of profit or loss as a gain or loss and such gain shown under other income.

(iv) Critical judgements in determining the lease term

In determining the lease term, management considers all facts and circumstances that creates an economic incentive to exercise an extension option, or not to exercise a termination option. Extension option (or period after termination option) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.

For the leases of offices premises, the following factors are normally the most relevant:

1. If there is significant penalties to terminate (or not extend), the Company is typically reasonably certain to extend (or not terminate).
2. If any leasehold improvements are expected to have a significant remaining value, the Company is typically reasonably certain to extend (or not terminate).
3. Otherwise, the Company considers the other factors including historical lease duration and the costs and business disruption required to replace the leased asset.

The lease term is reassessed if an option is actually exercised (or not exercised) or the Company becomes obliged to exercise it. The assessment of reasonably certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within control of lessee.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

32. Financial Instruments

32.1 Capital Management

The Company manages its capital to ensure that it will be able to continue as going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance. The capital structure of the Company consists of total equity of the Company.

The Company determines the amount of capital required on the basis of annual as well as long term operating plans and other strategic investment plans. The funding requirements are met through non convertible debt securities or other long-term /short term borrowings. The Company monitors the capital structure on the basis of total debt to equity ratio and maturity profile of the overall debt portfolio of the Company.

The capital components of the Company are as given below:

	As at March 31, 2024	As at March 31, 2023
Total Equity	13,775.33	3.42
Long Term Borrowings	294.15	-
Current Maturities of Long Term Borrowings	248.25	-
Lease Liabilities	341.25	-
Total Debt	883.65	-
Cash and Cash equivalents	1,595.63	5.00
Net Debt	(711.98)	(5.00)
Debt Equity ratio	0.06	-
Debt Equity Ratio = Total Debt / Total Equity		

32.2 Financial risk management objectives

The Management monitors and manages the financial risks to the operations of the Company. These risks include market risk, credit risk and liquidity risk.

Ratios (Ref Note 38)	Numerator	Denominator	As at March 31, 2024	As at March 31, 2023	Reason for Variance*
Current Ratio	Current assets	Current liabilities	1.89	4.05	For FY 22-23, there was no Debt, thus debt equity ratio couldn't be calculated.*
Debt-Equity Ratio	Total debt	Total equity	6%	0%	
Debt Service Coverage Ratio	Earning for debt	Debt service	6.06	0.00	For FY 22-23, there was no Debt, thus debt service coverage ratio couldn't be calculated.*
Return on Equity Ratio	Net profit after tax	Average shareholders equity	43%	31%	For FY 22-23, there was no sales and few expenses incurred. Hence return on equity was negative.*
Inventory turnover ratio (times)	COGS	Average inventory	4.14	0.00	For FY 22-23, there was no Closing inventory, thus Inventory turnover ratio could not be calculated.*
Trade Receivables turnover ratio (times)	Credit sales	Average trade receivable	15.52	0.00	For FY 22-23, there was no sales as well as debtors, thus Trade Receivable turnover ratio could not be calculated.*
Trade payables turnover ratio (times)	Net Credit Purchases	Average Trade Payables	8.58	0.00	For FY 22-23, there was no purchases thus Trade payable turnover ratio could not be calculated.*
Net capital turnover ratio (times)	Credit sales	working capital	5.04	0.00	For FY 22-23, there was no sales, thus Net capital turnover ratio could not be calculated.*
Net profit ratio	Net profit after tax	Revenue from operations	13%	0%	For FY 22-23, there was no sales thus Net profit ratio couldn't be calculated.*
Return on Capital employed	Earnings before interest and tax	capital employed	30%	-31%	For FY 22-23, there was no sales and few expenses incurred. Hence return on Capital employed was negative.*
Return on Investment	Earnings before interest and tax	Closing total assets	20%	-23%	For FY 22-23, there was no sales and few expenses incurred. Hence return on Investment was negative.*

*Reasons for Variances are only provided for the change in the ratios by more than 25% as compared to the ratios of Previous year. Pursuant to scheme of arrangement, there were no business operations in FY 2022-23, therefore ratios couldn't be calculated. (Ref Note 38)



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

32.3 Market Risk

The Company's activities expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates.

32.4 Credit risk management

Trade receivables

Trade receivables are generally unsecured and are derived from revenue earned from customers. On account of adoption of Ind AS 109, the Company uses expected credit loss model to assess the impairment loss or gain. The Company uses a provision matrix and forward-looking information and an assessment of the credit risk over the expected life of the financial asset to compute the expected credit loss allowance for trade receivables. Historical experience of collecting receivables of the Company is supported by low level of past default and hence the credit risk is perceived to be low.

Other Financial assets

The credit risk on liquid funds and derivative financial instruments is limited because the counterparties are mutual funds and banks with high credit-ratings assigned by credit-rating agencies.

32.5 Liquidity Risk

Liquidity Risk refers to insufficiency of funds to meet the financial obligations. Liquidity Risk Management implies maintenance of sufficient cash and marketable securities and the availability of funding through an adequate amount of committed credit lines to meet obligations when due.

The Company manages liquidity risk by banking facilities and by continuously monitoring forecast and actual cash flows, and by assessing the maturity profiles of financial assets and liabilities. The below table sets out details of additional undrawn facilities that the Company has at its disposal to further reduce liquidity risk.

The following tables detail the Company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The tables have been drawn up based on the earliest date on which the Company can be required to pay. The tables include both principal and interest cash flows.

Maturities of Financial Liabilities as at the Balance Sheet date	As at March 31, 2024			
	Upto 1 year	1 to 3 years	3 to 5 years	5 years & above
Borrowings (Includes interest)	288.05	286.08	-	-
Trade Payables	2,169.42	-	-	-
Other Financial Liabilities	3,067.60	331.92	-	-
Lease liability	125.25	216.00	-	-
	5,650.32	834.00	-	-

Maturities of Financial Liabilities as at the Balance Sheet date	As at March 31, 2023			
	Upto 1 year	1 to 3 years	3 to 5 years	5 years & above
Trade Payables	0.50	-	-	-
Other Financial Liabilities	0.75	-	-	-
	1.25	-	-	-

32.6 Categories of Financial Instruments:

	As at March 31, 2024		
	FVTPL	FVTOCI	Amortised Cost
Financial Assets			
Loans	-	-	3.26
Cash and Bank Balances	-	-	1,595.63
Trade Receivables	-	-	2,944.40
Other Financial Assets	-	-	1,226.08
	-	-	5,769.37
Financial liabilities			
Borrowings	-	-	542.40
Trade Payables	-	-	2,169.42
Other Financial Liabilities	-	-	1,495.98
Lease liability	-	-	341.25
	-	-	4,549.05

	As at March 31, 2023		
	FVTPL	FVTOCI	Amortised Cost
Financial Assets			
Cash and Bank Balances	-	-	5.00
Other Financial Assets	-	-	0.07
	-	-	5.07
Financial liabilities			
Trade Payables	-	-	0.50
Other Financial Liabilities	-	-	0.75
	-	-	1.25



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED **NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024**

32.7 Derivatives Instruments and unhedged Foreign Currency (FC) exposure

The Company is exposed to Currency risk arising from its trade exposures and capital/loan receipts/payments denominated, in other than the Functional Currency. The Company has a Foreign Exchange Risk Management policy within which the treasury has to perform and also lays down the checks and controls to ensure the continuing success of the treasury function. The Company has defined strategies for addressing the risks for each category of exposures (e.g. for imports, for exports, for loans, etc.). The centralised treasury function aggregates the foreign exchange exposure and takes prudent measures to hedge the exposure based on prevalent macro-economic conditions.

a) Particulars of unhedged foreign currency exposures as at the reporting date

Currencies	As at March 31, 2024				As at March 31, 2023			
	Advances from customers		Loans and advances to related party		Advances from customers		Loans and advances to related party	
	FC in Lakhs	₹ in Lakhs	FC in Lakhs	₹ in Lakhs	FC in Lakhs	₹ in Lakhs	FC in Lakhs	₹ in Lakhs
USD	0.07	6.08	-	-	-	1,219.16	-	-
GBP	-	-	-	-	-	77.01	-	-
EUR	0.01	0.82	-	-	-	-	-	-

Currencies	As at March 31, 2024				As at March 31, 2023			
	Advances to vendors		Trade payables		Advances to vendors		Trade payables	
	FC in Lakhs	₹ in Lakhs	FC in Lakhs	₹ in Lakhs	FC in Lakhs	₹ in Lakhs	FC in Lakhs	₹ in Lakhs
USD	0.07	5.56	4.61	384.31	-	-	-	-
EUR	0.04	3.52	3.86	346.81	-	-	-	-
GBP	-	-	-	-	-	-	-	-

Of the above, the Company is mainly exposed to USD, and EUR. Hence the following table analyses the Company's Sensitivity to a 5% increase and a 5% decrease in the exchange rates of these currencies against INR.

(b) Sensitivity

As at March 31, 2024

Currencies	Increase/Decrease	Total Assets in FC	Total Liabilities in FC	Impact on exchange rate	Impact on Profit or Loss for the year
USD	Increase by 5%	14.70	4.68	4.17	41.78
USD	Decrease by 5%	14.70	4.68	(4.17)	(41.78)
EUR	Increase by 5%	0.04	3.86	4.50	(17.19)
EUR	Decrease by 5%	0.04	3.86	(4.50)	17.19



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

32.8 Interest rate risk

Interest rate risk results from changes in prevailing market interest rates, which can cause a change in the fair value of fixed-rate instruments and changes in the interest payments of the variable-rate instruments.

(a) Interest rate risk exposure

The exposure of Company's borrowing to interest rate changes at the end of the year are as follows:

Particulars	As at March 31, 2024			As at March 31, 2023		
	Weighted average interest rates	% of total loans	Total Borrowings	Weighted average interest rates	% of total loans	Total Borrowings
Term Loans from Banks	9.25%	100%	542.40	9.25%	0%	-
Total			542.40			-

(b) Sensitivity

The sensitivity of profit / (loss) to changes in interest rates/exchange rates:

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Rates increase by 100 basis points*	5.42	-
Rates decrease by 100 basis points*	(5.42)	-

* Holding all other variables constant.

33. Contingencies and other commitments

(a) Contingencies

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Claims against the Company not acknowledged as debts		
Labour matters in dispute	16.81	-

(b) Commitments

₹ in Lakhs

Particulars	As at March 31, 2024	As at March 31, 2023
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advance paid aggregating ₹314.36 Lakhs; (Previous year Nil))	1,382.39	-



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

34. Net debt reconciliation

	₹ in Lakhs	
	As at March 31, 2024	As at March 31, 2023
Long Term Borrowings	(294.15)	-
Current Maturities of Long Term Borrowings	(248.25)	-
Lease Liability	(341.25)	-
Total debt	(883.65)	-
Cash and Cash equivalents	1,595.63	5.00
Net debt	711.98	5.00

	₹ in Lakhs				
	Other assets	Liabilities from financing activities			
	Cash and cash equivalents	Long term borrowing including current maturity	Short term borrowing	Lease Liability	Total
Net debt as at 1st April, 2023	5.00	-	-	-	5.00
Cash flows	1,590.63	(542.40)	-	(341.25)	706.98
Interest expense	-	(76.93)	(1.08)	(10.63)	(88.65)
Interest paid	-	76.93	1.08	-	78.01
Non cash movements for acquisitions and disposals	-	-	-	10.63	10.63
Net debt as at 31st March, 2024	1,595.63	(542.40)	-	(341.25)	711.98

35. Offsetting financial assets and financial liabilities

	₹ in Lakhs		
	Gross amounts	Gross amounts set off in the Balance Sheet	Net amounts presented in Balance Sheet
	(Financial Assets - Trade Receivables)	(Financial Liabilities - Rebates/ Discounts)	(Net Financial Assets - Trade Receivables)
31st March, 2024	3,569.27	417.40	3,151.86
Total	3,569.27	417.40	3,151.86
31st March, 2023	-	-	-
Total	-	-	-

The Company gives rebates/ discounts for Engineering segment. Under the terms of contract, the amounts payable by the Company are offset against receivables from customers and only the net amount is settled (i.e. after adjustment towards rebates/ discounts). The relevant amounts have therefore been presented net in the Balance Sheet.

36. Assets pledged as security

The carrying amounts of assets pledged as security for current and non-current borrowings are:

	₹ in Lakhs	
Particulars	As at March 31, 2024	As at March 31, 2023
Non-current		
Specific charge		
- Leasehold land	9.95	-
- Freehold buildings	3,428.87	-
- Plant & Machinery	5,034.70	-
- Furniture & fixtures	39.89	-
- Office equipments	9.58	-
- Capital work-in-progress	468.67	-
Total non-currents assets pledged as security	8,991.67	-
Total assets pledged as security	8,991.67	-

Note: The Assets are transferred under composite scheme of arrangement. The company applied for transfer of title deed with statutory authorities. Creation of charge on the said assets are in process.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

37. Segment reporting: The Ind AS 108, 'Operating segments,' notified pursuant to Companies (Accounting Standards) Rules, 2015, requires management to determine the reportable segments for disclosure in financial statements based on internal reporting reviewed by the Chief Operating Decision Maker (CODM) to assess performance and allocate resources. The company manufactures precision cutting tools and related components. Based on management analysis, the company has only one operating segment, so no separate segment report is provided. The principal geographical area in which the company operates is India.

38. Scheme of Arrangement

The Board of Directors of Forbes Precision Tools and Machine Parts Limited ("FPTL" or the "Resulting Company") and Forbes & Company Limited (FCL or the "Demerged Company") in their respective meetings held on 26th September 2022, approved the Scheme of Arrangement ("Scheme") between FCL and FPTL, as well as their respective shareholders, in accordance with Sections 230 to 232 of the Companies Act, 2013, and other applicable provisions and rules. This Scheme entails the demerger of the "Precision Tools business" from FCL into FPTL, with an appointed date of 1st April 2023.

The Honorable National Company Law Tribunal ("NCLT") of the Mumbai bench approved the scheme via Order No. C.P.(CAA)/303/MB-V/2023 dated 9th February 2024. The certified true copy of the order was received on 22nd February 2024 and filed with the Registrar of the Company on 1st March 2024. The Scheme became effective / operative from the effective date of March 1, 2024, with this, the Precision Tools business of FCL being transferred to and vested in FPTL with effect from the appointed date i.e., April 1, 2023.

Upon the coming into effect of the Scheme, the existing share capital of FPTL, amounting to ₹5.00 lakhs divided into 50,000 shares of ₹10 each, fully paid up, held by the shareholders of the Demerged Company, prior to the Scheme becoming effective, shall stand cancelled without any further application, act, instrument, or deed, as an integral part of this Scheme, with adjustments done through Capital reserve of the Company. As per the Composite Scheme of Arrangement, the Resulting company has issued four fully paid-up equity shares of ₹10/- each for every one fully paid-up equity share of ₹10/- each held by the equity shareholders of the Demerged Company (FCL) as of the Record Date, which was 7th March 2024. The shareholders of FCL are entitled to receive 4 shares of FPTL against each share held by them. Accordingly, the paid-up capital of FPTL is determined as 5,15,94,464 shares of Rs. 10 each, having a total value of ₹ 5,159.45 Lakhs. The record date for allotment was fixed as 7th March 2024, and the issuance and allotment of equity shares took place on 13th March 2024.

As per Para 12 of Appendix C of IND AS 103, the difference between Paid up share capital of FCL Rs 1289.96 Lakhs and Paid up share capital issued by FPTL amounting to Rs 5159.45 Lakhs in terms of scheme of arrangement is considered as negative capital reserve amounting Rs 3869.59 Lakhs. The pre-merger equity share capital of Rs 5 lakhs of FPTL is cancelled and adjusted against the capital reserve.

From the appointed date, the precision tools business of FCL, including all its assets and liabilities is transferred and vested to FPTL in accordance with this Scheme. Consequently, the deferred tax liability related to those assets and liabilities will be remeasured and will result in a direct charge of Rs. 234.44 Lakhs to the opening balance of retained earnings of FPTL. Moreover, for the period from April 1, 2023, to March 31, 2024, the incremental deferred tax liability amounting to ₹ 2.33 Lakhs debited to the Profit and Loss account.

The financial statement of the Company reflects the financial position on the basis of consistent accounting policies.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

The book value of assets acquired, and liabilities were taken over under the scheme of arrangement as on appointed date are listed below:

Particulars (₹ in Lakhs)	The demerged undertaking of the parent company
I. ASSETS	
1. Non-Current Assets	
(a) Property, plant and equipment	8,414.02
(b) Right-of-use assets	37.07
(c) Capital work-in-progress	182.80
(d) Other intangible assets	97.49
(e) Other financial asset	81.64
(f) Current tax assets (net)	4.31
(g) Other non-current assets	230.26
Total	9,047.59
2. Current Assets	
(a) Inventories	3,115.25
(b) Financial assets	
(i) Trade receivables	2,236.80
(ii) Cash and cash equivalents	366.83
(iii) Loans	0.28
(c) Other current assets	282.79
Total	6,001.95
TOTAL ASSETS	15,049.53
II. LIABILITIES	
1. Non-current Liabilities	
(a) Financial liabilities	
(i) Borrowings	1,012.95
(ii) Lease liability	18.87
(b) Deferred tax liabilities (net)	234.44
Total	1,266.26
2. Current Liabilities	
(a) Financial liabilities	
(i) Borrowings	243.25
(ii) Lease liability	11.94
(iii) Trade payables	1,833.20
(iv) Other financial liabilities	131.16
(b) Other current liabilities	742.03
(c) Provisions	27.58
Total	2,989.17
TOTAL LIABILITIES	4,255.43
NETWORTH	10,794.10

The Comparative numbers of the financial statements are not comparable as the Composite Scheme of Arrangement between Forbes & Company Limited and Forbes Precision Tools & Machine Parts Limited has caused an impact.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

39. The Scheme of Arrangement for the demerger of the "Precision Tools business" from Forbes & Company Limited (FCL) to the Company has received approval from The Hon'ble National Company Law Tribunal ("NCLT") of Mumbai benches through Order No. C.P.(CAA)/303/MB-V/2023 dated February 9, 2024, Mumbai Bench. The certified true copy of the order was filed with the Registrar of the Company on March 1, 2024, and the Scheme became operative as of March 1, 2024. Consequently, the Precision Tools business of FCL has been transferred to and vested in the Company with effect from the appointed date, i.e., April 1, 2023. All transactions previously recorded in Forbes & Company Limited pertaining to the Precision Tools business have been transferred to the Company as of the effective date, March 1, 2024.

The impact of Certain assets and liabilities transferred from FCL to the Company is net receivables amounts to ₹ 881.93 Lakhs presented under note no. 88 as Contractually reimbursable expenses from related parties. Details of this transfer are as follows:

₹ in Lakhs		
Shown as receivable on account of HDFC Life – Leave encashment	346.38	This amount, pertaining to the employees transferred, was receivable through FCL from HDFC Life Insurance Company Limited which has been credited on 16th April 2024 to the leave encashment policy of the company with HDFC Life Insurance Company Limited.
Shown as receivable on account of Gratuity fund with LIC.	535.55	This amount would be transferred from LIC – Forbes Gratuity account to the Company's Gratuity account by LIC
	881.93	

40. The Indian Parliament has approved the Code on Social Security, 2020 ("the code") which, inter alia, deals with employees benefits during employment and post-employment. The code has been published in the Gazette of India. The effective date of the code is yet to be notified and the rules for quantifying the financial impact are also yet to be issued. In view of this, the impact of change, if any, will be assessed and recognised post notification of the relevant provisions.

41. Additional Regulatory Information as per Schedule III of the Division II of the Companies Act, 2013

i Details of Benami property held

There are not any proceedings that have been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder as at 31st March, 2023.

ii Wilful defaulter

The Company has not been declared wilful defaulter by any bank or financial institution or other lender who has powers to declare a company as a wilful defaulter at any time during the financial year or after the end of reporting period but before the date when financial statements are approved or in an earlier period and the default has continued for the whole or part of the current year.

iii Relationship with struck off companies

The Company has no transactions with the companies struck off under Companies Act, 2013 or Companies Act, 1956.

iv The Company is in compliance with the number of layers prescribed under clause (87) of section 2 of the Companies Act 2013 read with Companies (Restriction on number of Layers) Rules, 2017.

v (a) The company has not advanced or loaned or invested any funds (either borrowed funds or share premium or any other sources or kind of funds) during the year to any other person(s) or entity(ies), including foreign entities (intermediaries) with the understanding (whether recorded in writing or otherwise) that the intermediary shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (ultimate beneficiaries) or,
- provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

(b) The company has not received any fund from any person(s) or entity(ies), including foreign entities (funding party) during the year with the understanding (whether recorded in writing or otherwise) that the company shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the funding party (ultimate beneficiaries) or
- provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.



FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2024

vi Undisclosed income

The company does not have any transaction that are not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961), during the year.

vii Details of crypto currency or virtual currency

The group has not traded or invested in crypto currency or virtual currency during the current or previous year.

viii Valuation of PP&E, intangible asset and investment property

The group has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both during the current or previous year.

42. Other regulatory information

i Registration of charges or satisfaction with Registrar of Companies

There are no charges or satisfaction which are yet to be registered with the Registrar of Companies beyond the statutory period.

ii Utilisation of borrowings availed from banks and financial institutions

The borrowings obtained by the company from banks and financial institutions have been applied for the purposes for which such loans were taken.

iii The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.

The Group has five CICs which are part of the Group

- SP Finance Private Limited,

- SC Finance and Investments Private Limited,

- Hermes Commerce Private Limited,

- Renaissance Commerce Private Limited and

- Shipoorji Pallonji Energy Private Limited (formerly known as Shipoorji Pallonji Oil and Gas Private Limited).

43. The Comparative numbers of the financial statements are not comparable as the Composite Scheme of Arrangement between Forbes & Company Limited and Forbes Precision Tools & Machine Parts Limited has caused an impact. The demerger of the Precision tools business from April 01, 2023 is the appointed date and took effect on March 01, 2024.

44. The Company had filed listing application with BSE limited on April 7, 2024 and received in principle approval on April 26, 2024. We are awaiting SEBI relaxation letter under rule 19(2)(b) of the Securities Contracts (Regulation) Rule 1957.

45. The Managing Director, Chief Financial Officer & Company Secretary were appointed w.e.f April 01, 2024 and were authorized by the Board to sign the financials of the Company.

46. The financial statements were approved by the Board of Directors of the Company at their respective meetings held on 06th May, 2024.

In terms of our report of even date
For Sharp & Tannan Associates

Chartered Accountants
Firm's Registration No.: 109983W

Partulv S. Desai
Partner
Membership No.: 042624

Date: 7 May 06, 2024
Place: Mumbai



For and on behalf of the Board of Directors

M.C. TAHLYANI
Managing Director
DIN : 01423084

JAI L. MAYANI
Director
DIN : 05260191

VIKRAM V. NAGAR
Chief Financial Officer

RUPA KHANNA
Company Secretary
Membership No.: A33322

Date: May 06, 2024
Place: Mumbai

M.C. Tahlyani

Jai L. Mayani

Vikram V. Nagar

Rupa Khanna



STATEMENT OF ACCOUNTING RATIOS

The following table presents certain accounting ratios derived from our Company's Audited Financial Statements included in the section titled "*Financial Statements*" on page 86 of the Information Memorandum.

(Amount in INR lakhs except No. of Shares)

Particulars	For the year ended March 31, 2024*	For the year ended March 31, 2023
Net Worth (A)**	13,775.33	3.83
Earnings attributable before other comprehensive income attributable to Equity Share Holders (B)	2,971.11	(1.18)
Number of outstanding Equity shares for EPS (C)	5,15,94,464	50,000
Face value per share (INR / share)	10.00	10.00
EPS (INR / share)***	110.63	(2.35)
Return on Net Worth (%) (B/A)	21.57%	N.A.
Net Assets Value per share (A/C) (INR / share)	26.70	7.66

* After effectiveness of the Scheme

** The above net worth has been computed as per section 2(57) of the Companies Act

*** As per the Scheme of Arrangement, FPTL issued and allotted four fully paid-up equity shares of INR 10/- each for every one fully paid-up equity share of INR 10/- each held by the equity shareholders of the Demerged Company (FCL) as on the Record Date. The issuance and allotment of equity shares took place on 13th March 2024. The total number of issued and allotted equity shares is 5,15,94,464, which has been diluted for a weighted average equity share of 26,85,739. As per IND AS 33, the weighted average of equity shares has been calculated from the acquisition date. Based on the above consideration, the EPS (earnings per share) is calculated to be INR 110.63 per share. However, if the appointed date, which is April 01, 2023, is considered as the acquisition date, then the EPS calculated is INR. 5.76 per share.

OUTSTANDING LITIGATIONS AND MATERIAL DEVELOPMENTS

Except as disclosed in this section, there are no outstanding (i) criminal proceedings, (ii) actions taken by statutory or regulatory authorities, (iii) claims related to direct and indirect taxes, and (iv) material litigation, in each case involving our Company, Promoters, Directors and Group Companies.

Further, all proceedings, pending or initiated against the Demerged Company relating to the Demerged Undertaking (as defined in the Scheme) be continued by or against the Resulting Company.:

In relation to (iv) above, the company has considered and identified material outstanding litigation as defined below:

- a) all pending litigation involving the Relevant Parties, other than criminal proceedings, tax matters, and statutory or regulatory actions, would be considered 'material' if (i) the monetary amount of claim by or against the entity or person in any such pending proceeding is in excess of 1% of standalone net worth of the Company as on March 01, 2024, that is, INR 1,34,00,000 (Rupees One Crore and Thirty Four Lakhs), or (ii) pending proceedings involving the Relevant Parties, wherein a monetary liability is not quantifiable, but whose outcome may have a bearing on the business, operations or prospects or reputation of the Company;*
- b) involving the Directors of the Company whose outcome may have a bearing on the business, operations or reputation of the Company, has been considered as material; and*
- c) all criminal proceedings whether complaints, first information reports, bail applications or otherwise wherein our Company, Directors, Promoter and Group Company is a party;*
- d) in relation to the Group Companies, for the purpose of disclosures in this Information Memorandum, other than criminal proceedings, tax matters, and statutory or regulatory actions, would be considered 'material' if (i) the monetary amount of claim by or against the entity or person in any such pending proceeding is in excess of 1% of standalone net profit of the respective group company or 1% of Net worth of the respective group company whichever is higher, or (ii) pending proceedings involving the group company, wherein a monetary liability is not quantifiable, but whose outcome may have a bearing on the business, operations or prospects or reputation of the Company;*

Save as disclosed below, there are no:

- outstanding civil or tax proceedings involving our Company, Directors and Promoter in which the pecuniary amount involved is in excess of the Materiality Threshold.
- outstanding actions initiated or show-cause notices issued by regulatory authorities such as SEBI or RBI or the Stock Exchanges or MCA, Registrar of Companies or any other such similar authorities, involving our Company, Directors, Promoters and Group Companies.
- outstanding criminal proceedings filed by or against our Company, Directors, Promoter and Group Companies.
- defaults in or non-payment of any statutory dues by our Company.
- litigations or legal actions pending or taken against our Promoter by a Government department or a statutory body during the last three years immediately preceding the year of this Information Memorandum.
- inquiries, inspections or investigations initiated or conducted under the Securities laws or Companies Act or any previous companies' law in the last three years immediately preceding the year of issue of this Information Memorandum against our Company and if there were any prosecutions filed (whether pending or not); fines imposed or compounding of offences done in the last three years immediately preceding the year of this Information Memorandum for the Company.
- outstanding litigation involving our Company, Directors, Promoter, or any other person, whose outcome could have material adverse effect on the position of our Company, or which may affect the Issue or an investor's decision to invest in the Issue.
- pending proceedings initiated against our Company for economic offences.
- material frauds committed against our Company in the last three years preceding the date of this Information Memorandum and actions taken by our Company in this regard.

There are no pending material litigations, involving our Company, our Promoter and Director, except the following and

I. Involving our Company

➤ **Against our Company**

A. Criminal Proceedings

NIL

B. Civil Proceedings

NIL

➤ **By our Company**

A. Criminal Proceedings

1. Forbes & Company Limited v. M/s SP Precision Tools & Ors.

The Complaint under section 138 of the Negotiable Instrument Act as been filed by Forbes & Company Limited against S P Precision Tools and its Partners, As the cheque issued by S P Precision Tools towards payment of material supplied by Forbes & Company Limited was dishonoured due to insufficient funds. The matter involves an amount of Rs. 9,45,918/- and is pending before Metropolitan Magistrate Courts, George Town.

2. Forbes & Company Limited v. V.J. Mineral Water Industry

Forbes & Company Limited had supplied Ink-jet printing machines of Rs.1,25,000 to V J Minerals Industries. V J Minerals had issued 3 Cheques of Rs. 50,000/-, Rs. 50,000/- and Rs. 25,000/- respectively drawn on State Bank of India, Coimbatore. The cheques were presented with SCB, Chennai and were dishonoured with endorsement 'Exceeds Arrangement' by memo dated 27.7.2009. Hence, the case filed u/s 138 of the Negotiable Instrument Act. The matter involves an amount of Rs. 1,25,000/- and is pending before Metropolitan Magistrate Courts, George Town.

B. Civil Proceedings

NIL

C. Regulatory and Statutory proceedings

NIL

D. Material Tax proceedings

NIL

II. Involving our Promoter, that is, Shapoorji Pallonji and Company Private Limited (SPCPL)

A. Criminal proceedings

By our Promoter

1. Shapoorji Pallonji and Company Private Limited v. Bengal Iron Corporation and Ors. (55/0800080/2019)

SPCPL has filed criminal defamation case against Bengal Iron and Ors. At 8th Addl. Chief Metropolitan Magistrate Esplanade case no. 55/0800080/2019. The matter is currently pending.

2. Shapoorji Pallonji and Company Private Limited v. State of Gujarat and Ors (Cr. Misc. Appeal 14387/2018)

FIR has been registered by Vadodara Rural Police Station at the instance of Hinaben who claims that various companies (12 in numbers) were guilty of abatement of suicide by her husband. SPCPL has filed the Petition to quash FIR. Interim Orders passed in favour of SPCPL against State of Gujarat and Ors in High Court of Ahmedabad through case no. Cr. Misc. Appeal 14387/2018. The matter is currently pending

Against our Promoter

1. Trinity MEP Services v. Shapoorji Pallonji and Company Private Limited

Trinity MEP Services has filed criminal case against SPCPL for alleged non-payment of its dues of Rs. 2,89,31,711/-. SPCPL has challenged the initiation of criminal proceedings against it by filing a Petition before the High Court. The High Court by its order dated August 26, 2023, was pleased to grant stay in favour of SPCPL. The matter is currently pending

2. State of Maharashtra through Anti-Corruption Bureau, Raigad v. Shapoorji Pallonji and Company Private Limited (Criminal Appeal No.1051 of 2019)

Directorate of Enforcement had filed Second Appeal in the Bombay High Court [under the provisions of Section 42 of the PMLA] being Criminal Appeal No. 1051 of 2019 along with Criminal Application No. 736 of 2019 for condonation of delay. By an Order dated 29.7.2019, the Condonation Application mentioned above was allowed by the Division Bench of the Bombay High Court. The Appeal was admitted vide order dated 11.03.2020. The SPCPL had filed Special Leave Petition bearing SLP(CRL) No.3109-3110 of 2020 before the Hon'ble Supreme Court challenging the Order dated 11th March 2020 passed by the Hon'ble High Court Bombay in Criminal Appeal No.1051 of 2019. However, the SLP came to be withdrawn as recorded in the order dated 27th January 2021 passed by the Supreme Court whereby the Supreme Court also observed that the High Court may consider the preliminary objection as to maintainability of the Criminal Appeal. It is submitted that a preliminary objection would necessarily have to be heard and decided prior in time before the Appeal admitted or taken up for final hearing.

In view thereof, SPCPL had filed Criminal Interim Application bearing No.724 of 2021 in Criminal Appeal No.1051 of 2019 before High Court, Bombay for recalled and / or modified and / or varied the order dated 11th March 2020 to provide for the preliminary objection to the maintainability of the Criminal Appeal recorded in the orders dated 18th December 2019 and 4th February 2020 to be heard and decided prior in time. The said Interim Application is pending for hearing.

3. Inspector of Factory WB v. Subodh Dixit and Shapoorji Pallonji and Company Private Limited (Criminal Application No. 1323 of 2023)

Inspector of Factory, West Bengal has filed Complaint under BOCW Act against Subodh Dixit before Chief Judicial Magistrate, Alipur. The matter is currently pending.

4. State of Kerala (Legal Metrology) v. DLF Projects Ltd & Ors (SPCPL) (ST/0100668/2021)

State of Kerala (Legal Metrology) has filed case against DLF Projects Ltd & Ors (SPCPL) for weigh bridge issue (violations of the provisions of Legal Metrology Act and Rules made thereunder) before the JMFC, Kakkanad. The matter is currently pending.

B. Material Civil proceedings

Involving Our Promoter

1. Makson Engineering through its proprietor, Jagdish Makwana, (“**Petitioner**”) has initiated arbitration proceedings against SPCPL. The Petitioner is a sub-contractor hired by SPCPL. There was negligence to meet the timelines and inadequate supply of manpower, compelling SPCPL to reduce the scope of work. The Petitioner failed and neglected to fulfil labour payment and statutory

compliances. SPCPL terminated the work of the Petitioner. The Petitioner invoked arbitration clause but did not adhere to the clause and arbitrarily appointed an arbitrator and thereafter filed arbitration application before the Bombay High Court and by way of a court order Retd. Justice A.K. Menon was appointed sole arbitrator. Claim of the Petitioner is ₹ 3891.100 lakhs. SPCPL counter claim is Rs. 2302 lakhs. The matter is currently pending.

2. SPCPL has filed arbitration against Raheja Developers Limited (“RDL”) invoked for realising various claims amounting to Rs. 5,769 lakhs and counter claim of Rs. 2533 lakhs. SOC was filed on August 11, 2018 and SOD & CC reply on February 6, 2019. Matter is under suspension since RDL was declared insolvent.
3. SPCPL has filed arbitration against Raheja Developers Limited (“RDL”) invoked for realising various claims amounting to Rs. 1717 lakhs and counter claim of Rs. 373 lakhs SOC filed on August 11, 2018 and SOD & CC reply on February 6, 2019. Arbitration was in moratorium due to NCLT order on August 20, 2019 against RDL.
4. An Arbitration is invoked by both Black Canyon and SPCPL against each other. SPCPL’s claim is ₹ 550 lakhs and Black Canoyon’s claim is ₹ 11,111 lakhs. The matter is currently pending.
5. SPCPL has initiated an arbitration proceedings against Bhavnagar Energy Company Limited, for recovery of various claims amounting to INR 4002.8 lakhs. The tribunal passed award dated 26.11.2020 in favour of SPCPL and allowed claims of Rs. 249,78,31,286/- (Rupees Two Hundred and Forty-Nine Crores Seventy-Eight Lakh Thirty-One Thousand Two Hundred and Eighty Six only) along with interest at the rate of 12% per annum from 24.03.2017 till the date of realisation. Arbitral Tribunal also allowed the costs of Rs. 1,50,71,147/- (Rupees One Crore Fifty Lakh Seventy-One Thousand One Hundred Forty-Seven only) along with interest @12% p.a. from the date of the award i.e., 20.03.2020 till the date of realisation. BECL challenged the award by filing petition u/s 34 of Arbitration and Conciliation Act, bearing no. 1 of 2021, before the commercial Court at Bhavnagar. SPCPL also filed application for execution of the award. Both the applications are pending before the courts.
6. SPCPL invoked Arbitration against Steel Authority of India Limited (“SAIL”) wherein SAIL failed to pay outstanding dues, retention money along with prolongation claim approval inspite of project getting delay by 5.5 years for reasons attributable to client SPCPL invoked arbitration before ICA. The claim amount filed by SPCPL is ₹ 18,968 lakhs. The matter is currently pending
7. SPCPL invoked Arbitration against Steel Authority of India Limited (SAIL) wherein SAIL failed to pay outstanding dues, retention money along with prolongation claim approval before International Commercial Arbitration. SOC filed on 8.9.2021. The claim amount filed by SPCPL is ₹ 16,705 lakhs. SOD not submitted yet. SPCPL nominated Justice Aftab Alam as arbitrator. Respondent nominated arbitrator yet to be officially confirmed. The matter is currently pending.
8. SPCPL invoked Arbitration against West Bengal Housing Board (WBHB) on 28.04.2023 for claim amount of Rs. 179,12,93,037.00 & nominated Justice L. Nageswara Rao as our nominee arbitrator. WBHB rejected all claims and did not agree to arbitrator nominated by SPCPL & proposed Justice Jyotirmoy Bhattacharya as their nominee arbitrator. SPCPL filed Sec 11 before Calcutta HC for appointment of Sole Arbitrator. On 27.07.2023 Calcutta HC appointed Retd Justice K.M. Joseph to act as Arbitrator to resolve the disputes. On 26.08.2023 he denied continuing with the Arbitration due to the disagreement on the fees by WBHB. SPCPL thereafter made an application before HC Calcutta for substitution of Arbitrator. Retd Justice V. Ramasubramanian was appointed as Sole Arbitrator on 12.09.2023. Sole Arbitrator appointed by the Calcutta High Court on 12.09.2023. Respondent is to file its Statement of Defence and Counter Claim (if any). The matter is currently pending.
9. SPCPL invoked arbitration HLL Biotech Limited, due to failure of parties to reconcile outstanding dues. The award was passed against SPCPL disallowing all the claims of SPCPL and allowing the counter claims of HLL amounting to Rs. 3261 lakhs. SPCPL has challenged the award before the Hon'ble Madras High Court. The matter is currently pending.

10. SPCPL invoked arbitration Jhabua Power Limited (JHPL) due to non-payment of outstanding dues SOC filed in Mar'17. SOD & CC filed in Apr'17. Arbitration is in moratorium. NCLT order passed on 26.07.2018. NCLT action initiated, IRP appointed. New IRP (Mr. Abhilash Lal) recognized the claim and listed SPCPL as operational creditor and admitted its claim for notional amount of Rs. "1" SPCPL sought advise from counsel regarding admission of claim on notional amount of Rs. "1" and counsel confirmed that no further action is required from SPCPL end. SPCPL have issued a letter on 08.09.2022 to IRP and Jhabua for approval of Resolution Plan Claim amount is Rs. 1905 lakhs and counter claim is Rs. 1,000 lakhs. The matter is currently pending.
11. SPCPL invoked arbitration against Union of India, due to non-payment of outstanding dues amounting to Rs. 14500 lakhs. The matter is currently pending.
12. SPCPL has filed Arbitration against The Indure Private Limited (Indure) in front of Sole Arbitrator (Gita Mittal) for amounting to Rs. 5,96,800 lakhs. Indure forced Company to wrongfully extend the PBG inspite the project got commissioned in June '2014, Indure encashed 400 lakhs PBG dtd 10.2.2021 and Company have filed petition u/s 25 for non-submission of SOD by Indure. Indure filed application u/s 16 w.r.t barring of limitation. As per tribunal instruction filed appln u/s 31 (6) in place of Section 16. Arbitrator upheld Respondent's application under section-31 (6) of A&C Act & adjudicated that the claims are barred by limitation. Order received on 16.8.2022, against dismissal of arbitration Company had challenged in Delhi High Court. The matter is currently pending.
13. SPCPL has filed Arbitration against Reward Real Estate (RRE) in front of Sole Arbitrator (S.P. Kurdukar) amounting to Rs.6692 lakhs and counter claim amounting to Rs. 13,567 lakhs. To pursue outstanding dues of 484 lakhs , in 2011 Company approached court, As a result of proceedings, court appointed arbitrator u/s 11 of A & C Act, SOC was filed on 03.06.2013, SOD & CC filed on 21-12-2013, Cross-examination of Company was concluded on 29.06.2019 and Claimant's argument was concluded. The matter is currently pending.
14. SPCPL has filed Arbitration against Rattan India Power Limited and Elena Power and Infrastructure Limited in Supreme Court amounting to Rs. 18922 lakhs case no. SLP (c) 612400/2021. SPCPL has filed against the Order 7th April, 2021 wherein the disputes arising out of BoP works were held to be not Arbitrable on grounds that there is no agreement between the parties for referring their disputes arising out of the Additional works in Supreme Court, Arbitration stage to resume once extension is granted by Supreme court. NCLT petition of Company rejected, hence SPCPL moved to NCLAT. NCLAT matter to be pursued. Amount involved is ₹ 18922 lakhs. The matter is currently pending.
15. SPCPL has initiated an arbitration proceeding against Sinner Thermal Power Limited (STPL), ("Respondent"), for execution of the award of an amount INR 6519 lakhs. Award received on 22.4.2022 in favour of SPCPL INR 6519 lakhs (principal amount). They have filed section 34. NCLT admitted in July 2022. The matter is currently pending.
16. SPCPL has initiated an arbitration proceeding against Sarth Engineering and Constrution Pvt. Ltd. (Sub-contractor to SPCPL) ("Respondent") for an amount of INR 5010 lakhs, as the Respondent had abandoned works. Arbitration proceedings concluded. Award pronounced on February 08, 2014 in favour of SPCPL of INR 2260 lakhs against claim of INR 3359 lakhs. The petitioner has filed petition under section 36 in District court. The matter is currently pending.
17. SPCPL has initiated an arbitration proceeding against Lily Realty Pvt Ltd (Pashmina Developer), ("**Respondent**") for an amount of INR 91,960 Lakhs for non-payment of outstanding dues, further the Respondent has raised a counter claim against the petitioner for an amount of INR 61630 Lakhs. Arbitration tribunal had granted interim relief for INR 900 Lakhs. SPCPL had filed execution petition for the same. Respondent had filed writ petition against court order for attaching Lily's moveable property worth INR 900 Lakhs and Petitioner had filed objection to Respondent writ petition. Matter was listed on September 15, 2022 before Karnataka High Court ("**High Court**")

and High Court dismissed Respondents writ petition CW1, CW2, RW1 cross examination concluded. The matter is currently pending.

18. SPCPL has initiated an arbitration proceeding against Korba West Power Company Limited (Now Raigarh Energy Generation Ltd) (KORBA) (“**Respondent**”) for INR 2944 Lakhs. KORBA went into Resolution Process and accordingly, NCLT-Ahmedabad had passed order based on the RP's recommendations of the plan. Resolution Professional (RP) has not considered SPCPL's claim as the matter is in Arbitration. SPCPL submitted its appeal before NCLAT- New Delhi Bench, for adjudicating such rejection. Final Judgement received on 23.02.2023 wherein the Tribunal has not set aside the Resolution Plan but directed SPCPL to continue with the pending Arbitrations. An appeal has been filed by Adani Power Limited before the Hon'ble Supreme Court against the Judgement dated 23.02.2023 passed by NCLAT and final Judgement given on 24.03.2023 where Hon'ble Supreme court stated that although SPCPL can proceed with all legal remedies, incl. arbitration, however, even if the award is in favour of SPCPL, it will have no bearing on the rights and obligations of Adani Power, whose liability shall be governed only by the approved Resolution Plan. Last hearing held on 17.08.2023 where nobody participated for the respondent and respondent failed to deposit share of the Arbitrator's fee so the counterclaim raised by the respondent stands dismissed. The matter is currently pending.
19. SPCPL has initiated an arbitration proceeding against Korba West Power Company Limited (Now Raigarh Energy Generation Ltd) (KORBA) (“**Respondent**”) for an amount on INR 1577 Lakhs. KORBA went into Resolution Process and accordingly, NCLT-Ahmedabad had passed order wherein Resolution Professional (RP) has not considered SPCPL's claim as the matter is in Arbitration. SPCPL filed appeal before NCLAT- New Delhi Bench, for adjudicating such rejection. Final Judgement received on 23.02.2023 wherein the Tribunal has not set aside the Resolution Plan but directed SPCPL to continue with the pending Arbitrations. An appeal has been filed by Adani Power Limited before the Hon'ble Supreme Court against the Judgement dated 23.02.2023 passed by NCLAT and final Judgement given on 24.03.2023 where Hon'ble Supreme court stated that although SPCPL can proceed with all legal remedies, incl. arbitration, however, even if the award is in favour of SPCPL, it will have no bearing on the rights and obligations of Adani Power, whose liability shall be governed only by the approved Resolution Plan. Arguments completed on 22.05.2023. Award awaited.
20. SPCPL has filed an application before the High Court of Cuttack (“**High Court**”), against SEPCO Electric Power Construction Corporation (“**Respondent**”) for execution of decree of amount INR 4697 Lakhs. The details of Next date of hearing are awaited. The matter is currently pending.
21. SPCPL has initiated an arbitration proceeding against the Uttar Pradesh Awas Evam Vikas Parishad (UP Awas) for recovery of amount of INR 10,644 Lakhs for restraining and preventing respondent from continuing bidding process, protection against invoking of Bank Guarantee. The court has provided stay order by order under Section 9 of the Arbitration and Conciliation Act, 1996. Further the petitioner has filed the Statement of Claims (“SOC”) on March 24, 2022 and the respondent has filed the Statement of Defence (“SOD”) September 31, 2022. Further a Rejoinder was filed by the petitioner on September 26, 2022. In addition to the Arbitration proceedings, Respondent has filed a Special Leave petition challenging the order passed in Section 11 before the Apex Court. The same has been listed for arguments.
22. SPCPL has initiated an arbitration proceeding against the Central Public Work Department (CPWD), Union of India (UOI), (“**Respondent**”) for an amount of INR 23,952 Lakhs for recovery of claims of losses and damages, Non-payment of certified dues, Wrongful invocation of Bank Guarantees. Further application under Section 17 was filed by Petitioner for protection of PBG. The tribunal ordered in favour of the petitioner with respect to the said application and ordered the UOI to release INR 5,504 Lakhs on receipt of BG by petitioner. The petitioner has submitted the Bank Guarantee with UOI on September 04, 2023 and the amount of INR. 5,721 lakhs (incld interest) received on December 22, 2023. An appeal under Section 37 against the award has been filed by the Union of India before The Delhi High Court. Further the Respondent has to file the rejoinder to the arguments on April 23, 2024.

23. SPCPL has initiated an arbitration proceeding against the Central Public Work Department (CPWD), Union of India (UOI), (“**Respondent**”) for an amount of INR 11,656 Lakhs recovery of Non-payment of claims for losses and damages, Non-payment of certified dues, wrongful invocations of Bank guarantees. Further application under Section 17 was filed by Petitioner for protection of PBG and MABG. The tribunal ordered in favour of the petitioner with respect to the said application. The petitioner has filed Statements of Claims (“**SOC**”) on September 26, 2023. In response to the said SOC, Statement of Defence (“**SOD**”) was filed by CPWD on November 23, 2023. The petitioner is under process of filing the Rejoinder to the SOD. The matter is currently pending.
24. SPCPL has filed a petition under Section 9 of the Arbitration and Conciliation Act, 1996 before the High Court of Kerala (“**High Court**”) against the Union of India, (“**Respondent**”) challenging the order of termination of the Contract and unlawful invocation of Bank Guarantees. The said petition was returned back by court and in consequence Writ petition was filed by the petitioner under Article 226 of the Constitution of India. The respondent had submitted that out of INR 9,451 Lakhs, bank guarantee to the extent of INR 7800 Lakhs had already been invoked by the Union. The court directed the respondent not to invoke the remaining guarantee amounting to a sum of INR 1,650 Lakhs until February 27, 2024 and to maintain the status quo for such period which would imply that the respondent will not direct immediate removal of the machineries and that, if the labourers are being accommodated in the campus, the same should continue. The court has further granted a stay order by way of an order dated February 27, 2024, to continue to maintain status quo for a period of two weeks from the order. The matter is currently pending.
25. KBC Infrastructures Pvt Ltd v. Shapoorji Pallonji and Company Private Limited (CP(IB)-3886(MB)/2019) The matter involves a claim of 155 lakhs and is pending before NCLT- Mumbai.
26. SA Engineering v. Shapoorji Pallonji and Company Private Limited (C.P.(IB)-896/2023) The matter involves a claim of 123 lakhs and is pending before NCLT- Mumbai.
27. M/s Popular Switch Gears Pvt Ltd v. Shapoorji Pallonji and Company Private Limited The matter involves a claim of 281 lakhs and is pending before NCLT- Mumbai.

C. Material Tax proceedings

Involving our Promoter

Particulars	Amount involved (in lakhs)
Direct Taxation	9598.81
Indirect Taxation	7645.50

D. Statutory and Regulatory proceedings

SPCPL had received a show cause notice No. SEBI/HO/EAD-5/AN/NS/62718/1/2022 dated December 19, 2022 (“**Notice**”) in the matter of non-convertible debentures issued by SPCPL for ₹ 20,000 lakhs that were listed on the wholesale debt segment of BSE, for a short period of time between June 9, 2020 to March 31, 2021, during the COVID-19 pandemic (“**NCDs**”). The Notice had charged SPCPL with the alleged failure to comply with various disclosure obligations under the SEBI LODR Regulations in connection with the NCDs. By way of an adjudication order dated August 30, 2023, SEBI has levied a penalty of ₹ 7 lakhs for the alleged non-compliances, which has been paid by SPCPL on September 7, 2023.

III. Involving our Directors

A. Criminal proceedings

NIL

B. Material Civil proceedings

NIL

C. Material Tax proceedings

NIL

D. Statutory and Regulatory proceedings

NIL

IV. Involving our Group Companies which has a material impact on our Company

➤ **Against our Group Company**

A. Criminal Proceedings

1. *Forbes & Company Limited v. West Isle Fashions Pvt. Ltd. And Ors.*

West Isle was appointed as Distributor by Forbes & Company Limited and had supplied garments stocks to them. As Forbes & Company Limited did not received payment from West Isle a criminal complaint is filed against them for cheating. The matter for an amount of Rs. 63,54,699/- is pending before the Chief Metropolitan Court, Esplanade Court, Mumbai.

2. *Forbes & Company Limited v. State of Maharashtra and Ors.*

Forbes & Company Limited has filed this Special Criminal Petition in the Bombay High Court to grant leave to make the Court Receiver party in the Execution Application which Forbes wants to file in the Small Causes Court for Exection of order passed in TE & R Suit no. 23/23 of 2003.

B. Civil Proceedings

3. *The Board of Trustees of the Port of Mumbai v. Punjab Con-Cast Steel Ltd.(Nahar Intl.); State Bank of Patiala; Forbes & Company Limited & APL(India) P. Ltd.*

The Suit was files by the Board of Trustees of the Port of Mumbai against American President Lines Limited and the consignees claiming their demurrage charges in respect of ground rent. Forbes & Company Limited was an agent of its Shipping Principal American President Lines Limited under a Sub-Agency Agreement. The Agreement protected the interests of Forbes & Company Limited as an agent for claims pertaining to the agency period. The indemnity provisions survive the termination of the Agreement, thus safeguarding the interests of Forbes & Company Limited. Defendants to pay jointly and severally to the Plaintiff a sum of Rs.16,42,08,899 together with interest at 18% p.a. from the date of filing of the suit till payment and/or realisation. The matter is pending before the Bombay High Court.

4. *Aparna Properties Private Limited v. Forbes & Company Limited and others*

The suit for specific performance filed by Aparna Properties limited against Forbes & Company Limited and others with respect to flat situated in Volkart House, Bhulabhai Desai Road Mumbai. The matter for an amount of Rs. 32,00,00,000/- is pending before the Bombay High Court.

5. *Killick Nixon Ltd. and Anuj Kumar Rathi v. Forbes & Company Limited & Others*

The Appeal filed by Aparna Properties Private Limited against the order passed by the trial court in the suit for Eviction whereby Aparna Properties along with others were directed to vacate and handover the possession of the suit premises to Forbes & Company Limited. The matter for an amount of Rs. 5,00,00,000/- is pending before the Bombay High Court.

6. *Ms. Prudhvi Nadh Nooney & Others v. Forbes & Company Limited*

The Complaint in MahaRERA filed by Prudhvi Nadh Nooney, Ashwin Poojari and Praveen Noney for damages for delayed possession of flat purchased by them from Forbes & Company Limited. The matter for an amount of Rs. 3,55,04,371/- is pending before the Maha RERA Mumbai.

➤ **By our Group Company**

A. Criminal Proceedings

NIL

B. Civil Proceedings

1. *Forbes & Company Limited v. Sulzer Pumps India Limited*

Sulzer Pumps India Limited had placed order with Forbes & Company Limited for purchase of customized turbines equipment. When the order was ready for dispatch Sulzer declared itself frustrated on account of a force majeure event occurred at its Nagarjuna project site. Forbes filed the said application for Specific Performance for Rs. 2,55,04,779/- The matter is pending before the Bombay High Court.

2. *Forbes & Company Limited v. Wilo Mather and Platt Pumps Limited*

Wilo Mather and Platt Pumps Limited had placed order with Forbes & Company Limited for purchase of customized turbines equipment. When the order was ready for dispatch Wilo Mather and Platt Pumps Limited declared itself frustrated on account of a force majeure event occurred at its Nagarjuna project site. Forbes filed the said application for Specific Performance for Rs. 14,59,99,954/- The matter is pending before the Bombay High Court.

C. Regulatory and Statutory proceedings

NIL

D. Material Tax proceedings

NIL

Other Material Development after the date of last Audited Financial Statements as on March 01, 2024

In the opinion of our Board, except for approval of Scheme by the Hon'ble NCLT, there have not arisen since the date of the last audited financial statements, i.e., March 01, 2024, any circumstances that materially or adversely affect or are likely to affect our profitability taken as a whole or the value of our assets or our ability to pay our material liabilities within the next 12 months.

GOVERNMENT AND OTHER APPROVALS

Our Company was incorporated under Companies Act and has the following registrations

- a) Certificate of incorporation dated August 30, 2022, issued by the Registrar of Companies, Mumbai to our Company
- b) The Corporate Identity Number of our Company is U29256MH2022PLC389649L.
- c) Material approvals in relation to our Company's business and operations are provided below:*

S. No.	Particulars of License	License/ Consent/ Approval/ Ref No.	Issuing Authority	Date of Issuance / Renewal	Date of Expiry
1.	License to Store Compressed gas in pressure vessel or vessels	S/WC/MH/03/356(S101649)	Petroleum & Explosives Safety Organization (PESO), Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry	December 15, 2021	September 30, 2026
2.	Final No Objection Certificate from Fire Safety point of view	MIDC/Fire/D-52165	Maharashtra Industrial Development Corporation	December 31, 2020	
3.	1st Consent to Operate for Expansion & Renewal of Existing Consent to Operate along with their amalgamation under Orange category	ORANGE/L.S.I (O36) No:- Format1.0/APAE Section/UAN No.0000140491/CR /2211000929	Maharashtra Pollution Control Board	November 11, 2022	July 31, 2026
4.	Factory License (Waluj)	12350	Directorate of Industrial Safety and Health	December 23, 2023	December 31, 2024
5.	FactoryLicense (Chikalthana)	100008764	Directorate of Industrial Safety and Health	December 3, 2023	December 31, 2024
6.	Consent to operate under Section 26 of the Water Act, 1974 & under Section 21 of the Air Act, 1981 and Authorization / Renewal of Authorization under Rule 5 of H&OW (M&TM) rules 2016	MPCB-CONSENT-0000119698	Maharashtra Pollution Control Board	September 1, 2021	April 30, 2024
7.	Certificate of Stability	AEW/2021/FLC/A 05	Abhinav Engineering Works	January 22, 2021	

* The above licenses are in the name of the Demerged company and are in the process of transfer in the name of our Company.

A. Tax related approvals obtained by our Company

S. No.	Nature of Registration/ License	Registration/ No.	Issuing Authority	Date of Issue / Renewal	Date of Expiry
1.	PAN	AAFCF2015G	Income Tax Department	30/08/2022	Not Applicable
2.	TAN	MUMF11855E	Income Tax Department	30/08/2022	Not Applicable
3.	Goods and Services Tax Registration	27AAFCF2015G1Z1	The Central Board of Indirect Taxes and Customs	26/12/2022	Not Applicable

Clause 4.5 of the Scheme:

Upon the coming into effect of this Scheme and with effect from the Appointed Date, all permits, quotas, rights, entitlements, licenses including those relating to tenancies, privileges, power, facilities of every kind and description of whatsoever nature, leave and license agreements, trade mark licenses, copyrights including application for registration of trademarks or copyrights, storage & warehousing agreements, commission agreements, lease agreements, hire purchase agreements, franchise agreements in relation to the Demerged Undertaking to which the Demerged Company is a party or to the benefits of which the Demerged Company may be eligible and which are subsisting or having effect immediately before the Effective Date, shall be and remain in full force and effect in favour of or against Resulting Company as the case may be, and may be enforced as fully and effectually, as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or obligee thereto or thereunder.

OTHER REGULATORY AND STATUTORY DISCLOSURES

Authority of Listing

The Hon'ble NCLT has approved the Scheme, vide its Order dated February 09, 2023 (certified copy received by the Company on February 22, 2024). For more details relating to the Scheme please refer to the Section titled "Scheme of Arrangement" on page 42 of this Information Memorandum.

In accordance with the said Scheme, the equity shares of our Company issued pursuant to the Scheme shall be listed and admitted to trading on the BSE. Such listing and admission for trading is not automatic and is subject to fulfillment by the Company of criteria of BSE and also subject to such other terms and conditions as may be prescribed by BSE at the time of application by our Company seeking listing. Our Company has received no objection from BSE on the Scheme of Arrangement under Regulation 37 of the SEBI LODR Regulations vide their letter nos. DCS/AMAL/TL/R37/2816/2023-24 dated July 07, 2023.

The Company has received approval for listing of its equity shares on BSE vide their letter no. DCS/AMAL/TL/IP/3158/2024-25 dated April 26, 2024. Further, the Company has also received a letter bearing no. SEBI/HO/CFD/DCR/RAC-1/P/OW/2024/17446/1 dated May 22, 2024 from the SEBI in relation to relaxation from applicability of Rule 19(2)(b) of the SCRR for listing of the equity shares of Resulting Company on BSE.

Eligibility Criterion

There being no Initial public offering or rights issue, the eligibility criteria in terms of Chapter II of SEBI ICDR Regulations do not become applicable. However, SEBI vide its master circular SEBI/HO/CFD/POD-2/P/CIR/2023/93 dated June 20, 2023 as amended from time to time, has subject to certain conditions, permitted unlisted issuer companies to make an application for relaxing from the strict enforcement of Rule 19(2)(b) of SCRR, as amended. Our Company has submitted its Information Memorandum, containing information about itself, making disclosure in line with the disclosure requirement for public issues, as applicable, to Stock Exchanges, for making the said Information Memorandum available to public through their website viz. www.bseindia.com. Our Company has made the said Information Memorandum available on its website www.forbesprecision.co.in. Our Company has published an advertisement in the newspapers containing its details in line with the details required as per the above-mentioned circular on June 03, 2024. The advertisement draws specific reference to the availability of this Information Memorandum on its website.

Prohibition by SEBI

Our Company, its Promoters, its Promoter Group, its directors have not been prohibited from accessing the capital market or debarred from buying, selling or dealing in securities under any order or direction passed by SEBI or any securities market regulator in any other jurisdiction or any other authority/court.

Further, none of our Directors is a director or promoter of any other company which is currently debarred from accessing the capital markets by SEBI.

Association with the Securities Market

Further, none of the directors of the Company are associated with the securities market in any manner, and SEBI has not initiated any action against any entity, with whom the directors of the Company are associated in the past five years preceding the date of this Information Memorandum.

Willful defaulters by RBI

The Company, its promoter, its promoter group (as per the Companies Act) and other companies promoted by the Promoter are not identified as willful defaulters by RBI or other authorities.

Fugitive Economic Offences

None of our Promoters or Directors are declared as a fugitive economic offender under section 12 of the Fugitive Economic Offenders Act, 2018.

Compliance with Companies (Significant Beneficial Ownership) Rules, 2018

Our Company, Promoters and Promoter Group are in compliance with the Companies (Significant Beneficial Ownership) Rules, 2018 to the extent applicable.

Disclaimer clause of SEBI

“IT IS TO BE DISTINCTLY UNDERSTOOD THAT SUBMISSION OF THIS INFORMATION MEMORANDUM TO THE SECURITIES AND EXCHANGE BOARD OF INDIA (SEBI) SHOULD NOT IN ANY WAY BE DEEMED OR CONSTRUED THAT THE SAME HAS BEEN CLEARED OR APPROVED BY SEBI. SEBI DOES NOT TAKE ANY RESPONSIBILITY EITHER FOR THE FINANCIAL SOUNDNESS OF ANY SCHEME OR THE PROJECT FOR WHICH THE ISSUE IS PROPOSED TO BE MADE OR FOR THE CORRECTNESS OF THE STATEMENTS MADE OR OPINIONS EXPRESSED IN THIS INFORMATION MEMORANDUM.

THE FILING OF THIS INFORMATION MEMORANDUM DOES NOT, HOWEVER, ABSOLVE THE COMPANY FROM ANY LIABILITIES UNDER THE COMPANIES ACT, 2013 OR FROM THE REQUIREMENT OF OBTAINING SUCH STATUTORY OR OTHER CLEARANCES AS MAY BE REQUIRED FOR THE PURPOSE OF THE PROPOSED ISSUE. SEBI FURTHER RESERVES THE RIGHT TO TAKE UP, AT ANY POINT OF TIME, ANY IRREGULARITIES OR LAPSES IN THIS INFORMATION MEMORANDUM.”

General Disclaimer and Caution Statement from the Company

The Company accepts no responsibility for statements made otherwise than in the Information Memorandum or in the advertisements to be published in terms of Part II (A)(5) of the SEBI Master Circular no. SEBI/HO/CFD/POD-2/P/CIR/2023/93 dated June 20, 2023 or any other material issued by or at the instance of the Company and that anyone placing reliance on any other source of information would be doing so at his own risk. All information shall be made available by our Company to the public and investors at large and no selective or additional information would be available for a section of the investors in any manner.

Jurisdiction

Exclusive jurisdiction for the purpose of this Information Memorandum is with the competent courts / authorities in Mumbai, Maharashtra, India.

Disclaimer Clause - BSE

As required, a copy of the Draft Scheme was submitted to BSE. BSE has vide its letter no. DCS/AMAL/TL/R37/2816/2023-24 dated July 07, 2023 granted its observations on the Scheme of Arrangement under Regulation 37 of the SEBI LODR Regulations and by virtue of that approval, the BSE's name is included in this Information Memorandum as one of the Stock Exchanges on which the Company's securities are proposed to be listed.

As required, a copy of this Information Memorandum has been submitted to BSE.

Filing

Copy of this Information Memorandum has been filed with BSE.

Listing

Our Company has obtained In-principle listing approvals from BSE on April 26, 2024. Our Company shall make the applications for final listing and trading approval from BSE. The Company has BSE as Designated Stock Exchange for the aforesaid listing of shares. The Company ensure that it will take all steps for the completion of

necessary formalities for listing and commencement of trading at all the Stock Exchanges mentioned above within such period as approved by SEBI.

Demat Credit

The Company has executed Tri-partite Agreement dated March 7, 2024 with Registrar & Share Transfer Agent and CDSL and Tri-partite Agreement dated February 26, 2024 with Registrar & Share Transfer Agent and NSDL, for admitting its securities in demat form. The ISIN allotted to the Company's equity shares is INE0TT901016.

The Equity Shares have been allotted to those shareholders who have provided necessary details to the Company/RTA and/or who were holding their equity shares in erstwhile Forbes & Company Limited in demat form as on the Record Date i.e. March 07, 2024. The demat shares have been credited to the demat accounts of such shareholders by CDSL on March 20, 2024 and NSDL on March 22, 2024, March 23, 2024 and on March 30, 2024. On receipt of appropriate evidence from the concerned shareholders as to their respective entitlements, such shares shall be transferred from the said Demat Suspense Account to their respective demat accounts.

Expert Opinions

Save as stated elsewhere in this Information Memorandum, we have not obtained an expert opinion.

Previous Rights and Public Issues

Since incorporation, our Company has not issued Equity Shares in the form of rights issue or otherwise to the public.

Commission and brokerage on previous issues

Since our Company has not issued shares to the public in the past, no sum has been paid or has been payable as commission or brokerage for subscribing to or procuring or agreeing to procure subscription for any of the Equity Shares since its inception.

Capital Issue in the last 3 years

Neither our Company, nor any listed Group Company have made any capital issue during the last 3 years.

Outstanding debentures or bonds and redeemable preference shares and other instruments issued by our Company

There are no outstanding debentures or bonds and redeemable preference shares and other instruments issued by our Company.

Stock market date for equity shares

The equity shares of our Company are not listed on any stock exchange. Our Company is seeking approval for listing of its equity shares through this Information Memorandum.

Disposal of investor grievance of our Company

Link Intime India Private Limited are the Registrar & Share Transfer Agents of our Company. All investor grievances would be redressed within an average period of 30 days from the date of its receipt by our Company or its Registrar & Share Transfer Agent. Investors can contact our Company's Share Registrar & Share Transfer Agent or the Compliance Officer or the Secretarial Department of our Company in case of any share transfer related problem. The addresses and contact numbers are given in section titled "General Information" of this Information Memorandum. For quicker response, investors are requested to mention their contact numbers and email addresses while communicating their grievances.

Shareholders can express their grievances by sending mails to above e-mail id or raise complaints in SCORES (common portal introduced by SEBI). Our Company is registered on SCORES portal. Further, the Shareholders

can also raise their grievances with our Company Secretary and Compliance Officer. As on the date of this Information Memorandum, our Company has not received any investor complaints since incorporation.

Ms. Rupa Khanna is the Company Secretary and Compliance Officer of the Company is vested with responsibility of addressing the Investor Grievance(s) in coordination with Registrar & Transfer Agents.

Capitalization of Reserves or Profits

Our Company has not capitalised reserves or profits since incorporation.

Revaluation of Assets

Our Company has not revalued its assets since incorporation.

Undertaking

The complaints received from the investors shall be attended to by the Company expeditiously and satisfactorily. All steps for completion of the necessary formalities for listing and commencement of trading at all stock exchanges where the securities are to be listed are taken within the period prescribed by SEBI.

Changes in auditors

There has been no change in the Statutory Auditors of the Company during last three years.

Auditor qualifications which have not been given effect to in the financial statements

There is no audit qualification in the financial statements as disclosed in the Information Memorandum.

MAIN PROVISIONS OF THE ARTICLES OF ASSOCIATION
(THE COMPANIES ACT, 2013)
(PUBLIC COMPANY LIMITED BY SHARES)
ARTICLES OF ASSOCIATION
OF
FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED

TABLE F
ARTICLES OF ASSOCIATION
OF
FORBES PRECISION TOOLS AND MACHINE PARTS LIMITED
(COMPANY LIMITED BY SHARES)

Interpretations

I.

(1) In these regulations-

- (a) "the Act" means the Companies Act, 2013,
- (b) "the seal" means the common seal of the company.

(2) Unless the context otherwise requires, words or expressions contained in these regulations shall bear the same meaning as in the Act or any statutory modification thereof in force at the date at which these regulations become binding on the company.

(3) PUBLIC COMPANY

- (i) The Company is Public Company within the meaning of Section 2(71) of the Companies Act, 2013 and it means a Company having a minimum paid-up share capital or such higher paid-up capital as may be prescribed, and which by its articles)

Share capital and variation of rights

II.

- (1) Subject to the provisions of the Act and these Articles, the shares in the capital of the company shall be under the control of the Directors who may issue, allot or otherwise dispose of the same or any of them to such persons, in such proportion and on such terms and conditions and either at a premium or at par and at such time as they may from time to time think fit.

- (a) The Authorised Share Capital of the Company shall be as per Clause V of the Memorandum of Association of the Company with rights to alter the same in whatever way as deemed fit by the Company. The company may increase or decrease the Authorised Share Capital in accordance with Company's regulations and legislative provisions for the time being in that behalf.

- (b) The Company may, subject to the provisions of Section 55 of the said Act, issue preference shares which are liable to be redeemed and may redeem such shares in any manner provided

in the said section and may issue shares up to the nominal amount of the shares redeemed or to be redeemed. Where the Company has issued redeemable preference shares the provisions of the said section shall be complied with.

- (c) The Company shall have right to issue Differential Equity Shares with Differential Voting Rights.
 - (d) The Company shall have right to issue Compulsory Convertible Debentures (CCDs) carrying interest which shall be credited as fully paid, free and clear of all Encumbrances for and aggregate.
 - (e) The Investor shall, on conversion of the CCDs hold (together with the Differential Equity Shares already allotted) paid-up equity share capital of the Company on the date of conversion shall be as set out.
 - (f) The Company shall issue Right shares which shall include Right of Renunciation, Private Placement of shares, preferential allotment of shares and Employee Stock Option Scheme (ESOP) and Sweat Equity Shares.
 - (g) If at any time share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of the issue of the shares of that class) may, subject to the provisions of Section 48 of the Companies Act, 2013, and whether or not the Company is being wound-up, be varied with the consent in writing of the holders of three-fourth of the issued shares of that class, or with the sanction of a special resolution passed at a separate meeting of the holders of the shares of that class.
 - (h) To every such separate meeting, the provision of these regulations relating to general meeting shall apply.
- (2) (i) Every person whose name is entered as a member in the register of members shall be entitled to receive within two months after incorporation, in case of subscribers to the memorandum or after allotment or within one month after the application for the registration of transfer or transmission or within such other period as the conditions of issue shall be provided,-
- (a) one certificate for all his shares without payment of any charges; or
 - (b) several certificates, each for one or more of his shares, upon payment of twenty rupees for each certificate after the first.
- (ii) Every certificate shall be under the seal and shall specify the shares to which it relates and the amount paid-up thereon.
- (iii) In respect of any share or shares held jointly by several persons, the company shall not be bound to issue more than one certificate, and delivery of a certificate for a share to one of several joint holders shall be sufficient delivery to all such holders
- (3) (i) If any share certificate be worn out, defaced, mutilated or torn or if there be no further space on the back for endorsement of transfer, then upon production and surrender thereof to the company, a new certificate may be issued in lieu thereof, and if any certificate is lost or destroyed then upon proof thereof to the satisfaction of the company and on execution of such indemnity as the company

deem adequate, a new certificate in lieu thereof shall be given. Every certificate under this Article shall be issued on payment of twenty rupees for each certificate.

(ii) The provisions of Articles (2) and (3) shall mutatis mutandis apply to debentures of the company.

(4) Except as required by law, no person shall be recognised by the company as holding any share upon any trust, and the company shall not be bound by, or be compelled in any way to recognise (even when having notice thereof) any equitable, contingent, future or partial interest in any share, or any interest in any fractional part of a share, or (except only as by these regulations or by law otherwise provided) any other rights in respect of any share except an absolute right to the entirety thereof in the registered holder.

(5) (i) The company may exercise the powers of paying commissions conferred by sub-section (6) of section 40, provided that the rate per cent or the amount of the commission paid or agreed to be paid shall be disclosed in the manner required by that section and rules made thereunder.

(ii) The rate or amount of the commission shall not exceed the rate or amount prescribed in rules made under sub-section (6) of section 40.

(iii) The commission may be satisfied by the payment of cash or the allotment of fully or partly paid shares or partly in the one way and partly in the other.

(6) (i) If at any time the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may, subject to the provisions of section 48, and whether or not the company is being wound up, be varied with the consent in writing of the holders of three-fourths of the issued shares of that class, or with the sanction of a special resolution passed at a separate meeting of the holders of the shares of that class.

(ii) To every such separate meeting, the provisions of these regulations relating to general meetings shall mutatis mutandis apply, but so that the necessary quorum shall be at least two persons holding at least one-third of the issued shares of the class in question.

(7) The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of issue of the shares of that class, be deemed to be varied by the creation or issue of further shares ranking *pari passu* therewith.

(8) Subject to the provisions of section 55, any preference shares may, with the sanction of an ordinary resolution, be issued on the terms that they are to be redeemed on such terms and in such manner as the company before the issue of the shares may, by special resolution, determine.

Lien

(9) (i) The company shall have a first and paramount lien-

(a) on every share (not being a fully paid share), for all monies (whether presently payable or not) called, or payable at a fixed time, in respect of that share; and

(b) on all shares (not being fully paid shares) standing registered in the name of a single person, for all monies presently payable by him or his estate to the company:

Provided that the Board of directors may at any time declare any share to be wholly or in part exempt from the provisions of this clause.

(ii) The company's lien, if any, on a share shall extend to all dividends payable and bonuses declared from time to time in respect of such shares.

(10) The company may sell, in such manner as the Board thinks fit, any shares on which the company has a lien:

Provided that no sale shall be made-

a) unless a sum in respect of which the lien exists is presently payable; or

b) until the expiration of fourteen days after a notice in writing stating and demanding payment of such part of the amount in respect of which the lien exists as is presently payable, has been given to the registered holder for the time being of the share or the person entitled thereto by reason of his death or insolvency.

(11) (i) To give effect to any such sale, the Board may authorise some person to transfer the shares sold to the purchaser thereof.

(ii) The purchaser shall be registered as the holder of the shares comprised in any such transfer.

(iii) The purchaser shall not be bound to see to the application of the purchase money, nor shall his title to the shares be affected by any irregularity or invalidity in the proceedings in reference to the sale.

(12) (i) The proceeds of the sale shall be received by the company and applied in payment of such part of the amount in respect of which the lien exists as is presently payable.

(ii) The residue, if any, shall, subject to a like lien for sums not presently payable as existed upon the shares before the sale, be paid to the person entitled to the shares at the date of the sale.

Calls on shares

(13) (i) The Board may, from time to time, make calls upon the members in respect of any monies unpaid on their shares (whether on account of the nominal value of the shares or by way of premium) and not by the conditions of allotment thereof made payable at fixed times:

Provided that no call shall exceed one-fourth of the nominal value of the share or be payable at less than one month from the date fixed for the payment of the last preceding call.

(ii) Each member shall, subject to receiving at least fourteen days' notice specifying the time or times and place of payment, pay to the company, at the time or times and place so specified, the amount called on his shares.

(iii) A call may be revoked or postponed at the discretion of the Board.

(14) A call shall be deemed to have been made at the time when the resolution of the Board authorizing the call was passed and may be required to be paid by instalments.

*(14a) Option or right to call of shares shall not be given to any person except with the sanction of the company in general meeting.

**** The Article of Association was amended by inserting clause 14a by way of Special Resolution passed by the shareholders of the Company in Extraordinary General Meeting (EGM) held on 16/01/2024.***

- (15) The joint holders of a share shall be jointly and severally liable to pay all calls in respect thereof.
A call is deemed to have been made at time when the resolution of the Board authorizing the call was passed and may be required to be paid by installments
- (16) (i) If a sum called in respect of a share is not paid before or on the day appointed for payment thereof, the person from whom the sum is due shall pay interest thereon from the day appointed for payment thereof to the time of actual payment at ten per cent per annum or at such lower rate, if any, as the Board may determine.
(ii) The Board shall be at liberty to waive payment of any such interest wholly or in part.
- (17) (i) Any sum which by the terms of issue of a share becomes payable on allotment or at any fixed date, whether on account of the nominal value of the share or by way of premium, shall, for the purposes of these regulations, be deemed to be a call duly made and payable on the date on which by the terms of issue such sum becomes payable.
(ii) In case of non-payment of such sum, all the relevant provisions of these regulations as to payment of interest and expenses, forfeiture or otherwise shall apply as if such sum had become payable by virtue of a call duly made and notified.
- (18) Any sum which by the terms of issue of a share becomes payable on allotment or at any fixed date, whether on account of nominal value of the share or by way of premium, shall, for the purpose of these regulations, be deemed to be a call duly made and payable on the date which by the terms of issue such sum become payable.
(b) In case of non-payment of such sum, all the relevant provisions of these regulations as to payment of interest and expenses, forfeiture or other shall apply as if such sum had become payable by virtue a call duly made and notified.

The Board-

- (a) may, if it thinks fit, receive from any member willing to advance the same, all or any part of the monies uncalled and unpaid upon any shares held by him; and
(b) upon all or any of the monies so advanced, may (until the same would, but for such advance, become presently payable) pay interest at such rate not exceeding, unless the company in general meeting shall otherwise direct, twelve per cent per annum, as may be agreed upon between the Board and the member paying the sum in advance.

Transfer of shares

- (19) (i) The instrument of transfer of any share in the company shall be executed by or on behalf of both the transferor and transferee.
(ii) The transferor shall be deemed to remain a holder of the share until the name of the transferee is entered in the register of members in respect thereof.

- (20) The Board may, subject to the right of appeal conferred by section 58 decline to register-
- (a) the transfer of a share, not being a fully paid share, to a person of whom they do not approve;
or
 - (b) any transfer of shares on which the company has a lien.
- (21) The Board may decline to recognise any instrument of transfer unless-
- (a) the instrument of transfer is in the form as prescribed in rules made under sub-section (1) of section 56;
 - (b) the instrument of transfer is accompanied by the certificate of the shares to which it relates, and such other evidence as the Board may reasonably require to show the right of the transferor to make the transfer; and
 - (c) the instrument of transfer is in respect of only one class of shares.
- (22) On giving not less than seven days' previous notice in accordance with section 91 and rules made thereunder, the registration of transfers may be suspended at such times and for such periods as the Board may from time to time determine:

Provided that such registration shall not be suspended for more than thirty days at any one time or for more than forty-five days in the aggregate in any year.

Transmission of Shares

- (23) (i) On the death of a member, the survivor or survivors where the member was a joint holder, and his nominee or nominees or legal representatives where he was a sole holder, shall be the only persons recognised by the company as having any title to his interest in the shares
- (ii) Nothing in clause (i) shall release the estate of a deceased joint holder from any liability in respect of any share which had been jointly held by him with other persons.
- (24) (i) Any person becoming entitled to a share in consequence of the death or insolvency of a member may, upon such evidence being produced as may from time to time properly be required by the Board and subject as hereinafter provided, elect, either-
- (a) to be registered himself as holder of the share; or
 - (b) to make such transfer of the share as the deceased or insolvent member could have made.
- (ii) The Board shall, in either case, have the same right to decline or suspend registration as it would have had, if the deceased or insolvent member had transferred the share before his death or insolvency.
- (25) (i) If the person so becoming entitled shall elect to be registered as holder of the share himself, he shall deliver or send to the company a notice in writing signed by him stating that he so elects.
- (ii) If the person aforesaid shall elect to transfer the share, he shall testify his election by executing

a transfer of the share.

(iii) All the limitations, restrictions and provisions of these regulations relating to the right to transfer and the registration of transfers of shares shall be applicable to any such notice or transfer as aforesaid as if the death or insolvency of the member had not occurred and the notice or transfer were a transfer signed by that member.

- (26) A person becoming entitled to a share by reason of the death or insolvency of the holder shall be entitled to the same dividends and other advantages to which he would be entitled if he were the registered holder of the share, except that he shall not, before being registered as a member in respect of the share, be entitled in respect of it to exercise any right conferred by membership in relation to meetings of the company:

Provided that the Board may, at any time, give notice requiring any such person to elect either to be registered himself or to transfer the share, and if the notice is not complied with within ninety days, the Board may thereafter withhold payment of all dividends, bonuses or other monies payable in respect of the share, until the requirements of the notice have been complied with.

Forfeiture of shares

- (27) If a member fails to pay any call, or instalment of a call, on the day appointed for payment thereof, the Board may, at any time thereafter during such time as any part of the call or instalment remains unpaid, serve a notice on him requiring payment of so much of the call or instalment as is unpaid, together with any interest which may have accrued.

- (28) The notice aforesaid shall-

(a) name a further day (not being earlier than the expiry of fourteen days from the date of service of the notice) on or before which the payment required by the notice is to be made; and

(b) state that, in the event of non-payment on or before the day so named, the shares in respect of which the call was made shall be liable to be forfeited.

- (29) If the requirements of any such notice as aforesaid are not complied with, any share in respect of which the notice has been given may, at any time thereafter, before the payment required by the notice has been made, be forfeited by a resolution of the Board to that effect.

- (30)(i) A forfeited share may be sold or otherwise disposed of on such terms and in such manner as the Board thinks fit.

(ii) At any time before a sale or disposal as aforesaid, the Board may cancel the forfeiture on such terms as it thinks fit.

- (31)(i) A person whose shares have been forfeited shall cease to be a member in respect of the forfeited shares, but shall, notwithstanding the forfeiture, remain liable to pay to the company all monies which, at the date of forfeiture, were presently payable by him to the company in respect of the shares.

(ii) The liability of such person shall cease if and when the company shall have received payment in full of all such monies in respect of the shares.

- (32)(i) A duly verified declaration in writing that the declarant is a director, the manager or the

secretary, of the company, and that a share in the company has been duly forfeited on a date stated in the declaration, shall be conclusive evidence of the facts therein stated as against all persons claiming to be entitled to the share;

(ii) The company may receive the consideration, if any, given for the share on any sale or disposal thereof and may execute a transfer of the share in favour of the person to whom the share is sold or disposed of;

(iii) The transferee shall thereupon be registered as the holder of the share; and

(iv) The transferee shall not be bound to see to the application of the purchase money, if any, nor shall his title to the share be affected by any irregularity or invalidity in the proceedings in reference to the forfeiture, sale or disposal of the share.

(33) The provisions of these regulations as to forfeiture shall apply in the case of nonpayment of any sum which, by the terms of issue of a share, becomes payable at a fixed time, whether on account of the nominal value of the share or by way of premium, as if the same had been payable by virtue of a call duly made and notified.

Alteration of capital

(34) The company may, from time to time, by ordinary resolution increase the share capital by such sum, to be divided into shares of such amount, as may be specified in the resolution.

(35) Subject to the provisions of section 61, the company may, by ordinary resolution,-

(a) consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;

(b) convert all or any of its fully paid-up shares into stock, and reconvert that stock into fully paid-up shares of any denomination;

(c) sub-divide its existing shares or any of them into shares of smaller amount than is fixed by the memorandum;

(d) cancel any shares which, at the date of the passing of the resolution, have not been taken or agreed to be taken by any person.

(36) Where shares are converted into stock,-

(a) the holders of stock may transfer the same or any part thereof in the same manner as, and subject to the same regulations under which, the shares from which the stock arose might before the conversion have been transferred, or as near thereto as circumstances admit:

Provided that the Board may, from time to time, fix the minimum amount of stock transferable, so, however, that such minimum shall not exceed the nominal amount of the shares from which the stock arose.

(b) the holders of stock shall, according to the amount of stock held by them, have the same rights, privileges and advantages as regards dividends, voting at meetings of the company, and other matters, as if they held the shares from which the stock arose; but no such privilege or advantage

(except participation in the dividends and profits of the company and in the assets on winding up) shall be conferred by an amount of stock which would not, if existing in shares, have conferred that privilege or advantage.

(c) such of the regulations of the company as are applicable to paid-up shares shall apply to stock and the words "share" and "shareholder" in those regulations shall include "stock" and "stockholder" respectively.

(37)The company may, by special resolution, reduce in any manner and with, and subject to, any incident authorised and consent required by law,-

(a) its share capital;

(b) any capital redemption reserve account; or

(c) any share premium account.

Capitalisation of Profits

(38)(i) The company in general meeting may, upon the recommendation of the Board, resolve-

(a) that it is desirable to capitalise any part of the amount for the time being standing to the credit of any of the company's reserve accounts, or to the credit of the, profit and loss account, or otherwise available for distribution; and

(b) that such sum be accordingly set free for distribution in the manner specified in clause (ii) amongst the members who would have been entitled thereto, if distributed by way of dividend and in the same proportions.

(ii) The sum aforesaid shall not be paid in cash but shall be applied, subject to the provision contained in clause (iii), either in or towards-

(A) paying up any amounts for the time being unpaid on any shares held by such members respectively;

(B) paying up in full, unissued shares of the company to be allotted and distributed, credited as fully paid-up, to and amongst such members in the proportions aforesaid;

(C) partly in the way specified in sub-clause (A) and partly in that specified in sub-clause (B);

(D) A securities premium account and a capital redemption reserve account may, for the purposes of this regulation, be applied in the paying up of unissued shares to be issued to members of the company as fully paid bonus shares;

(E) The Board shall give effect to the resolution passed by the company in pursuance of this regulation.

(39)(i) Whenever such a resolution as aforesaid shall have been passed, the Board shall-

(a) make all appropriations and applications of the undivided profits resolved to be capitalised thereby, and all allotments and issues of fully paid shares if any; and

(b) generally do all acts and things required to give effect thereto.

(ii) The Board shall have power-

(a) to make such provisions, by the issue of fractional certificates or by payment in cash or otherwise as it thinks fit, for the case of shares becoming distributable in fractions; and

(b) to authorise any person to enter, on behalf of all the members entitled thereto, into an agreement with the company providing for the allotment to them respectively, credited as fully paid-up, of any further shares to which they may be entitled upon such capitalisation, or as the case may require, for the payment by the company on their behalf, by the application thereto of their respective proportions of profits resolved to be capitalised, of the amount or any part of the amounts remaining unpaid on their existing shares;

(iii) Any agreement made under such authority shall be effective and binding on such members.

Buy-back of shares

(40) Notwithstanding anything contained in these articles but subject to the provisions of sections 68 to 70 and any other applicable provision of the Act or any other law for the time being in force, the company may purchase its own shares or other specified securities.

General Meetings

(41) All general meetings other than annual general meeting shall be called extraordinary general meeting.

(42)(i) The Board may, whenever it thinks fit, call an extraordinary general meeting.

(ii) If at any time directors capable of acting who are sufficient in number to form a quorum are not within India, any director or any two members of the company may call an extraordinary general meeting in the same manner, as nearly as possible, as that in which such a meeting may be called by the Board.

Proceedings at general meetings

(43)(i) No business shall be transacted at any general meeting unless a quorum of members is present at the time when the meeting proceeds to business.

(ii) Save as otherwise provided herein, the quorum for the general meetings shall be as provided in section 103.

(44) The chairperson, if any, of the Board shall preside as Chairperson at every general meeting of the company.

(45) If there is no such Chairperson, or if he is not present within fifteen minutes after the time appointed for holding the meeting, or is unwilling to act as chairperson of the meeting, the directors present shall elect one of their members to be Chairperson of the meeting.

(46) If at any meeting no director is willing to act as Chairperson or if no director is present within fifteen minutes after the time appointed for holding the meeting, the members present shall choose one of their members to be Chairperson of the meeting.

Adjournment of meeting

(47)(i) The Chairperson may, with the consent of any meeting at which a quorum is present, and shall, if so directed by the meeting, adjourn the meeting from time to time and from place to place.

(ii) No business shall be transacted at any adjourned meeting other than the business left unfinished at the meeting from which the adjournment took place.

(iii) When a meeting is adjourned for thirty days or more, notice of the adjourned meeting shall be given as in the case of an original meeting.

(iv) Save as aforesaid, and as provided in section 103 of the Act, it shall not be necessary to give any notice of an adjournment or of the business to be transacted at an adjourned meeting.

Voting Rights

(48) Subject to any rights or restrictions for the time being attached to any class or classes of shares,-

(a) on a show of hands, every member present in person shall have one vote; and

(c) on a poll, the voting rights of members shall be in proportion to his share in the paid-up equity share capital of the company.

(49) A member may exercise his vote at a meeting by electronic means in accordance with section 108 and shall vote only once.

(50)(i) In the case of joint holders, the vote of the senior who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders.

(ii) For this purpose, seniority shall be determined by the order in which the names stand in the register of members.

(51) A member of unsound mind, or in respect of whom an order has been made by any court having jurisdiction in lunacy, may vote, whether on a show of hands or on a poll, by his committee or other legal guardian, and any such committee or guardian may, on a poll, vote by proxy.

(52) Any business other than that upon which a poll has been demanded may be proceeded with, pending the taking of the poll.

(53) No member shall be entitled to vote at any general meeting unless all calls or other sums presently payable by him in respect of shares in the company have been paid

(54)(i) No objection shall be raised to the qualification of any voter except at the meeting or adjourned meeting at which the vote objected to is given or tendered, and every vote not disallowed at such meeting shall be valid for all purposes.

(ii) Any such objection made in due time shall be referred to the Chairperson of the meeting, whose decision shall be final and conclusive.

Proxy

(55) The instrument appointing a proxy and the power-of-attorney or other authority, if any, under which it is signed or a notarised copy of that power or authority, shall be deposited at the registered office of the company not less than 48 hours before the time for holding the meeting or adjourned meeting at which the person named in the instrument proposes to vote, or, in the case of a poll, not less than 24 hours before the time appointed for the taking of the poll; and in default the instrument of proxy shall not be treated as valid.

(56) An instrument appointing a proxy shall be in the form as prescribed in the rules made under section 105.

(57) A vote given in accordance with the terms of an instrument of proxy shall be valid, notwithstanding the previous death or insanity of the principal or the revocation of the proxy or of the authority under which the proxy was executed, or the transfer of the shares in respect of which the proxy is given: Provided that no intimation in writing of such death, insanity, revocation or transfer shall have been received by the company at its office before the commencement of the meeting or adjourned meeting at which the proxy is used.

Board of Directors

(58) The number of the directors and the names of the first directors shall be determined in writing by the subscribers of the memorandum or a majority of them.

The First Board of Directors are:

- 1) Ms. Rupa Pawan Khanna
- 2) Mr. Nirmal Chandmal Jagawat
- 3) Mr. Ravinder Chander Prem

Directors do not require to hold any qualification shares

(59)(i) The remuneration of the directors shall, in so far as it consists of a monthly payment, be deemed to accrue from day-to-day.

(ii) In addition to the remuneration payable to them in pursuance of the Act, the directors may be paid all travelling, hotel and other expenses properly incurred by them-

(a) in attending and returning from meetings of the Board of Directors or any committee thereof or general meetings of the company; or

- (c) in connection with the business of the company.
- (60) The Board may pay all expenses incurred in getting up and registering the company.
- (61) The company may exercise the powers conferred on it by section 88 with regard to the keeping of a foreign register; and the Board may (subject to the provisions of that section) make and vary such regulations as it may think fit respecting the keeping of any such register.
- (62) All cheques, promissory notes, drafts, hundis, bills of exchange and other negotiable instruments, and all receipts for monies paid to the company, shall be signed, drawn, accepted, endorsed, or otherwise executed, as the case may be, by such person and in such manner as the Board shall from time to time by resolution determine.
- (63) Every director present at any meeting of the Board or of a committee thereof shall sign his name in a book to be kept for that purpose.
- (64)(i) Subject to the provisions of section 149, the Board shall have power at any time, and from time to time, to appoint a person as an additional director, provided the number of the directors and additional directors together shall not at any time exceed the maximum strength fixed for the Board by the articles.
- (ii) Such person shall hold office only up to the date of the next annual general meeting of the company but shall be eligible for appointment by the company as a director at that meeting subject to the provisions of the Act.

Proceedings of the Board

- (65)(i) The Board of Directors may meet for the conduct of business, adjourn and otherwise regulate its meetings, as it thinks fit.
- (ii) A director may, and the manager or secretary on the requisition of a director shall, at any time, summon a meeting of the Board.
- (66)(i) Save as otherwise expressly provided in the Act, questions arising at any meeting of the Board shall be decided by a majority of votes.
- (ii) In case of an equality of votes, the Chairperson of the Board, if any, shall have a second or casting vote.
- (67) The continuing directors may act notwithstanding any vacancy in the Board; but, if and so long as their number is reduced below the quorum fixed by the Act for a meeting of the Board, the continuing directors or director may act for the purpose of increasing the number of directors to that fixed for the quorum, or of summoning a general meeting of the company, but for no other purpose.
- (68)(i) The Board may elect a Chairperson of its meetings and determine the period for which he is to hold office.

- (ii) If no such Chairperson is elected, or if at any meeting the Chairperson is not present within five minutes after the time appointed for holding the meeting, the directors present may choose one of their number to be Chairperson of the meeting.
- (69)(i) The Board may, subject to the provisions of the Act, delegate any of its powers to committees consisting of such member or members of its body as it thinks fit.
- (ii) Any committee so formed shall, in the exercise of the powers so delegated, conform to any regulations that may be imposed on it by the Board.
- (70)(i) A committee may elect a Chairperson of its meetings.
- (ii) If no such Chairperson is elected, or if at any meeting the Chairperson is not present within five minutes after the time appointed for holding the meeting, the members present may choose one of their members to be Chairperson of the meeting.
- (71)(i) A committee may meet and adjourn as it thinks fit.
- (ii) Questions arising at any meeting of a committee shall be determined by a majority of votes of the members present, and in case of an equality of votes, the Chairperson shall have a second or casting vote.
- (72) All acts done in any meeting of the Board or of a committee thereof or by any person acting as a director, shall, notwithstanding that it may be afterwards discovered that there was some defect in the appointment of any one or more of such directors or of any person acting as aforesaid, or that they or any of them were disqualified, be as valid as if every such director or such person had been duly appointed and was qualified to be a director.
- (73) Save as otherwise expressly provided in the Act, a resolution in writing, signed by all the members of the Board or of a committee thereof, for the time being entitled to receive notice of a meeting of the Board or committee, shall be valid and effective as if it had been passed at a meeting of the Board or committee, duly convened and held.
- Chief Executive Officer, Manager, Company Secretary or Chief Financial Officer
- (74) Subject to the provisions of the Act,-
- (i) A chief executive officer, manager, company secretary or chief financial officer may be appointed by the Board for such term, at such remuneration and upon such conditions as it may think fit; and any chief executive officer, manager, company secretary or chief financial officer so appointed may be removed by means of a resolution of the Board;
- (ii) A director may be appointed as chief executive officer, manager, company secretary or chief financial officer
- (75) A provision of the Act or these regulations requiring or authorising a thing to be done by or to a director and chief executive officer, manager, company secretary or chief financial officer shall not be satisfied by its being done by or to the same person acting both as director and as, or in place of, chief executive officer, manager, company secretary or chief financial officer.

The Seal

(76)(i) The Board shall provide for the safe custody of the seal.

(ii) The seal of the company shall not be affixed to any instrument except by the authority of a resolution of the Board or of a committee of the Board authorised by it in that behalf, and except in the presence of any one Director or Company Secretary or Chief Financial Officer or such other officers as may be authorised by any resolution of the Board of Directors or any Committee of the Board of Directors.

"Explanation: For the purposes of this sub-paragraph it is hereby clarified that on and from the commencement of the Companies (Amendment) Act, 2015 (21 of 2015), i.e. with effect from the 29th May, 2015, company may not be required to have the seal by virtue of registration under the Act and if a company does not have the seal, the provisions of this sub-paragraph shall not be applicable."

(iii) The Company shall also be at liberty to have an official seal in accordance with the provisions of the Act, for use in any territory, district or place outside India.

Dividend and Reserve

(77) The company in general meeting may declare dividends, but no dividend shall exceed the amount recommended by the Board.

(78) Subject to the provisions of section 123, the Board may from time to time pay to the members such interim dividends as appear to it to be justified by the profits of the company.

(79)(i) The Board may, before recommending any dividend, set aside out of the profits of the company such sums as it thinks fit as a reserve or reserves which shall, at the discretion of the Board, be applicable for any purpose to which the profits of the company may be properly applied, including provision for meeting contingencies or for equalizing dividends; and pending such application, may, at the like discretion, either be employed in the business of the company or be invested in such investments (other than shares of the company) as the Board may, from time to time, think fit.

(ii) The Board may also carry forward any profits which it may consider necessary not to divide, without setting them aside as a reserve.

(80)(i) Subject to the rights of persons, if any, entitled to shares with special rights as to dividends, all dividends shall be declared and paid according to the amounts paid or credited as paid on the shares in respect whereof the dividend is paid, but if and so long as nothing is paid upon any of the shares in the company, dividends may be declared and paid according to the amounts of the shares.

(ii) No amount paid or credited as paid on a share in advance of calls shall be treated for the purposes of this regulation as paid on the share. (iii) All dividends shall be apportioned and paid proportionately to the amounts paid or credited as paid on the shares during any portion or portions of the period in respect of which the dividend

is paid; but if any share is issued on terms providing that it shall rank for dividend as from a particular date such share shall rank for dividend accordingly.

*(iv) No unclaimed or unpaid dividend shall be forfeited by the Board and all unclaimed dividends shall be dealt with in accordance with the provisions of the Act.

(81)The Board may deduct from any dividend payable to any member all sums of money, if any, presently payable by him to the company on account of calls or otherwise in relation to the shares of the company.

(82)(i) Any dividend, interest or other monies payable in cash in respect of shares may be paid by cheque or warrant sent through the post directed to the registered address of the holder or, in the case of joint holders, to the registered address of that one of the joint holders who is first named on the register of members, or to such person and to such address as the holder or joint holders may in writing direct.

(ii) Every such cheque or warrant shall be made payable to the order of the person to whom it is sent.

(83)Any one of two or more joint holders of a share may give effective receipts for any dividends, bonuses or other monies payable in respect of such share.

(84)Notice of any dividend that may have been declared shall be given to the persons entitled to share therein in the manner mentioned in the Act.

(85)No dividend shall bear interest against the company.

Accounts

(86)(i) The Board shall from time to time determine whether and to what extent and at what times and places and under what conditions or regulations, the accounts and books of the company, or any of them, shall be open to the inspection of members not being directors.

(ii) No member (not being a director) shall have any right of inspecting any account or book or document of the company except as conferred by law or authorised by the Board or by the company in general meeting.

Winding up

(87)Subject to the provisions of Chapter XX of the Act and rules made thereunder-

(i) If the company shall be wound up, the liquidator may, with the sanction of a special resolution of the company and any other sanction required by the Act, divide amongst the members, in specie or kind, the whole or any part of the assets of the company, whether they shall consist of property of the same kind or not.

(ii) For the purpose aforesaid, the liquidator may set such value as he deems fair upon any property to be divided as aforesaid and may determine how such division shall be carried out as between the members or different classes of members.

(iii) The liquidator may, with the like sanction, vest the whole or any part of such assets in trustees upon such trusts for the benefit of the contributories if he considers necessary, but so that no member shall be compelled to accept any shares or other securities whereon there is any liability.

Indemnity

(88) Subject to the provisions of the Act, every Director, Officer or Agent for the time being of the Company shall be indemnified out of the assets of the Company against all liability incurred by him in defending any proceedings, whether civil or criminal in which judgment is given in his favour or in which he is acquitted or discharged or in connection with any application under Section 463 of the Act in which relief is granted to him by the Court.

Every officer, auditor and agent for the time being of the Company and every trustee for the time being acting in relation to any affairs of the company shall be indemnified and secured harmless out of the assets and the profits of the company against all action, cost, charges, losses, damages and expenses which any such officer, auditor, agent or trustee may incur or sustain by reason of any contract entered into or act or thing done, concurred in or omitted by him as such officer, auditor, agent or trustee or in any way in or about the discharge of his duties or supposed duties otherwise than in respect of any negligence, default, misfeasance, breach of duty or breach of trust of which he may be guilty in relation to his company.

The heirs, executors and administrators of every one of the aforesaid officer, auditor, agents and trustees shall be entitled to the benefits of the indemnities set forth in clause (a) and (b) of this Article.

Others

(89) **SECURITY**

Every Director, Manager, Auditor, Treasurer, Trustee, member of a committee, officer, servant, agent, accountant, or other person employed in the business of the Company shall, if so required by the Board, before entering upon his duties sign a declaration pledging himself to observe strict secrecy respecting all transactions and affairs of the Company with the customers and the state of the accounts with individuals and in matters relating thereto, and shall by such declaration pledge himself not to reveal any of the matters which may come to his knowledge in the discharge of his duties except when required so to do by the Directors or by law or by the person to whom such matters relate and except so far as may be necessary in order to comply with any of the provisions in these presents contained.

No member shall be entitled to visit or inspect any work of the Company without the permission of the Directors or to require discovery of or any information respecting any detail of the Company's secret process or any other matter which is or may be in the nature of a trade, secret process or any other matter which may relate to the conduct of the business of the Company and which in the opinion of the Directors, it would be inexpedient in the interest of the Company to disclose.

****The Article of Association was amended by inserting clause 80(iv) by way of Special Resolution passed by the shareholders of the Company in Extraordinary General Meeting (EGM) held on 16/01/2024.***

S.No	Name, address, description and occupation of each subscriber	DIN/PAN/Passport No.	Signature	Dated
1	Name: Nirmal Chandmal Jagawat S/o Chandmal Jagawat on behalf of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. Add: B-5, Irma Co-Op Housing Society Ltd, Sai Baba Mandir Road, Near Radhakrishnan School, Sai Baba Nagar, Borivali (West), Mumbai - 400092 CIN: L17110MH1919PLC000628 Description: Shareholder Occupation: Business	AAEPJ3876H	Sd/-	29/08/2022
2	Name: Rupa Pawan Khanna D/o Pawan Khanna Add: C-21, Gold Star, C Wing, Datt Mandir Cross Road, Dahanukar Wadi, Kandivali, Mumbai – 400067. Description: Director and Nominee Shareholder of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. CIN: L17110MH1919PLC000628 Occupation: Professional	AXFPK9736R	Sd/-	29/08/2022
3	Name: Ravinder Chander Prem S/o Gopichand Prem Add: C/o A7, Alakhnanda CHS, Plot No. 24/B, Sec 14, Opp. PKC Hospital, Navi Mumbai, Thane – 400703. Description: Director and Nominee Shareholder of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. CIN: L17110MH1919PLC000628 Occupation: Professional	07771465	Sd/-	29/08/2022

4	Name: Atul Kesharao Sadawarte S/o Kesharao Sadawarte Add: Godawari Society, Flat No. B-22, Sec. -3, Vashi, Navi Mumbai, Thane – 400703. Description: Nominee Shareholder of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. CIN: L17110MH1919PLC000628 Occupation: Professional	AALPS8879C	Sd/-	29/08/2022
5	Name: Prashant Kamlakant Pradhan S/o Kamlakant Pradhan Add: A-402, Abhar Society, Off. J.P. Road, 7 Bungalows, Andheri – West, Mumbai – 400061. Description: Nominee Shareholder of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. CIN: L17110MH1919PLC000628 Occupation: Professional	AAEPP4164G	Sd/-	29/08/2022
6	Name: Pavan Radhesham Somani S/o Radhesham Somani Add: K-3, Sahyadri Hills, Opp. Water Tank, Shivaji Nagar, Garkheda, Aurangabad, Maharashtra - 431009 Description: Nominee Shareholder of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. CIN: L17110MH1919PLC000628 Occupation: Professional	BIQPS3585K	Sd/-	29/08/2022

7	Name: Aruna Anand Kelkar D/o Vinayak Gore Add: 2, Shashank CHS, 444, Manmala Tank Road, Mahim, Mumbai - 400016 Description: Nominee Shareholder of Forbes & Company Limited having its Registered Office at Forbes Building, Charanjit Rai Marg, Fort, Mumbai – 400 001. CIN: L17110MH1919PLC000628 Occupation: Professional		AAIPG7846A	Sd/-	29/08/2022
Signed before me					
Name		Address	DIN/PAN/ Passport Number/ Membership No.	Place	Signature & Date
ACS	Mehul Raval	Office No. 161, 2nd floor, Raghuleela Mega Mall, Kandivali West, Mumbai - 400067	18300	Mumbai	Sd/- 29/08/2022

MATERIAL CONTRACTS AND DOCUMENTS FOR INSPECTION

The following contracts (not being contracts entered into in the ordinary course of business carried on by our Company or entered into more than two years before the date of the Information Memorandum), which are or may be deemed material have been entered or are to be entered into by our Company. These contracts and the documents for inspection referred to hereunder, may be inspected at the Registered Office of our Company situated at Forbes Building, Charanjit Rai Marg, Fort Mumbai, Maharashtra – 400 001 from 10.00 a.m. to 02.00 p.m. on working days from the date of the Information Memorandum.

Documents for Inspection

1. Certificate of Incorporation of our Company.
2. Memorandum and Articles of our Company.
3. Copy of the Fairness Report provided by Sundae Capital Advisors Private Limited dated September 26, 2022.
4. Copy of the Undertaking and the Auditor's certificate dated September 27, 2022 submitted to SEBI confirming non-application of para 10(c) of part I(A) to the SEBI Master Circular No. SEBI/HO/CFD/DIL1/CIR/P/2020/249 dated December 22, 2020.
5. Copy of the resolution passed by the Board of directors dated 26 September 2022 approving the scheme.
6. Scheme of Arrangement among Forbes & Company Limited and Forbes Precision Tools and Machine Parts Limited and their respective Shareholders and Creditors.
7. Letter under Regulation 37 of SEBI LODR Regulations issued by BSE DCS/AMAL/TL/R37/2816/2023-24 dated July 07, 2023).
8. Order dated February 09 2024 (certified true copy recieved on 22 February 2024) of the Hon'ble National Company law Tribunal, New Delhi Bench sanctioning the Scheme of Arrangement under Section 230 to 232 of the Companies Act, 2013 read with Section 66 of the Companies Act, 2013.
9. Tripartite agreements dated March 7, 2024 and February 26, 2024 with CDSL & NSDL respectively.
10. Statement of Possible Tax Benefits dated March 29, 2024 from M/s. Sharp & Tannan Associates, Chartered Accountants.
11. Audited financial statements of our Company for the financial year ended March 31, 2024 and financial year ended March 31, 2023.
12. BSE letter no. DCS/AMAL/TL/IP/3158/2024-25 dated April 26, 2024 granting in-principle listing approval.
13. SEBI Relaxation letter no. SEBI/HO/CFD/DCR/RAC-1/P/OW/2024/17446/1 dated May 22, 2024 granting relaxation for listing from the applicability of Rule 19(2)(b) of the Securities Contract (Regulation) Rules, 1957.

Any of the contracts or documents mentioned in the Information Memorandum may be amended or modified at any time if so required in the interest of our Company or if required by the other parties, without reference to the Shareholders subject to compliance of the provisions contained in the Companies Act, 2013 and other relevant statutes.

DECLARATION

All relevant provisions of the Companies Act, 2013 (to the extent notified and applicable), the rules made thereunder and the guidelines issued by the Government of India or the regulations issued by Securities and Exchange Board of India, as the case may be, have been complied with and no statement made in this Information Memorandum is in contrary to the provision of the Companies Act, 2013 (to the extent notified and applicable), the Securities and Exchange Board of India Act, 1992 or the rules made thereunder. We further certify that all statements made in the Information Memorandum are true and correct.

On behalf of the Board of Directors of Forbes Precision Tools and Machine Parts Limited

Rupa Khanna
Company Secretary & Compliance Officer

Date: June 03, 2024
Place: Mumbai